

This is the html version of the file <https://www.proshareng.com/admin/upload/reports/11516-MTNN2017AnnualFinancialStatements-proshare.pdf>. Google automatically generates html versions of documents as we crawl the web.

Tip: To quickly find your search term on this page, press **Ctrl+F** or **⌘-F** (Mac) and use the find bar.

MTN Nigeria Communications Limited

Consolidated and Company Financial Statements - 31 December 2017

Together with Directors' and Auditor's Reports

MTN Nigeria Communications Limited

Consolidated and Company financial statements*For the year ended 31 December 2017*

Contents	Page
Directors' report	1
Statement of directors' responsibilities	3
Independent auditor's report	4
Consolidated statement of profit or loss	7
Consolidated statement of comprehensive income	8
Consolidated statement of financial position	9
Consolidated statement of changes in equity	10
Consolidated statement of cash flows	11
Notes to the consolidated financial statements	12
Other national disclosures	
Consolidated value added statement	56
Consolidated five-year financial summary	57
Company financial statements	
Company statement of profit or loss	58
Company statement of comprehensive income	59
Company statement of financial position	60
Company statement of changes in equity	61
Company statement of cash flows	62
Notes to the Company financial statements	63
Other national disclosures	
Company statement of value added	96
Company five-year financial summary	97

MTN Nigeria Communications Limited

Directors' report*For the year ended 31 December 2017*

The directors present their report on the affairs of the Group, together with the financial statements and independent auditor's report for the year ended 31 December 2017.

Principal Activities of the Group

MTN Nigeria Communications Limited (the Group) was incorporated on 8 November 2000 as a private limited liability company under the Companies and Allied Matters Act 1990 as amended. The Group was granted a licence by the Nigerian Communications Commission on 9 February 2001 to undertake the business of building and operating GSM Cellular Network Systems and other related services nation-wide in Nigeria. The

Group commenced operations on 8 August 2001 (commercial launch date). Currently, the company holds a Unified Access Service License (UASL).

The address of the Group's registered office is 4, Aromire Road, Off Alfred Rewane Road, Ikoyi Lagos.

The Group's subsidiaries are XS Broadband Limited and Visafone Communications Limited. Their principal activities are the provision of broadband fixed wireless access service and high quality telecommunication service respectively.

The Group acquired 100% of the share capital of Visafone Communications Limited on 31 December 2015.

XS Broadband Limited has been dormant since 2010.

Business Review

The Group recorded revenue of N 885.44 billion (December 2016 : N793.67 billion) and a profit after tax of N80.51 billion (December 2016: profit after tax of N88.8 billion) for the year.

Operating Results and Dividend

The following is a summary of the Group's operating results:

	December 2017 N'000	December 2016 N'000
Revenue	885,440,252	793,672,967
Operating profit	195,100,017	232,349,752
Profit before tax	107,060,938	126,651,202
Income tax expense	(26,551,574)	(37,850,862)
Profit for the year	80,509,364	88,800,340

On 1st August 2017 the Board of Directors approved an interim dividend of N50 billion for the year ended 31 December 2017 (December 2016 : Nil).

Regulatory Matters

On 20 October 2015, the Nigerian Communications Commission imposed a fine relating to the timing of the disconnection of 5.1 million MTN Nigeria subscribers. An agreement was reached between the NCC and MTN on 10 June 2016 in the sum of N330 billion as full and final settlement of the fine to be paid in 7 instalments. A sum of N110 billion in 3 installments has been paid as at 31 December 2017.

Directors and their interests

The directors who served during the year and their indirect interests in the Group's equity were as follows:

	2017 %	2016 %
Mr. P. Dozie - (Chairman)	1.7	1.7
Mr. G. Oyeboode	0.9	0.9
Col. M. Sani Bello	1.3	1.3
Mr. B. Folawiyo	1.1	1.1
Chief V. Odili	4.0	4.0
Mallam A. Dasuki	0.8	0.8
Mr P. Norman* (Reappointed 10 February 2016)	Nil	Nil

Directors' report (continued)

For the year ended 31 December 2017

	2017 %	2016 %
Mr. R. Gasant *	Nil	Nil
Mr F. Moolman*	Nil	Nil
Ms. J. Desai* (Resigned 28 February 2017)	Nil	Nil
Mr. P. Nhleko* (Resigned 13 March 2017)	Nil	Nil
Mr. K. Toriola	Nil	Nil
Mr. R. Shuter** (Appointed 13 April 2017)	Nil	Nil
Mr. R. Mupita* (Appointed 13 April 2017)	Nil	Nil
Mr. J. Schulte-Bockum*** (Appointed 13 April 2017)	Nil	Nil

* South African

** British

*** German

In accordance with Section 277 of the Companies and Allied Matters Act, certain of the directors have declared their interest in contracts with the Company.

Property, Plant and Equipment

Information relating to changes in Property, Plant and Equipment is given in note 13 to the financial statements.

Taxation

The Company is in its 12th tax year following the expiration of its pioneer status in 2007. Company Income Tax, Education Tax and National Information Technology Development Fund Levy due in the prior years have been duly settled in line with the provisions of relevant tax laws.

An aggregate tax expense of N26.55 billion (December 2016 : N37.85 billion) has been recognised in the consolidated statement of profit or loss covering the period January to December 2017.

Charitable Gifts

There was an accrual of N827 million made in the year for donation to MTN Foundation Limited by Guarantee (December 2016 : N957 million). The Foundation, a duly registered, charitable entity separate and distinct from the Company has three main areas of focus, namely; Education, Economic Empowerment and Health.

The Company made no donations to other charitable organisations during the year (December 2016: Nil).

Employment of Disabled Persons

The Company has no disabled persons in its employment. However, applications for employment by disabled persons are always fully considered bearing in mind the respective aptitudes and abilities of the applicants concerned.

MTN Nigeria recognises that people are its most valuable asset and in line with this, is committed to each employee's personal development as a means of raising skill and motivation levels across the organization. The company's training policy is therefore non-discriminatory and provides for equal training opportunity for all staff without exception. The company's recruitment policy further complements this, as it specifically stipulates that MTN Nigeria is an equal opportunity employer and does not discriminate against disabled candidates.

Employee Consultation and Training

The Company places considerable value on the involvement of its employees and has a practice of keeping them informed on matters affecting them as employees and on the various factors affecting the performance of the Company. The Company has in-house training facilities complemented when and where necessary with additional facilities from educational institutions for the training of its employees.

Health, Safety and Welfare at Work

The Company places a high premium on the health, safety and welfare of its employees in their place of work.

Auditors

PricewaterhouseCoopers have indicated their willingness to continue in office as auditors in accordance with section 357(2) of the Companies and Allied Matters Act.

BY ORDER OF THE BOARD

Lagos, Nigeria.

8th February, 2018

Uto Ukpanah
Company Secretary
FRC/2014/NBA/00000005748

Statement of directors' responsibilities

For the year ended 31 December 2017

The Companies and Allied Matters Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of the financial affairs of the Group at the end of the year and of its profit or loss. The responsibilities include ensuring that the Group:

- (a) keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Group and comply with the requirements of the Companies and Allied Matters Act;
- (b) establishes adequate internal controls to safeguard its assets and to prevent and detect fraud and other irregularities; and
- (c) prepares its financial statements using suitable accounting policies supported by reasonable and prudent judgments and estimates, which are consistently applied.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act.

The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Group will not remain a going concern for at least twelve months from the date of this statement.

.....
Mr. Pascal Dozie
Chairman of the Board of Directors
FRC/2013/CIBN/00000002852

.....
Mr. Ferdinand Moolman
Chief Executive Officer
FRC/2016/IODN/00000015147

Page 6

Independent Auditor's Report

To the Shareholders of MTN Nigeria Communications Limited

Independent Auditor's Report
To the Shareholders of MTN Nigeria Communications Limited

Independent Auditor's Report

To the Shareholders of MTN Nigeria Communications Limited

6

Page 9

MTN Nigeria Communications Limited

Consolidated statement of profit or loss*For the year ended 31 December 2017*

		December 2017 N'000	December 2016 N'000
	Notes		
Revenue	7	885,440,252	793,672,967
Direct network operating costs	11	(268,358,986)	(176,901,391)
Value added services		(28,226,747)	(34,237,175)
Blackberry licence fees		239,542	(5,721,573)
Cost of handsets and other accessories		(7,214,380)	(4,273,521)
Interconnect costs		(84,194,261)	(76,077,835)
Roaming costs		(2,724,654)	(2,175,057)
Transmission costs		(5,685,104)	(5,695,996)
Employee benefits	9	(22,683,483)	(23,700,895)
Discounts and commissions		(44,867,233)	(44,086,830)
Advertisements, sponsorships and sales promotions		(15,567,368)	(18,053,330)
Reversal of impairment/(impairment) of property, plant and equipment	13	718,535	(41,714)
Writeback of impairment of assets held for sale	16	-	202,841
Other operating expenses	10	(61,309,531)	(47,205,515)
Regulatory fine	26	-	20,383,675
Depreciation	13	(123,817,906)	(116,842,779)
Amortisation of intangible assets	14	(26,648,659)	(26,896,120)

Operating profit		195,100,017	232,349,752
Finance income	8	43,503,203	40,131,256
Finance costs	8	(131,542,282)	(145,829,806)
Profit before tax		107,060,938	126,651,202
Income tax expense	12	(26,551,574)	(37,850,862)
Profit for the year		80,509,364	88,800,340
Attributable to:			
Owners of the parent		80,509,364	88,800,340
		80,509,364	88,800,340
Profit per share - basic/diluted	35	N 197.77	N 218.13

The accompanying notes are an integral part of these consolidated financial statements.

7

MTN Nigeria Communications Limited

Consolidated statement of comprehensive income

For the year ended 31 December 2017

	December 2017 N '000	December 2016 N '000
Profit for the year	80,509,364	88,800,340
<i>Items that may be reclassified to profit or loss</i>		
-Changes in the fair value of available for sale financial assets	170,928	325,721
Total comprehensive income for the year	80,680,292	89,126,061
Attributable to:		
Owners of the parent	80,680,292	89,126,061
	80,680,292	89,126,061

Financial assets classified as available for sale fair valued through other comprehensive income are Federal Government treasury bills investments which are exempted from company income tax.

The accompanying notes are an integral part of these consolidated financial statements.

Page 14
MTN Nigeria Communications Limited

Consolidated statement of financial position

At 31 December 2017

		31 December 2017 N '000	31 December 2016 N '000
ASSETS	Notes		
Non-current assets			
Property, plant and equipment	13	582,438,885	494,670,217
Intangible assets	14	128,602,009	141,488,116
Non-current prepayments	18	13,683,216	18,449,756
Deferred tax assets	29	25,653,339	8,413,187
Derivative asset	15	55,673	-
		750,433,122	663,021,276
Current assets			
Assets held for sale	16	174	7,229
Inventories	17	5,729,904	9,160,431
Trade and other receivables	18	33,425,336	39,550,140
Current investments	19	71,078,495	151,437,457
Restricted cash	20	41,617,634	17,260,604
Cash and cash equivalents	21	89,564,964	146,369,032
		241,416,507	363,784,893
Total assets		991,849,629	1,026,806,169
EQUITY			
Share capital	22	646,510	646,510
Share premium	23	64,498,466	64,498,466
Retained profit/(loss)		43,207,752	12,698,388
Other reserves		496,649	325,721
		108,849,377	78,169,085
LIABILITIES			
Non-current liabilities			
Borrowings	24.0	135,544,915	189,783,327
Share based payment liability	38.1	655,565	657,448
Regulatory fine liability	26	91,656,623	168,060,851
Provisions	28	70,048	210,196
Deferred tax liabilities	29	112,829,898	102,495,829
		340,757,049	461,207,651
Current liabilities			
Trade and other payables	25	245,886,387	255,471,415
Unearned revenue	27	38,160,778	39,233,661
Regulatory fine liability	26	101,119,141	29,002,060
Provisions	28	13,192,909	12,526,264
Tax liabilities	32	24,063,760	51,141,744
Borrowings	24.0	119,820,228	100,054,289
		542,243,203	487,429,433
Total liabilities		883,000,252	948,637,084
Total equity and liabilities		991,849,629	1,026,806,169

The accompanying notes are an integral part of these consolidated financial statements.

		2017	
	Notes	N '000	N '000
Cash flows from operating activities:			
Cash generated from operations	34	284,744,173	436,364,622
Increase in non-current prepayments		(1,448,027)	(2,728,764)
Share based payment made		(1,883)	(300,462)
Interest received		10,969,388	13,558,752
Interest paid		(47,233,628)	(42,251,183)
Dividends paid		(50,000,000)	-
Regulatory fine paid	26	(30,000,000)	(80,000,000)
Tax paid	32	(58,876,805)	(80,258,773)
Net cash generated from operating activities		108,153,218	244,384,192
Cash flows from investing activities:			
Proceeds from the sale of assets held for sale		7,055	532,520
Acquisition of property, plant and equipment		(193,015,248)	(139,820,482)
Proceeds from sale of property, plant and equipment		544,028	1,605,111
Acquisition of intangible assets		(10,319,689)	(27,358,613)
Disposal of/(investment) in bonds, treasury bills and foreign deposits		117,347,886	(43,541,100)
Increase in restricted cash		(24,357,030)	(1,041,849)
Net cash used in investing activities		(109,792,998)	(209,624,413)
Cash flows from financing activities:			
Proceeds from borrowings		50,516,108	-
Repayment of borrowings		(106,889,704)	(91,943,982)
Net cash used in financing activities		(56,373,596)	(91,943,982)
Net decrease in cash and cash equivalents		(58,013,376)	(57,184,203)
Cash and cash equivalents at beginning of year		146,369,032	200,674,337
Exchange gain on cash and cash equivalents		1,209,308	2,878,898
Cash and cash equivalents at end of year	21	89,564,964	146,369,032

The accompanying notes are an integral part of these consolidated financial statements.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

1 General information

MTN Nigeria Communications Limited was incorporated on 8 November 2000 as a private limited liability company under the Companies and Allied Matters Act. The Company was granted a licence by the Nigerian Communications Commission on 9 February 2001 to undertake the business of building and operating GSM Cellular Network Systems and other related services nation-wide in Nigeria. The Company commenced operations on 8 August 2001 (commercial launch date). Currently, the company holds a Unified Access Service License (UASL) in addition to a 2GHz Spectrum and Digital Terrestrial TV Broadcasting license which was obtained on 12 August 2015, in addition to others as shown in note 14.

MTN Nigeria Communications Limited's subsidiaries are XS Broadband Limited and Visafone Communications Limited. Their principal activities are the provision of broadband fixed wireless access service and high quality telecommunication service respectively.

The Group acquired 100% of the share capital of Visafone Communications Limited on 31 December 2015.

The Group's holding company is MTN International (Mauritius) Limited, a company incorporated in the Republic of Mauritius and its ultimate holding company is MTN Group Limited, a company incorporated in South Africa.

The address of the Company's registered office is 4, Aromire road, Off Alfred Rewane Road, Ikoyi Lagos.

2 Basis of preparation

The consolidated and separate financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB), interpretations issued by the IFRS Interpretations Committee (IFRS IC) applicable to companies reporting under IFRS and with the requirements of the Companies and Allied Matters Act.

The Group has adopted all new accounting pronouncements that became effective in the current reporting period, none of which had a material impact on the Group or the Company.

The financial statements have been prepared under the historical cost basis except for derivatives and available for sale financial assets which are measured at fair value.

Amounts are rounded to the nearest thousand, except where stated otherwise.

3 Going concern

The Group's and Company's forecasts and projections, taking account of reasonable possible changes in trading performance, show that the Group and Company should be able to operate within their current funding levels.

The directors have a reasonable expectation that the Group and Company have adequate resources to continue in operational existence for the foreseeable future. The Company therefore continues to adopt the going concern basis in preparing the financial statements.

4 Significant accounting policies

The significant accounting policies applied in the preparation of these financial statements are set out below and in the related notes to the financial statements. The policies applied are consistent with those adopted in the prior year unless otherwise stated.

4.1 Consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiaries, XS Broadband Limited and Visafone Communications Limited, companies incorporated in Nigeria. The subsidiaries are wholly owned and controlled by the Group. Control exists when the Group is exposed, or has rights, to variable returns from its involvement with the subsidiaries and has the ability to affect those returns through its power over the subsidiaries. The subsidiaries are fully consolidated from the date on which control is obtained and deconsolidated from the date that control ceases. Intercompany transactions, balances, income and expenses, and profits and losses are eliminated.

The acquisition method is used to account for the acquisition of subsidiaries by the Group. The consideration transferred is measured at the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of acquisition. Acquisition-related costs are recognised in profit or loss. Identifiable assets acquired and liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-controlling interests.

4.2 Investment in subsidiaries

The company accounts for investments in subsidiaries at cost less accumulated impairment losses.

Accounting policies of the subsidiaries have been changed where necessary to align them with the policies adopted by the Group.

12

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

4.3 Foreign currency translation

4.3.1 Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Naira, which is also the functional currency of the Group.

4.3.2 Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are translated at the rates of exchange ruling at the reporting date. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at the reporting date exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

4.4 Intangible assets

4.4.1 Licences

Licences have a finite useful life and are carried at cost less accumulated amortisation and impairment losses. Amortisation is calculated using the straight-line method to allocate the cost of licences over their useful lives.

4.4.2 Computer software

Computer software licences are capitalised on the basis of the costs incurred to acquire and bring the specific software into use. These costs are amortised using the straight-line method over their estimated useful life (three years) and carried at cost less accumulated amortisation and impairment losses.

Costs associated with maintaining computer software programs are recognised as an expense is incurred.

4.4.3 Goodwill

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition date fair values of the identifiable assets acquired and liabilities assumed. If, after reassessment, the net of the acquisition date fair values of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), such excess is recognised immediately in profit or loss as a bargain purchase gain.

Any changes resulting from additional and new information about events and circumstances that existed at the acquisition date and, if known, would have affected the measurement of the amount recognised at that date, are considered to be measurement period adjustments. The Group retrospectively adjusts the amounts recognised for measurement period adjustments. The measurement period ends when the acquirer receives all the information that they were seeking about the facts and circumstances that existed at the acquisition date or learns that information cannot be obtained. The measurement period shall, however, not exceed one year from the acquisition date. To the extent that changes in the fair value relate to post-acquisition events, these changes are recognised in accordance with the IFRS applicable to the specific asset or liability.

4.5 Inventories

Inventories comprises cellular telephones, accessories, starter packs and prepaid cards and are measured at the lower of cost and net realisable value. The cost of inventory is determined using the weighted average method and includes directly attributable costs such as custom duties, freight and handling costs. Net realisable value represents the estimated selling price in the ordinary course of business, less applicable variable selling expenses. Where appropriate, provision is made for obsolete, slow moving and defective inventory.

- 4.6 Property, plant and equipment**
Property, plant and equipment are measured at historical cost less accumulated depreciation and accumulated impairment losses.
- Historical cost includes expenditure that is directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of the equipment.
- Included in property, plant and equipment is the estimated amount required for the decommissioning, dismantling and restoration of leased sites, where there is a legal obligation to restore such sites to their original condition.
- Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the costs can be measured reliably. The carrying amount of the replaced part is derecognised. Repairs and maintenance are charged to the profit or loss during the period in which they are incurred.
- When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.
- Property, plant and equipment under construction is measured at initial cost and depreciated over its useful life from the date the asset is available for use in the manner intended by management. The cost of construction recognised includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and borrowing costs on qualifying assets. Assets are transferred from capital work in progress to an appropriate category of property, plant and equipment when commissioned and ready for intended use.
- The Group capitalises borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. A qualifying asset is deemed to be an asset which takes more than 12 months to acquire, construct or produce. Borrowing costs include general and specific borrowings directly attributable to the acquisition, construction or production of qualifying assets. Other borrowing costs are expensed in profit or loss.

13

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

4.6 Property, plant and equipment (continued)

Impairment

An impairment loss is recognised in profit or loss if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generate cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the cash-generating unit).

Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but limited to the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

Property, plant and equipment acquired in exchange for non-monetary assets are measured at the fair value unless the exchange transaction lacks commercial substance or the fair value of the assets cannot be reliably measured. Assets received in the exchange transaction that are not measured at fair value are measured at the carrying value of the asset given up.

A transaction has commercial substance if the difference in either of the points below is significant relative to the fair value of the assets exchanged:

- (a) the configuration (risk, timing and amount) of the cash flows of the asset received differs from the configuration of the cash flows of the asset transferred; or
- (b) the entity-specific value of the part of the operations affected by the transaction changes as a result of the exchange.

In instances whereby the Group receives assets for no consideration (free of charge), the Group accounts for these at cost in accordance with IAS 16 *Property, Plant and Equipment*, being zero value.

Rebates/asset vouchers received from suppliers are applied against future purchases to reduce the amount payable to the respective supplier and the cost of the asset.

Depreciation of property, plant and equipment is recognised to write off the cost of the asset to its residual value, on a straight line basis, over its expected useful life as follows:

Buildings	10 - 15 years
Leasehold improvements	10 - 15 years
Network infrastructure	2 - 15 years
Information systems, furniture and office equipment	2 - 4 years
Motor vehicles	5 years

Land is not depreciated.

Capital work in progress is not depreciated but tested for impairment every reporting period.

The depreciation method and the assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the proceeds from the disposal and the carrying amount of the asset, and is included in profit or loss.

4.7 Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently carried at amortised cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognised as transaction costs to the extent that it is probable that some or all of the facility will be drawn down.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

4.8 Leases**4.8.1 Finance lease**

A lease is classified as a finance lease if it transfers substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases. Assets held under finance leases are capitalised at the lower of the fair value of the leased asset and the estimated present value of the minimum lease payments at the inception of the lease. The corresponding liability to the lessor, net of finance charges, is included in the statement of financial position under other non-current/current liabilities.

Assets held under finance leases are depreciated over their expected useful lives on the same basis as owned assets or, where shorter, the expected term of the lease.

4.8.2 Operating lease

Leases, where a significant portion of the risks and rewards of ownership are retained by the lessor, are classified as operating leases. Rentals payable under operating leases are charged to profit or loss on a straight-line basis over the term of the relevant lease.

Sub-lease income is recognised in profit or loss on a straight-line basis over the term of the lease. In all significant operating lease arrangements in place during the year, the Group acted as the lessee.

Sale and leaseback

In sale and leaseback transactions that result in operating leases, where it is clear that the transaction is priced at fair value, any profit or loss is recognised on the effective date of the sale transaction. If the sale price is below fair value, any profit or loss is recognised on the effective date of the sale transaction except that, if a loss is compensated for by future lease payments at below market price, it is deferred and amortised in proportion to the lease payments over the period during which the asset is expected to be used. If the sale price is above fair value, the excess over fair value is deferred and amortised over the period for which the asset is expected to be used.

The Group leases various premises and sites under non-cancellable/cancellable operating lease agreements. The leases have varying terms, escalation clauses and renewal rights. Penalties are chargeable on certain leases should they be cancelled before the end of the agreement.

4.9 Employee benefits**4.9.1 Short-term employee benefits**

Remuneration to employees in respect of services rendered during a reporting period is recognised on an undiscounted basis as an expense in that reporting period. A liability is recognised for accumulated leave and for other short-term benefits when there is no realistic alternative other than to settle the liability, and at least one of the following conditions is met:

- there is a formal plan and the amounts to be paid are determined before the time of issuing the financial statement; or
- achievement of previously agreed bonus criteria has created a valid expectation by employees that they will receive a bonus and the amount can be determined before the time of issuing the financial statements.

4.9.2 Share-based payment

The Group operates a cash settled share-based compensation plan. The fair value of the employee option over the vesting period is recognised as an expense with a corresponding increase in liabilities. The total amount to be expensed over the vesting period is determined by reference to the fair value of the options granted and the impact of the expense, if any, is recognised in the income statement. Unexercised options lapse 10 years from the date of grant and are forfeited if the employee leaves the Group before they vest.

4.9.3 Post employment benefits

The Group's end of service benefits scheme has been in existence since 1 February 2004 as a defined contribution scheme governed by the Scheme's Trust Deeds and Rules.

All full time employees contribute 8% of basic, housing and transport allowance while the Company contributes 10% of the guaranteed pay in line with the Pension Reform Act 2014 guidelines. Guaranteed pay is total annual salary excluding bonus, overtime, commission and shift allowance.

4.10 Provisions

Provisions are recognised when there is a present legal or constructive obligation as a result of a past event for which it is more likely than not that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. A provision to pay a levy is not recognised until the obligating event specified in the legislation occurs, even if there is no realistic opportunity to avoid the obligation. Provisions are not recognised for future operating losses. Provisions are measured at the present value of the expected outflow of resources required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to the passage of time is recognised as a Decommissioning provision relates to the estimate of the cost of dismantling and removing an item of property, plant and equipment and restoring the item and site on which the item is located to its original condition. The Group only recognises these decommissioning costs for the proportion of its overall number of sites for which it expects decommissioning to take place. The expected percentage has been based on actual experience in the respective operations.

4.11 Current and deferred income tax

Income tax charge is the sum of current and deferred tax. Income taxes are recognised in profit or loss unless they relate to items that are recorded in Other Comprehensive Income (OCI) in which case the tax is recorded in OCI. The group determines the tax due based on expected amount payable and on an individual tax position basis.

Current income tax

Current tax is the expected tax payable (companies income tax and education tax) on the taxable income for the year determined in accordance with the provisions of the Companies Income Tax Act and Education Tax Act using the tax rate enacted or substantively enacted as at the reporting date.

Deferred income tax

Deferred tax is recognised using the liability method, providing for temporary differences arising between the tax base of assets and liabilities and their carrying amount in the financial statements. Deferred tax is not recognised for the following temporary differences:

- The initial recognition of an asset or liability in a transaction (other than a business combination) at the time of the transaction affects neither accounting nor taxable profit or loss.
- The taxable temporary difference arising from the initial recognition of goodwill.

Deferred tax is measured at the statutory tax rate enacted or substantively enacted at the reporting date and are expected to apply to temporary differences when they reverse.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same authority.

Deferred tax asset is recognised for unused tax losses or deductible temporary difference only to the extent that it is probable that future taxable profit will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable that the related tax benefit will be realised.

4.12 Information Technology Development Levy (ITDL)

Information Technology Development Levy is computed and recognised at one percent of profit before tax in line with National Information Technology Development Act of 2007 .

4.13 Finance income and expenses

Finance income comprises interest income on funds invested, changes in fair value of financial assets through profit or loss and foreign currency gains. Interest income is recognised as it accrues in profit or loss, using the effective interest rate method.

Finance expenses comprise interest expenses on borrowings, unwinding of the discount on provisions, and foreign exchange losses that are recognised in profit or loss. All borrowing costs are recognised in profit or loss using the effective interest method.

4.14 Share capital

Ordinary and preference shares are classified as equity. Incremental external costs directly attributable to the issue of new shares or share options are recognised in equity as a deduction, net of tax from the proceeds. The preference shares are redeemable cumulative preference shares and have been classified as equity instruments because there is no contractual obligation to deliver cash or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the company.

4.15 Trade and other payables

Trade and other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Trade and other payables are classified as current liabilities if payment is due within one year or less, if not they are presented as non-current liabilities.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements**4.16 Revenue recognition**

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown, net of trade discounts, value added tax and after eliminating sales within the Group.

Revenue from the sale of goods and the rendering of services is recognised when it is probable that the economic benefits associated with a transaction will flow to the Group and the amount of revenue, and associated costs incurred or to be incurred, can be measured reliably. The amount of revenue is not considered to be reliably measurable until all contingencies relating to the sale have been resolved.

Postpaid and prepaid products with multiple deliverables are defined as multiple element arrangements which include a Subscriber Identification Module (SIM) card and airtime [Voice, SMS and Data]. These arrangements are divided into separate units of accounting, and revenue is recognised through application of the relative fair value method.

The main categories of revenue and the basis of recognition are as follows:

Airtime and subscription, data, digital, Value Added Service (VAS) and Short Message Service (SMS)

- airtime, data, digital, VAS and SMS: revenue is recognised on the usage basis commencing on the date of activation;
- connection fees: revenue is recognised on the date of activation of a new SIM card; and
- SIM kits: revenue is recognised on the date of sale.

Digital revenue is any value added services that involves an application in transacting i.e. application to person SMS, person to application SMS, Unstructured Supplementary Service Data (USSD), Interactive Voice Response (IVR) and content.

Interconnect/roaming

Interconnect/roaming revenue is recognised on a usage basis, unless it is not probable on the transaction date that the interconnect revenue will be received, in which case interconnect revenue is recognised only when the cash is received or where a right of set-off exists with interconnect parties in settling outstanding amounts.

Mobile telephone and accessories

Revenue on the sale of mobile telephones and accessories to third parties are recognised only when risks and rewards of ownership are transferred to the buyer.

Unearned revenue

Revenue on Subscriber Identification Module (SIM) cards remains deferred up to the point of activation on the network, while that of recharge cards remains deferred up to the point of usage by the subscriber.

4.17 Subscriber acquisition costs

Subscriber acquisition costs, which comprise commission paid to dealers, are expensed when incurred.

4.18 Dividends

Interim dividends on ordinary shares are recognised as a liability and a reduction from equity, in the period in which they are approved by the Board of Directors.

Final dividends on ordinary shares are recognised as a liability and a reduction from equity, in the period in which they are recommended by the Board of Directors and ratified by the shareholders.

4.19 Financial instruments

Financial assets and financial liabilities are recognised on the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

4.19.1 Offsetting financial instruments

Offsetting of financial assets and liabilities is applied when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously. The net amount is reported in the statement of financial position.

4.19.2 Non-derivative financial instruments

Non-derivative financial instruments comprise investments in debt securities, trade and other receivables, restricted cash, cash and cash equivalents, borrowings and trade and other payables.

Non-derivative financial instruments are recognised initially at fair value plus, for instruments not at fair value through profit or loss, any directly attributable transaction costs. Subsequent to initial recognition, non-derivative financial instruments are measured as described below:

(a) Financial assets

The Group classifies its financial assets into loans and receivables, held to maturity investments and available for sale. The classification is dependent on the purpose for which the financial assets were acquired.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

4.19.2 Non-derivative financial instruments (continued)

Loans and receivables

Loans and receivables (excluding prepayments) are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. Loans and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less any accumulated impairment losses. Loans and receivables comprise trade and other receivables, restricted cash, short-term investments and cash and cash equivalents.

Trade receivables are amounts due from customers for merchandise sold or services rendered in the ordinary course of business. If collection is expected in one year or less, they are classified as current assets, if not they are classified as non-current assets. Trade receivables are recognised initially at fair value and subsequently measured at cost less provision for doubtful debt. The provision is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of the provision is recognised in profit or loss.

Restricted cash comprises monies placed on deposit with banks to secure letters of credit as well as escrow account relating to Visafone acquisition, which were undrawn and not freely available at the reporting date.

Short-term investments comprise investments in fixed deposits, and treasury bills with maturity periods that are more than three months but less than twelve months.

Cash and cash equivalents comprise cash in hand, Naira deposits held on call and other highly liquid investments with original maturities of three months or less.

Available-for-sale

Available-for-sale financial assets are initially recognised at fair value through profit or loss and are subsequently measured at fair value and changes therein, other than impairment losses and foreign currency differences on debt instruments, are recognised in other comprehensive income. On the disposal available for sale financial assets, the cumulative gains realised on these instruments are recognised in profit or loss for the financial year.

Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturity that the Group has the positive intention and ability to hold to maturity other than those that are loans and receivables. Held-to-maturity investments are initially recognised at fair value plus transaction costs that are directly attributable to the acquisition or issue of the financial asset. After initial recognition, the Group measures held-to-maturity investments at amortised cost using the effective interest method, less any impairment loss.

(b) Financial liabilities

Financial liabilities comprise trade and other payables, borrowings and other non-current liabilities (excluding provisions). Financial liabilities are initially measured at fair value, net of transaction costs incurred and are subsequently measured at amortised cost using the effective

interest method.
Borrowings are classified as current liabilities if payment is required within 12 months and non-current where the settlement of the liability is for at least 12 months after the reporting date.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised when the obligation specified in the contract is discharged, cancelled or expires.

4.19.3 *Derivative financial instruments*

Derivatives are initially recognised at fair value on the date the derivative contract is entered into and attributable transaction costs are recognised in profit or loss when incurred. Subsequently derivatives are measured at fair value through profit or loss. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

4.20 Impairment

4.20.1 *Financial assets*

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset that can be reliably measured.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

4.20 Impairment (continued)

4.20.1 *Financial assets (continued)*

All impairment losses are recognised in profit or loss.

An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in profit or loss.

An impairment of trade receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments are considered indicators that the trade receivable is impaired. The carrying amount of the trade receivable is reduced through the use of an allowance account, and the amount of the loss is recognised in profit or loss. When a trade receivable is uncollectible, it is written off against the allowance account for trade receivables. Subsequent recoveries of amounts previously written off are credited to profit or loss.

4.20.2 *Goodwill*

The Group tests goodwill for impairment on an annual basis. The recoverable amount of the CGU was determined based fair values less costs to sell obtained from an independent valuer's report with inputs derived from the Group's business plan forecasts. An impairment loss on goodwill is recognised in profit or loss if the carrying amount of goodwill exceeds its estimated recoverable amount and is not subsequently reversed.

4.21 Investment

Non-current investments are recognised at cost less accumulated impairment losses. Current investments relate to investment which are subject to more than an insignificant risk of change in value or having a maturity period that is longer than three months.

4.22 Assets held for sale

Assets are classified as held for sale and are stated at the lower of their carrying amount and fair value less cost to sell when their carrying amounts are to be recovered principally through sale rather than continued use and the sale is considered to be highly probable.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

5 New accounting standards

5.1 International financial reporting standards and amendments effective for the first time for 31 December 2017 year end.

It should be noted that none of the amendments and interpretations listed below has a material impact on the Group in 2017, unless otherwise stated.

• **Amendment to IAS 12 – Income taxes (effective 1 January 2017)**

The amendment was issued to clarify the requirements for recognising deferred tax assets on unrealised losses. The amendment clarifies the accounting for deferred tax where an asset is measured at fair value and that fair value is below the asset's tax base. It also clarifies certain other aspects of accounting for deferred tax assets. The amendment clarifies the existing guidance under IAS 12. It does not change the underlying principles for the recognition of deferred tax assets.

• **Amendment to IAS 7 – Cash flow statements (effective 1 January 2017)**

In January 2016, the International Accounting Standards Board (IASB) issued an amendment to IAS 7 introducing an additional disclosure that will enable users of financial statements to evaluate changes in liabilities arising from financing activities. The amendment responds to requests from investors for information that helps them better understand changes in an entity's debt.

5.2 International financial reporting standards and amendments issued but not effective for 31 December 2017 year end.

Standards issued but not yet effective but relevant to the Group's financial statements are listed below. The Group has elected not to early adopt the new pronouncements. It is expected that the Group will adopt the new pronouncements on their effective dates in accordance with the requirements of the pronouncements.

• **Amendments to IFRS 2 – Share-based payments (effective 1 January 2018)**

This amendment clarifies the measurement basis for cash-settled, share-based payments and the accounting for modifications that change an award from cash-settled to equity-settled. It also introduces an exception to the principles in IFRS 2 that will require an award to be treated as if it was wholly equity-settled, where an employer is obliged to withhold an amount for the employee's tax obligation associated with a share-based payment and pay that amount to the tax authority.

• **IFRIC 22 Foreign currency transactions and advance consideration (effective 1 January 2018)**

This IFRIC addresses foreign currency transactions or parts of transactions where there is consideration that is denominated or priced in a foreign currency. The interpretation provides guidance for when a single payment/receipt is made as well as for situations where multiple payment/receipts are made. The guidance aims to reduce diversity in practice.

• **IFRS 9 Financial Instruments (effective 1 January 2018)**

IFRS 9 replaces IAS 39. It addresses the classification, measurement and derecognition of financial assets and financial liabilities, introduces new rules for hedge accounting and a new impairment model for financial assets.

The adoption of IFRS 9 is not expected to change the measurement of the Group's financial assets and liabilities significantly, but will require a review of the current classification of financial assets and liabilities.

The hedge accounting requirements are not expected to have a significant impact on the financial results of the Group.

IFRS 9 includes an expected credit loss model for calculating impairment on financial assets. This replaces the incurred loss model used under IAS 39. The Group expects to choose an accounting policy to always measure the impairment at the present value of expected cash shortfalls over the remaining life of the receivable and contract assets using a provision matrix.

The application of an expected credit loss model is likely to result in an earlier recognition of credit losses, in particular on post-paid, interconnect and enterprise business unit receivables. A preliminary impact assessment indicated that the application of the expected credit loss model is unlikely to result in a material adjustment.

The Group will adopt IFRS 9 on a prospective basis on transition.

• **IFRS 15 Revenue from Contracts with Customers (effective 1 January 2018)**

IFRS 15 replaces the two main revenue recognition standards, IAS 18 Revenue and IAS 11 Construction contracts and their related interpretations.

IFRS 15 provides a single control-based revenue recognition model and clarifies the principles for recognising revenue from contracts with customers. The core principle is that an entity should recognise revenue to depict the transfer of promised goods or services to customers at an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Revenue is recognised when a customer obtains control of a good or service. A customer obtains control when it has the ability to direct the use of and obtain the benefits from the good or service.

IFRS 15 also includes comprehensive disclosure requirements that will provide users with information about the nature, amount, timing and uncertainty of revenue and cash flows arising from the entity's contracts with customers.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

5 New accounting standards (continued)

• IFRS 15 Revenue from Contracts with Customers (effective 1 January 2018) (continued)

The Group has performed a preliminary assessment of the impact of IFRS 15 and the following is expected:

- A change in the timing of the recognition of subscriber acquisition costs, which is currently expensed on inception of the contract but will be capitalised and expensed over the average customer life in accordance with IFRS 15. These costs relate to sim activation costs on pre-paid contracts;
- Earlier recognition of revenue in respect of services acquired that are not expected to be utilised (breakage);
- The impact on earnings is not expected to be significant.

The standard permits either a full retrospective or modified retrospective approach for adoption. The Group will take the full retrospective approach on transition.

• IFRS 16 Leases (effective 1 January 2019)

IFRS 16 specifies the recognition, measurement, presentation and disclosure of leases. The standard provides a single lessee accounting model, requiring lessees to recognise assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value. Lessors continue to classify leases as operating or finance, with IFRS 16's approach to lessor accounting substantially unchanged from its predecessor, IAS 17.

The Group expects that the most significant impact of the new standard will result from the current network site operating leases. For the year ended 31 December 2017 the Group has recognised lease expenses of N204.75 billion (refer to note 31) and non-cancellable operating lease commitments (undiscounted) of N2.10 trillion (refer to note 31.1).

On adoption of IFRS 16, lease costs will no longer be recognised as operating expenses. The extent of the reduction in lease expenses is dependent on the application of practical expedients in IFRS 16 regarding the separation of lease and non-lease components and the impact of the application of the low-value asset exemption.

The new standard will require the recognition of lease liabilities and corresponding right of use assets. The Group will recognise depreciation on the right of use assets and interest on the lease liabilities over the lease term in profit or loss.

The initial lease liabilities and right-of-use assets recognised upon transition to IFRS 16 would likely be representative of the non-cancellable lease commitments, discounted at an appropriate rate as applicable to the leases, after taking into account the impact of the practical expedients elected by the Group.

It is anticipated that while the EBITDA and the related EBITDA margin will improve significantly, amortisation and finance charges will also increase significantly. Due to the impact of reducing finance charges over the life of the lease, the impact on earnings will initially be dilutive, before being accretive in later periods. Furthermore, leases denominated in currencies that are not the functional currency of the company in which it arise will increase foreign exchange exposure.

Application of IFRS 16 will therefore also impact the EBITDA: net interest, net debt and net debt: EBITDA ratios significantly.

IFRS 16 permits multiple transition methods, and the Group will determine which transition method would be the most appropriate

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

6 Critical Accounting Judgements, Estimates and Assumptions

The Group makes judgements, estimates and assumptions concerning the future when preparing its financial statements. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected. The judgements, estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

The "Critical accounting judgements, estimates and assumptions" note should be read in conjunction with the "other significant accounting policies" disclosed in note 4.

6.1 Residual values and useful lives of property, plant and equipment and intangible assets

Residual values and useful lives of property, plant and equipment and intangible assets are based on management estimates and take into account the expected usage of the asset, physical wear and tear, technical or commercial obsolescence and legal restrictions on the use of the assets. Residual values and useful lives are reviewed annually and adjusted if appropriate.

6.2 Income taxes

The Company exercises significant judgement in determining its provision for income taxes when dealing with calculations and transactions for which the ultimate tax position is uncertain during the ordinary course of business. The Company recognises tax liabilities for anticipated tax issues based on estimates of whether additional taxes will be payable. Where the final outcome of these matters is different from the amounts that were initially recorded, such differences will impact the current and deferred tax in the period in which such determination is made.

6.3 Provisions

The Group exercises judgment in determining the expected cash outflows related to its provision. Judgment is necessary in determining the timing of outflow as well as qualifying the possible range financial settlements that may occur.

The present value of the Group's provisions is based on management's best estimate of the future cash outflows expected to be required to settle the obligations, discounted using appropriate pre-tax discount rates that reflect the current market assessment of the time value of money and the risks specific to each provision.

6.4 Impairment of trade and other receivables

The allowance for doubtful accounts involves significant management judgment and review of receivables based on customer creditworthiness, current economic trends and analysis of historical bad debts.

The Group determines impairment of trade and other receivables when objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of the receivables.

6.5 Impairment of licenses

The Group tests its licences for impairment in accordance with the accounting policy. The determination of the recoverable amount of the license involved the use of estimates by management based on the successful convergence of the license with the Group's operations and the outlook on economic trends. The recoverable amount is based on management's view of variables such as future revenue, associated costs, relevant operating and capital expenditure and an appropriate discount rate. (Note 14.1)

6.6 Operating lease***Determining whether an arrangement contains a lease***

The Group applies the principles of IFRIC 4 Determining whether an arrangement contains a lease in order to assess whether its arrangements constitute or contain leases. The requirements to be met in order to conclude that an arrangement constitutes or contains a lease are as follows:

- The provision of a service in terms of the arrangement should be dependent on the use of one or more specific assets; and
- The arrangement must convey a right to use these assets.

All other arrangements that do not constitute or contain leases are treated as service level agreements; the costs are expensed as incurred.

For the purpose of applying IFRIC 4 on tower space lease arrangements, the Group considers the tower asset as a whole in assessing whether the arrangement contains a lease. This is consistent with the guidance on determining a component of an asset in IAS 16 Property, Plant and Equipment. The Group has resolved that an arrangement contains a lease as defined in IAS 17 Leases where the arrangement provides an exclusive right to use a specific tower space which is more than an insignificant part of the tower asset.

Determining whether an arrangement qualifies as an operating lease or a finance lease

The Group applies judgement in determining the accounting treatment for arrangements which constitute or contain leases and follows the guidance of IAS 17 Leases to determine the classification of leases as either operating or finance leases based on definition in note 4.8.1.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

6 Critical Accounting Judgements, Estimates and Assumptions (continued)**6.6 Operating lease**

The critical elements that are considered with respect to classification of lease transactions are:

- whether the lease term is for the major part of the economic life of the asset; and
- whether at inception of the lease, the present value of the minimum lease payments amounts to at least substantially all of the fair value of the asset.

Minimum lease payments are determined by separating the payments required by the lease arrangement into those pertaining to the lease and those pertaining to other elements such as services and cost of inputs on the basis of their relative fair values. Management exercises judgement in estimating the fair value of the other elements by reference to comparable cost structures of the Group. The rate of interest MTN Nigeria would incur in borrowing the funds necessary to purchase similar assets are used in calculating the present value of the minimum lease payments.

6.7 Bundled Products

In revenue arrangements where more than one good or service is provided to the customer, customer consideration is allocated between the goods and services using relative fair value principles. Determining the fair value of each deliverable require the use of estimates of standalone selling prices. The Group generally determines the fair value of individual elements based on prices at which the deliverable is regularly sold on a stand-alone basis after considering any appropriate volume discounts.

6.8 Principal and agency arrangements

When the Group sells goods or services as a principal, revenue is reported on a gross basis in revenue and the amount paid to the agent is recorded in operating costs. If the Group sells goods or services as an agent, revenue is on a net basis, representing the margin earned. Whether the Group is considered to be the principal or an agent in the transaction depends on analysis by management of both the legal form and substance of the agreement between the Group and its business partners; such judgements impact the amount of reported revenue.

6.9 Goodwill and investment in subsidiary

The Group tests goodwill in the subsidiary and the Company tests the investment in the subsidiary on an annual basis in accordance with the accounting policy. The determination of the recoverable amount of the cash-generating unit to which goodwill upon acquisition of the subsidiary is allocated involves the use of estimates by management. The outcome predicted by these estimates is influenced by the successful integration of acquired entity, interest rate developments and the outlook on economic trends. The recoverable amount of the Visafone CGU was determined based on an external valuation report with inputs derived from the Group's business plan forecasts (Note 14.1)

MTN Nigeria Communications Limited

Notes to the consolidated financial statements*For the year ended 31 December 2017*

	December 2017 N '000	December 2016 N '000
7. Revenue		
Airtime and subscription	554,837,550	507,794,825
Data	116,798,264	67,863,921
SMS	12,622,507	11,010,800
Interconnect and roaming	103,566,936	101,068,894
Handset and accessories	635,842	312,283
Digital	69,410,549	87,555,746
Value added service	24,015,650	15,660,322
Other revenues	3,552,954	2,406,176
	885,440,252	793,672,967

Other revenues includes SIM kits connection fees, Information and Communications Technology (ICT) services and Mobile Financial Services (MFS).

8. Finance income and finance costs**Recognised in profit or loss****Finance income**

Interest income on bank deposits	12,747,910	14,392,678
Interest income on held-to-maturity investments	24,056,714	13,330,689
Net gain on held for trading investments	2,694,230	973,195
Net gain on available for sale investments	1,426,739	546,673
Interest income on intercompany receivables	12,971	7,080
Currency swap gain	55,673	-
Foreign exchange gain	2,508,966	10,880,941
	43,503,203	40,131,256

Finance costs

Interest expense - borrowings	46,163,752	41,327,685
Interest expense - others	3,001,126	1,747,986
Interest expense - intercompany payables	1,258,643	732,695
Time value accretion on regulatory fine	25,712,853	22,372,839
Foreign exchange loss	55,405,908	79,648,601
	131,542,282	145,829,806

9. Employee benefits

Salaries and wages	18,463,130	18,947,048
Post employment benefits	1,344,731	1,522,636
Employee share option scheme (note 38)	-	1,100,000
Other staff costs	2,875,622	2,131,211
	22,683,483	23,700,895

Other staff costs comprises of mortgage subsidy, long service award, termination benefits, reward and recognition, group life insurance, medical expenses, etc.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements*For the year ended 31 December 2017 (continued)***9.1 Particulars relating to employees**

Employees of the Group, other than directors, whose duties were wholly or mainly discharged in Nigeria received remuneration (excluding pension contributions) in the following ranges:

	December 2017 Number	December 2016 Number
N 1 900 001 - N 2 500 000	45	20
N 2 500 001 - N 3 500 000	23	40
N 3 500 001 - N 4 500 000	123	168
N 4 500 001 - N 5 500 000	272	309
N 5 500 001 - N 6 500 000	197	187
N 6 500 001 - N 7 500 000	126	153
N 7 500 001 - N 8 500 000	120	139
N 8 500 001 - N 9 500 000	84	129
N 9 500 001 - N 10 500 000	116	99
N 10 500 001 - N 11 500 000	82	76
N 11 500 001 - N 12 500 000	57	82
Over - N 12 500 001	306	296
	1,551	1,698

9.2 The year end number of full time persons employed by the Group was as follows:

CEO's Office	25	7
Corporate Services	44	58
Customer Relations	266	338
Finance	286	227
Human Resources	55	57
Information Systems	95	123
Business Risk Management	24	23
Marketing	92	88
Network Group	362	349
Sales and Distribution	161	250
Enterprise Solutions	141	178
	1,551	1,698

9.3 Remuneration was paid in respect of directors of the Group as follows:

	December 2017 N '000	December 2016 N '000
Directors' emoluments:		
Fees (non-executive directors)	26,293	26,390
Other emoluments (non-executive directors)	62,757	111,201
Emoluments (executive directors)	302,380	209,536
	391,430	347,127
 The directors' remuneration shown above includes:		
Chairman's remuneration	12,210	20,785
Highest paid director	302,380	209,536
 The emoluments of all other directors fall within the following ranges:		
Nil	6	6
Above N5 000 000	7	7

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

10	Other operating expenses	December	December
		2017	2016
		N '000	N '000
	Profit on disposal of property, plant and equipment	(434,384)	(590,981)
	(Profit)/loss on disposal of assets held for sale	(1,544)	321,542
	(Reversal of)/bad debts written off	(2,520)	1,478
	Directors' emoluments	391,430	347,127
	Fixed assets written off	628,462	368,267
	Impairment/(reversal of impairment) of trade and other receivables	5,595,982	(255,044)
	Information Technology Development Levy and MTN Foundation	1,932,166	2,308,097
	Insurance cost	1,646,061	1,547,243
	Professional fees	30,016,022	26,823,285
	Maintenance cost	11,424,007	8,986,302
	Rent, rates, utilities and other office running cost	5,661,678	3,226,469
	Trainings, travels and entertainment cost	2,757,997	2,075,346
	Audit fees	196,452	175,478
	Other expenses	1,497,722	1,870,906
		61,309,531	47,205,515
	Other expenses include bank charges, subscriptions, office refreshments, security costs, etc.		
10.1	During the year, the auditors provided to the Group non-audit services such as:		
	Tax Academy training	5,947	5,947
	Continuous Auditing Solution project	54,500	-
	Tax advisory service	1,000	-
	Professional service for billing system convergence	-	23,827
	Forensic advisory service for MTNN Employees Multipurpose Cooperative Society	-	7,657
		61,447	37,431

These services were carried out with the consent of the audit engagement partner and these services pose no threat to PwC's independence and objectivity.

11	Direct network operating costs	December	December
		2017	2016
		N '000	N '000
	Regulatory fees	23,282,128	20,132,853
	Annual Numbering Plan	1,281,057	1,167,151
	BTS Leases	203,253,094	132,365,933
	Network Maintenance	40,542,707	23,235,454
		268,358,986	176,901,391

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

12	Income tax expense	December	December
		2017	2016
		N '000	N '000
	<i>Analysis of tax expense for the year</i>		
	Company income tax	30,002,572	40,917,140
	Education tax	5,832,043	5,870,543
	Capital gains tax	2,605	-

Deferred tax credit (note 29)	(6,906,083)	(9,592,507)
Prior year (over)/under provision	(2,379,563)	655,686
	26,551,574	37,850,862

12.1 Tax rate reconciliation

The table below explains the differences between the expected tax expense on continuing operations, at the Nigerian statutory tax rate of 30% (2016: 30%) and the Group's total tax expense for each year.

The income tax charge for the year is reconciled to the effective rate of taxation in Nigeria as follows:

Profit before tax	107,060,938	126,651,202
Taxation	(26,551,574)	(37,850,862)
Actual tax rate	24.80%	29.89%
	%	%
Tax at standard rate	30.00	30.00
Expenses not allowed	8.42	5.17
Prior year tax (over)/under provision	(5.87)	0.54
Investment allowance	(5.64)	(3.39)
Exempt income	(6.74)	(7.99)
Education tax	4.68	4.62
Minimum tax	-	0.94
Capital Gains tax	(0.05)	-
	24.80	29.89

The prior year minimum tax relates to the operations of Visafone Communications Limited and XS Broadband Limited.

The Group is regarded as tax resident in Nigeria in line with the provisions of the Companies Income Tax Act and as such taxable in Nigeria.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

	Land	Buildings Leasehold	improvements	Network infrastructure	Information systems, furniture and office equipment	Capital work-in-progress	Motor vehicles	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
13 Property, plant and equipment - Total								
Cost								
Balance at 1 January 2016	3,150,302	25,613,049	7,163,044	852,032,633	41,251,713	37,266,000	5,198,229	971,674,970
Additions	4,407	159,863	99,893	37,378,261	8,295,261	120,969,262	-	166,906,947
Reallocation	(1,882)	1,305,195	993,134	85,749,484	3,024,319	(94,312,956)	-	(3,242,706)
Reclassifications	-	(385,410)	-	14,187	-	(1,596,910)	(736)	(1,968,869)
Write-offs	-	-	-	(558,726)	(321,741)	-	-	(880,467)
Disposals	-	-	-	(2,899,881)	(93,335)	-	(922,237)	(3,915,453)
Balance at 31 December 2016	3,152,827	26,692,697	8,256,071	971,715,958	52,156,217	62,325,396	4,275,256	1,128,574,422
Balance at 1 January 2017	3,152,827	26,692,697	8,256,071	971,715,958	52,156,217	62,325,396	4,275,256	1,128,574,422
Additions	-	2,563,542	545,783,366	791,713,134	156,127,948	437	720,895	214,715,387
Reallocation	3,892	85,633	7,086,410	102,957,072	215,668	(113,448,757)	-	(3,100,082)
Reclassifications	-	-	-	-	-	(9,161)	-	(9,161)
Write-offs	-	-	-	(14,093,155)	(225,476)	(624,339)	(20,675)	(14,963,645)
Disposals	-	-	-	(437,590)	(224,632)	(261,013)	(147,650)	(1,070,885)
Balance at 31 December 2017	3,156,719	26,780,893	15,885,026	1,138,509,076	59,055,933	75,930,563	4,827,826	1,324,146,036
Accumulated depreciation and								

Impairment	-	(13,929,465)	(2,933,646)	(472,832,488)	(28,468,171)	-	(2,637,731)	(520,801,501)
Balance at 1 January 2016	-	(1,541,752)	(685,468)	(105,355,293)	(8,222,672)	-	(1,037,594)	(116,842,779)
Depreciation for the year	-	-	-	(41,714)	-	-	-	(41,714)
Write-offs	-	-	-	531,366	306,205	-	-	837,571
Disposals	-	-	-	2,312,348	69,208	-	562,662	2,944,218
Balance at 31 December 2016	-	(15,471,217)	(3,619,114)	(575,385,781)	(36,315,430)	-	(3,112,663)	(633,904,205)
Balance at 1 January 2017	-	(15,471,217)	(3,619,114)	(575,385,781)	(36,315,430)	-	(3,112,663)	(633,904,205)
Depreciation for the year	-	(1,515,775)	(728,364)	(113,357,466)	(7,462,047)	-	(754,254)	(123,817,906)
Impairment reversal	-	-	-	718,535	-	-	-	718,535
Write-offs	-	-	-	14,093,120	222,462	-	19,601	14,335,183
Disposals	-	-	-	386,180	200,977	-	374,085	961,242
Balance at 31 December 2017	-	(16,986,992)	(4,347,478)	(673,545,412)	(43,354,038)	-	(3,473,231)	(741,707,151)

Carrying amounts

At 1 January 2016	3,150,302	11,683,584	4,229,398	379,200,145	12,783,542	37,266,000	2,560,498	450,873,469
At 31 December 2016	3,152,827	11,221,480	4,636,957	396,330,177	15,840,787	62,325,396	1,162,893	494,670,217

At 1 January 2017	3,152,827	11,221,480	4,636,957	396,330,177	15,840,787	62,325,396	1,162,593	494,670,217
At 31 December 2017	3,156,719	9,793,901	11,537,548	464,963,664	15,701,895	75,930,563	1,354,595	582,438,885

Reallocation relates to assets moved from capital work in progress to network infrastructure and other categories of property, plant and equipment and assets reclassified from property, plant and equipment to intangible assets.

Reclassifications relate to tangible assets initially capitalised but later expensed in the statement of profit or loss due to materiality threshold.

Write-offs relate to fully depreciated assets written off during the year.

A sum of N1.60 billion (December 2016 : N0.69 billion) was capitalized as borrowing cost during the year. The capitalisation rate used to determine the amount of borrowing costs to be capitalised is the weighted average interest rate applicable to the Group's general borrowings during the year, in this case 23.98% (December 2016 – 16.44%).

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

	Network infrastructure N'000
13.1 Property, plant and equipment - Leased	
Cost	
Balance at 1 January 2016	1,580,636
Balance at 31 December 2016	1,580,636
Balance at 1 January 2017	1,580,636
Balance at 31 December 2017	1,580,636
Accumulated depreciation and impairment	
Balance at 1 January 2016	(1,480,970)
Depreciation for the year	(32,809)
Balance at 31 December 2016	(1,513,779)
Balance at 1 January 2017	(1,513,779)
Depreciation for the year	(32,809)
Balance at 31 December 2017	(1,546,588)
Carrying amounts	
At 1 January 2016	99,666
At 31 December 2016	66,857
At 1 January 2017	66,857
At 31 December 2017	34,048

MTN entered into a Revenue share agreement with Huawei Technologies for the provision of Ring Back Tone (RBT) Caller Tunez service. The agreement commenced in 2010 and is for a period of 8 years. The arrangement did not take the legal form of a lease but conveyed the right to use asset (RBT system) in return for a payment or series of payments. In line with the provisions of IAS 17 Leases, the arrangement was treated as a finance lease. Upon the expiry of the revenue sharing period in 2018, the ownership right of the RBT system shall automatically transfer to MTNN. The RBT system is depreciated over the lease term.

13.2 Impairment

The impairment reversal of N0.72 billion (2016 : impairment of N0.04 billion) relates to missing network infrastructure inventory items approved by the Board for write off in the current year, the inventory items were initially impaired in the prior year pending the Board approval.

13.3 Capital work-in-progress

These are various capital work-in-progress projects under way within the Group.

29

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

	Goodwill	Licences	Software	Total
	N '000	N '000	N '000	N '000
14 Intangible assets				
Cost				
Balance at 1 January 2016	10,016,039	157,281,944	55,021,625	222,319,608
Additions	-	21,655,108	7,354,730	29,009,838
Reallocation	-	-	3,242,706	3,242,706
Other movement	-	-	(195,551)	(195,551)
Balance at 31 December 2016	10,016,039	178,937,052	65,423,510	254,376,601
Balance at 1 January 2017	10,016,039	178,937,052	65,423,510	254,376,601
Additions	-	349,600	10,319,690	10,669,290
Reallocation	-	-	3,100,082	3,100,082
Reclassifications	-	-	(6,820)	(6,820)
Write-offs	-	(699,297)	(369,419)	(1,068,716)
Balance at 31 December 2017	10,016,039	178,587,355	78,467,043	267,070,437
Amortisation and impairment				
Balance at 1 January 2016	-	(48,135,499)	(37,856,866)	(85,992,365)
Amortisation for the year	-	(15,179,507)	(11,716,613)	(26,896,120)
Balance at 31 December 2016	-	(63,315,006)	(49,573,479)	(112,888,485)
Balance at 1 January 2017	-	(63,315,006)	(49,573,479)	(112,888,485)
Amortisation for the year	-	(16,148,693)	(10,499,966)	(26,648,659)
Write-offs	-	699,297	369,419	1,068,716
Balance at 31 December 2017	-	(78,764,402)	(59,704,026)	(138,468,428)
Carrying amounts				
At 1 January 2016	10,016,039	109,146,445	17,164,759	136,327,243
At 31 December 2016	10,016,039	115,622,046	15,850,031	141,488,116
At 1 January 2017	10,016,039	115,622,046	15,850,031	141,488,116
At 31 December 2017	10,016,039	99,822,953	18,763,017	128,602,009

The licences and software are not internally generated intangible assets.

Other movements relate to reversal of prior year accrual of intangible addition.

Reallocation relates to items reclassified from/(to) property, plant and equipment to intangible assets.

Goodwill relates to the acquisition of Visafone Communications Limited.

14.1 Goodwill impairment assessment

Goodwill arising on the acquisition of Visafone was tested for impairment in accordance with IAS 36. For this purpose, the entire goodwill was allocated to the Visafone cash generating units (CGU). The recoverable amount of the CGU was determined based on fair value less cost to sell obtained from an independent valuer.

The fair value was estimated using an income approach (also known as the discounted cashflow). The income approach utilized 10-year cash flow projections with a perpetuity value discounted at a risk free pre-tax rate of 16.15% with a nominal growth rate of 4% applied to the final years' cash flow. The cashflow projections utilized financial budgets approved by management based on past performance and management's expectations of market developments. The Visafone license has a tenure of 10 years with 7 years remaining at year end. The license also has an option of renewal.

The results were also benchmarked against worldwide auction results adjusted by Gross Domestic Product Purchasing Power Parity (GDP PPP) to provide comparable results to the valuations produced.

The calculated fair value less cost to sell exceeded the carrying amount of cash generating unit and no impairment was recognized in the financial statements. If either the projected rate of long-term growth of cash flows declined by 0.5%, or if the discount rate increased by 0.5%, the fair value would still be higher than the carrying amount of cash generating unit allocated to the goodwill.

The level of the valuation within the fair value hierarchy is Level 3.

Page 33

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

14.2 Intangible assets (continued)

Network Licences Type	Date Granted Renewed	Term (Years)	Renewable Term	Licence Fee Currency	Initiation Fee	Annual Licence Fees Future Fees\	Obligations
Digital Mobile Licence (DML) - 900MHz & 1800MHz	9 February 2001	15	The NCC has decided to discontinue the issuance of the DML as the services provided thereunder have been subsumed under the UASL. The tenure of the 900MHz and 1800MHz spectrum issued with the DML has been extended to 31st August 2021 to align and expire with our UASL. The sum of N18,559,528,337.17 was paid on the 10th December 2015 for the 5 year extension.	USD	285 million	Annual operating levy - 2.5% of net revenue	None
3G Spectrum Licence (Receive Frequency 1920 - 1930 MHz) (Transmit Frequency 2110 - 2120 MHz)	1 May 2007	15	As may be determined by NCC	USD	150 million	Annual operating levy - 2.5% of net revenue	None
Universal Access Service Licence (Including International Gateway)	1 September 2006	15		5	NGN	114.6 million Annual operating levy - 2.5% of net revenue	None
International Submarine Cable Infrastructure and Landing Station (WACS)	1 January 2010	20	20	USD	220,500 (thousand)	Annual operating levy - 2.5% of net revenue	None
Wimax 3.5GHz Spectrum	2007/Renewable Annually	Assigned annually - with a use it or lose it term	Annually	NGN		427.5 million - Calculated annually using the Frequency Regulation Pricing Formula	None
Pay TV Digital Terrestrial TV Broadcasting Services (with 700MHz Spectrum)	12th August 2015 (Provisional licence granted effective 27th May 2015)	10	Initial term of 5 years with an additional term of 5 years subject to renewal formalities.	USD but paid in Naira at the prevailing interbank rate	\$171 Million USD (N34,114,500,000.00)		None
Microwave Spectrums 8GHz -26GHz	2001/Renewable Annually	Assigned annually - with a use it or lose it term	Annually	NGN		1,225 billion - Calculated annually using the Frequency Regulation Pricing Formula	None
Microwave Spectrums 8GHz -26GHz	2001/Renewable Annually	Assigned annually - with a use it or lose it term	Annually	NGN		1,314 billion - Calculated annually using the Frequency Regulation Pricing Formula	None
Spectrums 800MHz (Visafone)	1 January 2015	10	Renewal fees will be based on the frequency fees and Pricing Regulation in force at the time of renewal	NGN	2.87 billion		None
Spectrums 2.6GHz	1 August 2016	10	Renewable after expiration of 10 years.	5	NGN	18.9 billion	None
Universal Access Service Licence (Visafone)	1 July 2017	10		NGN	349.6 million	Annual operating levy - 2.5% of net revenue	None

31

Page 34

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

15 Derivative asset

	31 December 2017 N '000	31 December 2016 N '000
Currency swap	55,673	-

The Company uses derivative financial instruments such as currency swap to hedge its foreign currency risks. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. All gains and losses from changes in the fair value of derivatives that do not qualify for hedge accounting are recognised immediately in profit or loss.

16 Assets held for sale

	31 December 2017 N '000	31 December 2016 N '000
Balance at 1 January	7,229	134,067
Write back of impairment of assets held for sale	-	202,841
	7,229	336,908
Less: Disposal of assets held for sale	(7,055)	(329,679)
Balance at 31 December	174	7,229

The impairment of assets held for sale (motor vehicles) was reversed as the realised amount from its disposal exceeded the carrying amount.

17 Inventories

	31 December 2017 N '000	31 December 2016 N '000
--	-------------------------------	-------------------------------

Handsets and accessories	2,770,393	1,066,743
Starter packs	5,927,122	8,507,535
Airtime cards	5,555	78
	8,703,070	9,574,356
Inventory write-down	(2,973,166)	(413,925)
	5,729,904	9,160,431

Reconciliation of inventory write-down	At beginning of year N '000	Additions N '000	Utilised N '000	Unused reversed N '000	At end of year N '000
31 December 2016					
Movement in write down	(72,418)	(341,507)	-	-	(413,925)
31 December 2017					
Movement in write down	(413,925)	(2,658,933)	99,692	-	(2,973,166)
Inventory items are written down to net realizable value after considering obsolete items due to change in technology, defective items and physically damaged items. 3G SIM cards worth N2.37 billion were written down during the year due to the deployment of 4G LTE network technology.					

18 Trade and other receivables

	31 December 2017 N '000	31 December 2016 N '000
Trade receivables	35,636,277	31,995,652
Less: Allowance for impairment of trade receivables	(24,044,339)	(18,450,877)
Net trade receivables	11,591,938	13,544,775
Intercompany receivables	6,410,310	5,045,500
Other receivables*	9,415,665	9,522,511
Sundry debtors and advances	250,659	4,273,181
	27,668,572	32,385,967
Prepayments**	19,439,980	25,613,929
Less: non current prepayments	(13,683,216)	(18,449,756)
Trade and other receivables - current	33,425,336	39,550,140

Impairment loss of N5.6 billion (December 2016: impairment loss writeback of N0.26 billion) was booked in the current year, and this amount is included in other operating expenses in profit or loss.

The Group's exposure to currency risk and credit risk and impairment losses related to trade and other receivables are disclosed in note 39.6.2 and 39.4.

The carrying value of trade and other receivables materially approximates the fair value because of the short period to maturity.

*Other receivables includes withholding tax receivables, accrued investment income receivable and an amount of N776 million (December 2016 : N776 million) due from INT Towers in respect of Base Transceiver Station assets transferred.

**Prepayments relate to rent payments for BTS sites, other property leases and Indefeasible Right of Use (IRU).

32

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

19 Current investments

	31 December 2017 N '000	31 December 2016 N '000
US Dollar deposits with interest rates of 7 % to 8%.	9,543,790	13,801,205
Treasury bills held to maturity	42,641,311	115,947,851
Treasury bills available for sale	9,970,842	6,426,819
Treasury bills held for trading	8,922,552	15,261,582
	71,078,495	151,437,457

Treasury Bills are with interest rates of between 17.75% to 18.59% and maturity dates between January and May 2018.

20 Restricted cash

Restricted cash deposits	41,617,634	17,260,604
--------------------------	-------------------	-------------------

Restricted cash represents deposits with banks to secure Letters of Credit and collateral against repayment on borrowings. Also included in restricted cash is the retention fee on purchase of Visafone Communications Limited.

21 Cash and cash equivalents

Cash and cash equivalents comprise the following:

Cash at bank and on hand	89,564,964	146,369,032
--------------------------	-------------------	--------------------

The Group's exposure to interest rate risk, credit risk and a sensitivity analysis for financial assets and finance liabilities is disclosed in note 39.

22 Share capital

<i>Authorised:</i>		
500,000,000 ordinary shares of N1 each	500,000	500,000
4,500,000 "B" ordinary shares of N1 each	4,500	4,500
402,590,263 preference shares of US\$0.005c each	239,420	239,420
	743,920	743,920
<i>Issued and fully paid</i>		
402,590,263 (December 2016: 402,590,263) ordinary shares of N1 each	402,590	402,590
4,500,000 (December 2016: 4,500,000) "B" ordinary shares of N1 each	4,500	4,500
402,590,263 (December 2016: 402,590,263) preference shares of US\$ 0.005c each	239,420	239,420
	646,510	646,510

The 'B' ordinary shares were issued to MTN International (Mauritius) Limited in 2006, and carry the same rights and privileges as the ordinary shares.

There are no restriction, rights and preferences including restrictions on dividend distributions attached to ordinary shares.

The preference shares are redeemable preference shares.

23 Share premium

4,500,000 "B" ordinary shares of N 3,779.89 each	17,009,500	17,009,500
138,960 ordinary shares at N 1,488.15 each	206,793	206,793
402,590,263 US\$ 0.005c Preference shares at \$0.987c each	47,282,173	47,282,173
	64,498,466	64,498,466

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

24 Borrowings	Denominated currency	Description of borrowing	Type of interest charged	Effective interest	Remaining repayment details
				%	
Unsecured					
	31 December 2017 N '000				
	125,641,792	NGN	Local Syndicated Facility	Floating	21.44 4 equal semi-annual instalments
	14,650,616	USD	Chinese syndicated equipment finance (G)	Floating	4.50 5 equal semi-annual instalments
	29,398,289	USD	RMB foreign currency facility (E)	Floating	4.41 3 equal semi-annual instalments
	17,668,179	USD	KfW equipment finance (F1 & F3)	Floating	2.51 4 equal semi-annual instalments
	11,778,786	USD	KfW equipment finance (F2)	Fixed	1.67 4 equal semi-annual instalments
	25,028,387	USD	Credit Suisse (Buyer's Credit Facility)	Floating	7.18 8 equal semi-annual instalments
	27,038,924	USD	KfW/Citi Bank (Buyer's Credit Facility)	Floating	2.61 9 equal semi-annual instalments
	4,160,170	USD	Import and Trade Finance (Uance) line with local banks	Floating	6.92 6 months revolving
Total unsecured borrowings	255,365,143				
	31 December 2016 N '000				
	188,238,335	NGN	Local currency facility	Floating	20.34 6 equal semi-annual instalments
	18,562,393	USD	Chinese syndicated equipment finance (G)	Floating	4.02 6 equal semi-annual instalments
	43,650,543	USD	RMB foreign currency facility (E)	Floating	4.61 5 equal semi-annual instalments
	23,631,807	USD	KfW equipment finance (F1 & F3)	Floating	2.25 6 equal semi-annual instalments
	15,754,538	USD	KfW equipment finance (F2)	Fixed	1.67 7 equal semi-annual instalments
Total unsecured borrowings	289,837,616				

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

24	Borrowings (continued)	31 December 2017	31 December 2016
		N '000	N '000
	The maturity of the loans is as follows :		
	Payable within one year (included in current liabilities)	119,820,228	100,054,289
	More than one year but not exceeding two years	107,393,556	97,759,207
	More than two years but not exceeding five years	28,151,359	92,024,120
	Amounts included in non-current liabilities	135,544,915	189,783,327
	The Group has the following undrawn facilities:		
	Floating rate	212,075,477	47,250,000
	The carrying amounts of the Group's borrowings are denominated in the following currencies:		
	US Dollar	129,723,351	101,599,281
	Nigerian Naira	125,641,792	188,238,335
		255,365,143	289,837,616

24.1	Borrowings reconciliation	31 December 2017	31 December 2016
		N'000	N'000
	Balance at 1 January	289,837,616	336,800,014
	Drawdown	50,516,108	-
	Repayment	(106,889,704)	(91,943,982)
	Accrued interest	1,428,628	1,573,411
	Revaluation loss	20,472,495	43,408,173
	Balance at 31 December	255,365,143	289,837,616

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

24 Borrowings (continued)

24.2 Summary of borrowing arrangements

MTN Nigeria has a loan portfolio with a consortium of local banks, foreign banks and export development agencies. The details of the facilities are as follows:

Local_Facility - This is a N329.25 billion local currency term loan maturing November 2019. It is a variable interest loan, linked to average 3-Month NIBOR plus a margin of 1%. A total of N282 billion has been drawn so far, with N47.25 billion remaining undrawn. The loan is repayable in nine (9) equal semi-annual instalments from November 2015 to November 2019.

As at December 31, 2017, the outstanding principal balance on the facility is N125.33 billion.

Foreign_Facility_E - USD 280 million International Syndicated Commercial Loan. The facility is in the form of a foreign currency term loan with a seven-year tenor which was agreed with a consortium of foreign lenders with FirstRand Bank Ltd as the Principal lender (and Lenders' Agent). The Facility has been fully drawn, USD 100 million in July and USD 180 million in October 2013. Repayment, in 10 equal semi-annual instalments, commenced in October 2014. Facility E is also a variable interest loan, linked to 6-Month LIBOR, plus a margin of 2.85%.

The outstanding balance as at December 31, 2017 is USD 84.00 million.

Foreign_Facility_F - USD 300 million Export Credit Agency Backed Facility from KfW-IPEX Bank. This is a Medium Term Facility from KfW-Ipex Bank of Germany ("KfW"). The facility is in three tranches (F1, F2 and F3) of USD 118 million, USD 100 million and USD 82 million, Facility F1 and F3. The combined amount is USD 200 million with thirteen (13) and eleven (11) equal principal repayments, respectively. F1 and F3 are variable interest loan facilities linked to the 6-Month LIBOR plus a 1.05% margin. The principal repayment of F1 commenced in

31 December 2017					
Bonus provision	2,666,294	2,615,801	-	(2,071,091)	3,211,004
Restructuring provision	1,259,862	950,396	-	(2,093,756)	116,502
Litigation provision	740,020	2,421,604	-	-	3,161,624
Other provisions	7,860,088	7,686,517	(4,032,115)	(4,810,711)	6,703,779
	12,526,264	13,674,318	(4,032,115)	(8,975,558)	13,192,909
31 December 2016					
Bonus provision	2,652,608	2,667,014	(2,451,694)	(201,634)	2,666,294
Restructuring provision	872,699	1,252,666	-	(865,503)	1,259,862
Litigation provision	740,020	-	-	-	740,020
Other provisions	14,459,419	2,185,577	(8,640,073)	(144,835)	7,860,088
NCC fine provision	80,000,000	-	(30,000,000)	(50,000,000)	-
	98,724,746	6,105,257	(41,091,767)	(51,211,972)	12,526,264

37

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

28.1 Bonus provision

The bonus provision consists of a performance-based bonus, which is determined by reference to the overall Group performance with regard to a set of predetermined key performance measures. Bonuses are payable annually after the MTN Group annual results have been announced. Bonus provision is calculated as a percentage of employee's gross annual income plus pension contribution based on the overall performance of the Group, the teams, divisions and the employees.

28.2 Decommissioning provision

This provision relates to the estimate of the cost of dismantling and removing an item of property, plant and equipment and restoring the item and site on which the item is located to its original condition.

28.3 Restructuring provision

This provision relates to pay-off to staff due to managed services initiative. The timing of settlement is dependent on when the Group eventually exits the staff.

28.4 Litigation provision

Involves cases between MTN Nigeria and various bodies such as: Abia State vs MTN Nigeria, Corporate Comm Ltd vs MTN Nigeria, C-SOKA Nigeria Limited vs MTN Nigeria, Harrison Ossai & ORS vs MTN Nigeria, Premium Sports vs MTN Nigeria & Media Reach, arbitration between CALL FIX IT and MTN Nigeria etc. Timing is dependent on the outcome of court judgements in respect of the litigation.

28.5 Other provisions

The Group is involved in various regulatory and tax matters. These matters may not necessarily be resolved in a manner that is favourable to the Group. The Group has therefore recognised provisions in respect of these matters based on estimates and the probability of an outflow of economic benefits. BTS sites installation fees payable to different state governments and government agencies is included in other provisions.

28.6 NCC fine provision

In June 2016, MTN signed a settlement agreement with NCC, thus the provision of N275 billion ceased to exist as there was no longer any uncertainty as to the timing of payment or the amount of the fine. This led to reversing the provision recognised in respect of the fine and the recognition of the financial liability due to NCC in respect of the fine.

29 Deferred tax

	At beginning of year	Recognised in income statement	Prior year reclass	Arising on consolidation	At end of year
	N '000	N '000		N '000	N '000
Non-current assets					
31 December 2016					
Temporary differences from provisions and unrealised foreign exchange losses	10,054,653	(1,641,466)	-	-	8,413,187
Total deferred tax asset	10,054,653	(1,641,466)	-	-	8,413,187
31 December 2017					
Temporary differences from provisions and unrealised foreign exchange losses	8,413,187	17,240,152	-	-	25,653,339
Total deferred tax asset	8,413,187	17,240,152	-	-	25,653,339
Non Current Liabilities					
31 December 2016					
Arising due to fair value adjustment on business combination including retrospective period adjustment (see note 39)	(13,584,074)	1,509,342	-	-	(12,074,732)
Temporary differences from fixed asset	(102,605,652)	9,724,631	2,459,924	-	(90,421,097)
Total deferred tax liability	(116,189,726)	11,233,973	2,459,924	-	(102,495,829)
31 December 2017					
Arising due to fair value adjustment on business combination	(12,074,732)	1,509,342	-	-	(10,565,390)
Temporary differences from fixed asset	(90,421,097)	(11,843,411)	-	-	(102,264,508)

Total deferred tax liability	(102,495,829)	(10,334,069)	-	-	(112,829,898)
Net deferred tax liability					
31 December 2016	(106,135,073)	9,592,507	2,459,924	-	(94,082,642)
31 December 2017	(94,082,642)	6,906,083	-	-	(87,176,559)

38

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

30. Capital commitments	31 December 2017 N '000	31 December 2016 N '000
Commitments for the acquisition of property, plant, equipment and software		
Contracted but not provided for	20,856,690	102,007,683
Authorised but not contracted for	142,407,129	130,720,188
Total commitments for property, plant, equipment and software	163,263,819	232,727,871

Capital expenditure will be funded from operating cash flows and where necessary by raising additional facilities.

31. Operating leases expense	31 December 2017 N '000	31 December 2016 N '000
Site build operating lease	203,126,032	130,410,813
Rent and utilities - non-network	1,624,428	1,578,852
Operating leases - equipment	(1,126)	130,851
	204,749,334	132,120,516

Site build operating lease expense is included in direct network operating costs while rent and utilities - non-network and equipment operating leases expenses are included in other operating expenses.

31.1 Operating lease commitments

At the year end the Group had outstanding operating leases commitments which fall due as follows:

	Cancellable		Non-cancellable	
	31 December 2017 N '000	31 December 2016 N '000	31 December 2017 N '000	31 December 2016 N '000
Less than one year	13,875,188	-	182,318,607	194,746,970
One to five years	55,500,752	-	703,552,771	1,190,488,224
More than five years	3,468,797	-	1,216,213,050	1,096,404,834
	72,844,737	-	2,102,084,428	2,481,640,028

The Group has lease agreements relating to the use of certain space on telecommunications towers under non-cancellable/cancellable operating lease agreements. The leases have varying terms, escalation clauses and renewal rights. Penalties are chargeable on certain leases should they be cancelled before the end of the agreement.

39

Notes to the consolidated financial statements*For the year ended 31 December 2017 (continued)*

	31 December 2017	31 December 2016
	N '000	N '000
32. Income tax		
Opening balance	51,141,744 83,344,103	
Provision for the year - company income tax (note 12)	30,002,572 40,917,140	
Provision for the year - education tax (note 12)	5,832,043 5,870,543	
Provision for the year - capital gains tax (note 12)	2,605	-
Tax paid	(58,876,805) (80,258,773)	
Withholding tax credit	(1,658,836) (3,704,628)	
Reclassification	-	4,317,673
Prior year (over)/under provision	(2,379,563)	655,686
Closing balance	24,063,760 51,141,744	

Reclassification relates to income tax provision reclassified from other provisions and deferred tax liability.

33. Contingent liabilities

Contingent liabilities represent possible obligations that arise from past event whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events not wholly within the control of the Group.

The Group has N19.18 billion (2016: N13.02 billion) contingent liabilities arising from claims and litigations in the ordinary course of business and the Group is defending these actions. These matters are currently being considered by various courts and the timing of the judgements are unknown. In the opinion of the directors, which is based on advice from the legal counsels, no material loss is expected to arise from these claims and litigations.

MTN Nigeria Communications Limited**Notes to the consolidated financial statements***For the year ended 31 December 2017 (continued)*

	December 2017	December 2016
	N '000	N '000
34 Cash generated from operations		
TopC3 Profit before tax	107,060,938 126,651,202	
<i>Adjustments for non cash items:</i>		
TopC3 Finance cost (note 8)	131,542,282 145,829,806	
TopC3 Finance Income (note 8)	(43,503,203) (40,131,256)	
TopC3 Depreciation of property, plant and equipment (note 13)	123,817,906 116,842,779	
TopC3 (Reversal of impairment)\impairment of property, plant and equipment (note 13)	(718,535)	41,714
TopC3 Amortisation of intangible assets (note 14)	26,648,659 26,896,120	
Amortisation of prepaid indefeasible right of use	2,651,665	1,106,921
TopC3 Profit on disposal of property, plant and equipment (note 10)	(434,384) (590,981)	

	Fixed assets written off	628,462	2,337,135
	(Reversal of)/bad debts written off	(2,520)	1,478
	Impairment/(writeback of impairment) of trade receivables	5,595,982	(255,044)
	Writeback of impairment of assets held for sale (note 16)	-	(202,841)
	Impairment of inventory	2,658,933	341,507
	Impairment of other receivables	5,499	268,139
	Gain on fair valuation of derivative	(55,673)	-
TopC3	Increase/(decrease) in provisions	654,689	(229,315,617)
		356,550,700	149,821,062
		-	
TopC3	Changes in working capital:		
	Decrease/(increase) in inventories	771,594	(4,152,542)
	(Increase)/decrease in receivables and prepayments	(18,236,610)	29,528,353
TopC3	(Decrease)/increase in trade and other payables	(53,268,628)	261,554,105
	Decrease in unearned income	(1,072,883)	(386,356)
		(71,806,527)	286,543,560
	Cash generated from operations	284,744,173	436,364,622

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

35 Earnings per share

Earnings per share of N 197.77 (December 2016 : N 218.13) is based on the profit for the year of N80.51 billion (December 2016 : 88.8 billion) and on 407,090,263 ordinary shares in issue at the end of the year (December 2016 : 407,090,263).

Interim dividend of N50 billion (N122.82 per share) for the year ended 31 December 2017 (December 2016 – Nil) was fully paid. The Group also authorised payment of an interim dividend for 2018 of N38.6billion (N94.85 per share) to be paid to holders of Ordinary and “B” Ordinary shares registered in the books of the Group.

The Group has no potential dilutive shares as the issued preference shares are not convertible.

36 Foreign exchange exposure

Included in the Group statement of financial position are the following amounts denominated in currencies other than the functional currency of the Group:

	United States Dollar N '000	British Pound Sterling N '000	Euro N '000	South African Rand N '000	Total N '000
31 December 2017					
Assets					
<i>Current assets</i>					
Trade and other receivables	6,046,571	-	16,379	-	6,062,950
Current investments	9,543,790	-	-	-	9,543,790
Restricted cash	12,993,970	-	-	-	12,993,970
Cash and cash equivalents	970,166	2,315	-	-	972,481
	29,554,497	2,315	16,379	-	29,573,191
Liabilities					
<i>Current liabilities</i>					
Trade and other payables	126,375,960	7,822	1,666,041	3,658	128,053,482
Borrowings	56,723,912	-	-	-	56,723,912
	183,099,872	7,822	1,666,041	3,658	184,777,394
<i>Non-current liabilities</i>					
Borrowings	72,999,439	-	-	-	72,999,439
	72,999,439	-	-	-	72,999,439

Total liabilities	256,099,311	7,822	1,666,041	3,658 257,776,833
31 December 2016				
Assets				
Current assets				
Trade and other receivables	5,502,519	-	3,951	5,506,470
Current investments	11,766,862	-	-	11,766,862
Restricted cash	10,145,016	-	2,054,963	12,199,979
Cash and cash equivalents	1,187,002	1,830	58,469	1,247,301
	28,601,399	1,830	2,117,383	30,720,612
Liabilities				
Current liabilities				
Trade and other payables	112,018,180	1,815	1,908,698	632,277 114,560,970
Borrowings	36,885,324	-	-	36,885,324
	148,903,504	1,815	1,908,698	632,277 151,446,294
Non-current liabilities				
Borrowings	64,713,957	-	-	64,713,957
	64,713,957	-	-	64,713,957
Total liabilities	213,617,461	1,815	1,908,698	632,277 216,160,251

42

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

37 Related party transactions

Related party transactions constitute the transfer of resources, services or obligations between the Group and a party related to the Group, regardless of whether a price is charged.

Various transactions are entered into by the Company and its subsidiaries during the year with related parties. The terms of these transactions are at arm's length. Intra-group transactions are eliminated on consolidation.

Holding and ultimate holding companies

The Company's holding company is MTN International (Mauritius) Limited, a company incorporated in the Republic of Mauritius and its ultimate holding company is MTN Group Limited, a company incorporated in South Africa. MTN Nigeria Communications Limited's subsidiaries are XS Broadband Limited and Visafone Communications Limited, their principal activity is the provision of broadband fixed wireless access service and high quality telecommunication service respectively.

Key management personnel

For the purpose of the key management compensation below, key management personnel is defined as Executive Committee members having the authority and responsibility for planning, directing and controlling the activities of the entity.

	31 December 2017 N '000	31 December 2016 N '000
Key management compensation:		
Salaries and other short-term employee benefits	1,197,381	847,781
Post-employment benefits	92,257	81,492
Other benefits	127,504	192,199
Bonuses	322,970	-
Directors' emoluments (note 9.3)	302,380	209,536
Total	2,042,493	1,331,008

The following is a summary of transactions between the Group and its related parties during the year and balances due at year end:

	31 December 2017 N '000	31 December 2016 N '000
Parent company: MTN International (Mauritius) Limited		
Dividends paid (excluding withholding tax):		
MTN International (Mauritius) Ltd	35,186,615	-
Other parties related to parent company. These are subsidiaries and associates of MTN Group		

		Sales to related parties N '000	Purchases from related parties N '000	Amounts due from related parties N '000	Amounts due to related parties N '000
MTN Sudan	31 December 2017	328	2,157	281	-
	31 December 2016	175	1,568	257	-
MTN Swaziland	31 December 2017	41	349	-	253
	31 December 2016	39	260	-	253
MTN Syria	31 December 2017	3	588	-	-

MTN Uganda	31 December 2016	11	994	-	-
	31 December 2017	2,033	2,106	-	7,641
	31 December 2016	2,693	1,338	-	7,641
MTN Yemen	31 December 2017	15	17	-	-
	31 December 2016	1	53	-	-
MTN Zambia	31 December 2017	62,587	1,206	1,701	2,481
	31 December 2016	11,074	973	-	3,843

43

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

37 Related party transactions (continued)

		Sales to related parties	Purchases from related parties	Amounts due from related parties	Amounts due to related parties
		N'000	N'000	N'000	N'000
MTN Dubai	31 December 2017	282,166	-	137,194 637,235	-
	31 December 2016	20,575	-	589,340	-
MTN South Sudan	31 December 2017	11,464	164	28,157	-
	31 December 2016	1,171	143	22,399	-
MTN Procurement Global Trading Company	31 December 2017	-	2,162,631	-	3,294,413
	31 December 2016	-	-	-	1,475,527
Botswana (MASCOM)	31 December 2017	-	-	-	-
	31 December 2016	279	66	-	-
Lonestar Communications Corporations (Liberia)	31 December 2017	7,899	3,683	22,911	-
	31 December 2016	6,854	3,943	17,671	-
MTN Afghanistan	31 December 2017	-	-	131	-
	31 December 2016	2	22	-	-
MTN Benin	31 December 2017	6,740,210 2,011,738 904,673 873,815			
	31 December 2016	394,765 2,009,521 233,006 1,098,147			
MTN Cameroon	31 December 2017	6,202,740	242,568 667,297 173,223		
	31 December 2016	510,825	123,393 469,502 137,977		
MTN Congo	31 December 2017	3,123	567	24,815	-
	31 December 2016	1,021	621	5,880	-
MTN Cote d'Ivoire	31 December 2017	2,145,357	127,741 398,511 184,773		
	31 December 2016	86,011	98,353	63,239	44,387
MTN Cyprus	31 December 2017	38	257	-	-
	31 December 2016	142	240	-	-
MTN Ghana	31 December 2017	4,601,558	581,795 1,323,375 933,557		
	31 December 2016	456,410	703,669 780,464 760,531		
MTN Guinea Bissau	31 December 2017	247	691	-	1
	31 December 2016	186	442	-	-
MTN Guinea Conakry	31 December 2017	2,287	835	3,604	-
	31 December 2016	1,215	1,407	-	581
MTN Iranancell	31 December 2017	13	465	-	-
	31 December 2016	8	282	-	-
MTN Rwanda	31 December 2017	421	2,082	-	492
	31 December 2016	935	1,073	-	-
MTN South Africa	31 December 2017	7,422,453	151,896 789,664 138,982		
	31 December 2016	611,658	82,052 497,734 131,296		
Interserve Overseas Ltd	31 December 2017	-	2,884,851	-	3,889,554
	31 December 2016	-	-	-	11,099,279
MTN Management Services Co	31 December 2017	-	-	1,332,116 677,416	
	31 December 2016	-	-	666,082 500,981	
MTN Shared Services (SEA)	31 December 2017	-	-	-	398
	31 December 2016	-	-	-	398
MTN MAURITIUS	31 December 2017	-	1,258,643	-	7,732,663
	31 December 2016	-	732,695 924,046 31,413,957		
MTN Holding	31 December 2017	-	-	-	8,559
	31 December 2016	-	-	-	8,559
INT Towers Limited	31 December 2017	-	793,220	775,880	-
	31 December 2016	-	72,083,257 775,880		-
Total	31 December 2017	27,484,983 10,230,250 6,410,310 18,555,456			
	31 December 2016	2,106,050 75,846,365 5,045,500 46,683,357			

Effective 1 February 2017, INT Towers ceased to be a related party to the Group as MTN Group Limited exchanged its 51% interest in Nigeria Tower InterCo B.V., the parent company of INT Towers Limited, for an additional shareholding in IHS Holding Limited.

There was an accrual of N827 million made in the year for donation to MTN Foundation Limited by Guarantee (December 2016 : N957 million).

44

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

38 Share based payment

38.1 Share based payment liability

	31 December 2017 N '000	31 December 2016 N '000
Non-current	655,565	657,448

38.2 Share appreciation rights

Notional share scheme (NSS)

The share based payment liability above relates to the following notional share scheme.

MTN Nigeria Communications Limited operates a notional share scheme, where qualifying staff receive the increase in a phantom MTN share price at exercise date as compared to the offer price.

The scheme is a cash-settled share based payment scheme.

The vesting period is 100% on the third anniversary after the grant date.

Options expire after 10 years from grant date.

2017

Offer date	Naira strike price		Number outstanding at 1 January 2017		Offered During 2017		Expired/Forfeited During 2017		Exercised During 2017		Number outstanding at 31 December 2017	
	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN
01-Apr-2007	-	-	-	-	-	-	-	-	-	-	-	-
01-Oct-2007	-	-	-	-	-	-	-	-	-	-	-	-
01-Apr-2008	-	-	-	-	-	-	-	-	-	-	-	-
01-Nov-2008	2,916	1,291	1,960	1,660	-	-	-	-	-	630	1,960	1,030
01-Apr-2009	3,726	1,570	480	480	-	-	480	480	-	-	-	-
01-Apr-2010	4,991	2,288	8,090	6,980	-	-	-	-	1,410	1,320	6,680	5,660
01-Apr-2011	6,067	3,123	66,200	26,200	-	-	-	-	17,600	4,410	48,600	21,790
01-Apr-2012	6,100	2,780	139,300	86,020	-	-	-	-	26,300	16,820	113,000	69,200
01-Apr-2013	5,009	2,781	373,520	286,080	-	-	-	-	105,808	78,760	267,712	207,320
01-Apr-2014	5,313	3,367	73,100	49,700	-	-	-	-	9,600	6,500	63,500	43,200
01-Apr-2015	5,299	3,354	173,400	117,800	-	-	-	-	19,200	12,600	154,200	105,200
01-Apr-2016	4,747	1,787	175,500	199,600	-	-	-	-	6,700	7,800	168,800	191,800
01-Apr-2017	4,207	2,810	-	-	362,200	232,400	-	-	14,900	9,300	347,300	223,100
			1,011,550	774,520	362,200	232,400	480	480	201,518	138,140	1,171,752	868,300

2016

Offer date	Naira strike price		Number outstanding at 1 January 2016		Offered During 2016		Expired/Forfeited During 2016		Exercised During 2016		Number outstanding at 31 December 2016	
	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN
01-Apr-2007	2,442	1,797	-	-	-	-	-	-	-	-	-	-
01-Oct-2007	2,442	2,005	-	-	-	-	-	-	-	-	-	-
01-Apr-2008	2,916	2,160	-	-	-	-	-	-	-	-	-	-
01-Nov-2008	2,916	1,291	1,960	1,660	-	-	-	-	-	-	1,960	1,660
01-Apr-2009	3,726	1,570	480	480	-	-	-	-	-	-	480	480
01-Apr-2010	4,991	2,288	8,750	7,280	-	-	660	300	-	-	8,090	6,980
01-Apr-2011	6,067	3,123	67,200	26,680	-	-	1,000	480	-	-	66,200	26,200
01-Apr-2012	6,100	2,780	140,300	86,620	-	-	1,000	600	-	-	139,300	86,020
01-Apr-2013	5,009	2,781	395,100	302,660	-	-	21,580	16,580	-	-	373,520	286,080
01-Apr-2014	5,313	3,367	74,000	50,300	-	-	900	600	-	-	73,100	49,700
01-Apr-2015	5,299	3,354	181,600	123,300	-	-	8,200	5,500	-	-	173,400	117,800
01-Apr-2016	4,747	1,787	-	-	193,100	219,400	17,600	19,800	-	-	175,500	199,600
Total			869,390	598,980	193,100	219,400	50,940	43,860	-	-	1,011,550	774,520

The weighted average price of the GAN options granted during the year is N4,207.04; 362,200 options (2016: N1,787.48; 219,400), while the weighted average price of LAN options granted during the year is N2,809.76; 232,400 options (2016: N4,746.84; 193,100 options)

The options outstanding at the end of the year under review have a weighted remaining contractual life of seven years (2016: eight years).

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments

Introduction

Financial assets and financial liabilities are recognised on the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument. The Group classifies its financial instruments into the following categories depending on the purpose for which the financial instruments were acquired:

- Financial assets: loans and receivables, fair value through profit or loss, available for sale and held to maturity;
- Financial liabilities: fair value through profit or loss and amortised cost.

Financial instruments comprise trade and other receivables, cash and cash equivalents, current investments, borrowings and trade and other payables.

The Group has exposure to the following risks from its use of financial instruments: credit risk, liquidity risk and market risk (foreign exchange and interest rate risk). This note presents information about the Group's exposure to each of the above risks, the Group's

objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

Risk profile

The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Group.

Risk management is carried out under policies approved by the Board of Directors of the Group. The Group's executives identify and evaluate financial risks. The Board provides written principles for overall risk management, as well as for specific areas such as foreign exchange risk, interest rate risk, credit risk and investing excess liquidity.

The carrying value of financial instruments materially approximate their fair values.

39.1 Accounting classes and fair values

	Loans and receivables	Fair value through profit or loss	Available for sale	Held to Maturity	Amortised Cost	Total Carrying Amount
	N '000	N '000	N '000	N '000	N '000	N '000
31 December 2017						
Non-current financial assets						
Derivative asset	-	55,673	-	-	-	55,673
	-	55,673	-	-	-	55,673
Current financial assets						
Trade and other receivables	22,170,037	-	-	-	-	22,170,037
Current investments	9,543,790	8,922,552	9,970,842	42,641,311	-	71,078,495
Cash at bank and on hand	89,564,964	-	-	-	-	89,564,964
Restricted cash	41,617,634	-	-	-	-	41,617,634
	162,896,425	8,922,552	9,970,842	42,641,311	-	224,431,130
	162,896,425	8,978,225	9,970,842	42,641,311	-	224,486,803
Non-current financial liabilities						
Borrowings	-	-	-	-	135,544,915	135,544,915
Regulatory fine	-	-	-	-	91,656,623	91,656,623
	-	-	-	-	227,201,538	227,201,538
Current financial liabilities						
Trade and other payables	-	-	-	-	37,888,687	37,888,687
Current borrowings	-	-	-	-	119,820,228	119,820,228
Accrued expenses	-	-	-	-	161,057,759	161,057,759
Other payables	-	-	-	-	810,349	810,349
Intercompany payables	-	-	-	-	18,555,456	18,555,456
Regulatory fine	-	-	-	-	101,119,141	101,119,141
	-	-	-	-	439,251,620	439,251,620
	-	-	-	-	666,453,158	666,453,158

46

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)

39.1 Accounting classes and fair values (continued)

	Loans and receivables	Fair value through profit or loss	Available for sale	Held to Maturity	Amortised Cost	Total Carrying Amount
	N '000	N '000	N '000	N '000	N '000	N '000
31 December 2016						
Current financial assets						
Trade and other receivables	28,525,322	-	-	-	-	28,525,322
Current Investments	13,801,205	15,261,582	6,426,819	115,947,851	-	151,437,457
Cash at bank and on hand	146,369,032	-	-	-	-	146,369,032
Restricted cash	17,260,604	-	-	-	-	17,260,604
	205,956,163	15,261,582	6,426,819	115,947,851	-	343,592,415
Non-current financial liabilities						
Borrowings	-	-	-	-	189,783,327	189,783,327
Regulatory fine	-	-	-	-	168,060,851	168,060,851
	-	-	-	-	357,844,178	357,844,178
Current financial liabilities						
Trade and other payables	-	-	-	-	75,656,792	75,656,792
Accrued expenses	-	-	-	-	102,193,339	102,193,339
Other payables	-	-	-	-	5,076,039	5,076,039
Intercompany payables	-	-	-	-	46,683,357	46,683,357
Borrowings	-	-	-	-	100,054,289	100,054,289
Regulatory fine	-	-	-	-	29,002,060	29,002,060
	-	-	-	-	358,665,876	358,665,876

- - - - 716,510,054 716,510,054

Withholding tax credit note receivable yet to be utilised to offset income tax liability has been excluded from trade and other receivables as non-financial asset. Output VAT has also been excluded from other payables as non-financial liability.

39.2 Fair value estimation

Where a financial asset or liability is carried on the statement of financial position at fair value, additional disclosure is required. In particular, the fair values need to be classified in accordance with the 'fair value hierarchy'. This fair value hierarchy distinguishes between different fair value methodologies based on the level of subjectivity applied in the valuation. The fair value hierarchy is split into the following levels:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities (e.g. the price quoted on a stock exchange for a listed share)

Level 2: Valuation techniques with inputs other than quoted prices (included within level 1) that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (e.g. a valuation that uses observable interest rates or foreign exchange rates as inputs)

Level 3: Valuation techniques with inputs that are not based on observable market data (that is, unobservable inputs) (e.g. a valuation that uses the expected growth rate of an underlying business as input)

The Group's financial instruments measured at fair value are presented below.

	Level 1 N '000	Level 2 N '000	Level 3 N '000	Total N '000
31 December 2017				
Assets				
Fair value through profit or loss	8,922,552	-	-	8,922,552
Available for sale assets	9,970,842	-	-	9,970,842
Derivative asset	-	55,673	-	55,673
	18,893,394	55,673	-	18,949,067

47

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)

39.2 Fair value estimation (continued)

	Level 1 N '000	Level 2 N '000	Level 3 N '000	Total N '000
31 December 2016				
Assets				
Fair value through profit or loss	15,261,582	-	-	15,261,582
Available for sale assets	6,426,819	-	-	6,426,819
	21,688,401	-	-	21,688,401

Fair value measurements for financial instruments not measured at fair value.

Loans and receivables and financial liabilities at amortised cost – The carrying value of current receivables and liabilities measured at amortised cost approximates their fair value.

The fair values of the majority of the non-current liabilities measured at amortised cost are also not significantly different from their carrying values.

39.3 Financial assets and liabilities subject to offsetting

Financial assets and liabilities are offset and the net amount reported in the statement of financial position where the Group currently has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. Interconnect partners payables are offset against its receivables and reported on a net basis in the statement of financial position.

The following table presents the Group's financial assets and liabilities that are subject to offsetting:

31 December 2017	Gross amount N '000	Amount offset N '000	Net amount N '000
Current financial assets			
Interconnect receivables	32,723,775	17,910,195	14,813,580
	32,723,775	17,910,195	14,813,580
Current financial liabilities			
Interconnect payables	17,910,195	17,910,195	-
	17,910,195	17,910,195	-
31 December 2016			
	Gross amount N '000	Amount offset N '000	Net amount N '000

Current financial assets			
Interconnect receivables	32,670,800	17,730,689	14,940,111
	32,670,800	17,730,689	14,940,111
Current financial liabilities			
Interconnect payables	17,730,689	17,730,689	-
	17,730,689	17,730,689	-

48

MTN Nigeria Communications Limited

Notes to the consolidated financial statements*For the year ended 31 December 2017 (continued)***39 Financial risk management and financial instruments (continued)****39.4 Credit risk**

Credit risk, or the risk of financial loss to the Group due to customers or counterparties not meeting their contractual obligations and is managed through the application of credit approvals, limits and monitoring procedures.

The Group's maximum exposure to credit risk is represented by the carrying amount of the financial assets that are exposed to credit risk.

The following instruments give rise to credit risk	31 December	31 December
	2017	2016
	N '000	N '000
Trade and other receivables	22,170,037	28,525,322
Cash at bank and on hand	89,564,964	146,369,032
Restricted cash	41,617,634	17,260,604
Current investments	71,078,495	151,437,457
Derivative asset	55,673	-
	224,486,803	343,592,415

Cash and cash equivalents, restricted cash, current investments and derivative asset

The Group's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate values of investment portfolio is spread amongst approved financial institutions, typically lending institutions to the Group. The Group actively seeks to limit the amount of credit exposure to any one financial institution (not more than 30% of total exposure) and credit exposure is controlled by a right of set off and counterparty limits indexed against the facility amount provided to the Group by each of the lending institutions. Excess cash over and above these limits are invested in government securities.

These financial assets are neither past due nor impaired and are assessed by reference to the counterparty financial institutions' credit ratings.

The credit ratings of the counterparty financial institutions where we have bank deposits and restricted cash range from ngA to CCC.

The credit ratings of the counterparty financial institutions where we have current investment range from ngA to BBB+(ng).

The credit rating of the counterparty financial institutions with whom we have derivative asset is A3.

Trade and other receivables

The majority of the Group's trade receivables are due from large national or multinational companies where the risk of default is considered low. The amounts presented in the consolidated balance sheet are net of allowances for doubtful receivables, estimated by the Group's management based on prior experience and their assessment of the current economic environment.

49

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)

39.4 Credit risk (continued)

Ageing and impairment analysis

	31 December 2017 N '000	31 December 2017 N '000	31 December 2017 N '000	31 December 2016 N '000	31 December 2016 N '000	31 December 2016 N '000
	Gross Allowance for impairment		Net	Gross Allowance for impairment		Net
Neither past due nor impaired trade receivables*	7,320,528	-	7,320,528	9,374,076	-	9,374,076
Interconnect receivables	1,598,352	-	1,598,352	301,568	-	301,568
Contract receivables	5,554,885	-	5,554,885	8,452,303	-	8,452,303
Other receivables	167,291	-	167,291	620,205	-	620,205
Past due but not impaired trade receivables**	3,496,853	-	3,496,853	2,154,470	-	2,154,470
Interconnect receivables	875,036	-	875,036	2,154,470	-	2,154,470
0 to 3 months	875,036	-	875,036	-	-	-
3 to 6 months	-	-	-	2,154,470	-	2,154,470
Contract receivables	1,915,158	-	1,915,158	-	-	-
0 to 3 months	1,047,548	-	1,047,548	-	-	-
3 to 6 months	867,610	-	867,610	-	-	-
Other receivables	706,659	-	706,659	-	-	-
0 to 3 months	644,440	-	644,440	-	-	-
3 to 6 months	62,219	-	62,219	-	-	-
Impaired trade receivables***	24,818,896 (24,044,339)	774,557 20,467,106	(18,450,877) 2,016,229			
Interconnect receivables	14,607,611 (14,607,611)	-	-	9,670,517 (8,865,395)		805,122
Contract receivables	8,078,402 (7,638,963)	439,439 10,796,589	(9,585,482) 1,211,107			
Other receivables	2,132,883 (1,797,765)	335,118	-	-	-	-
Total	35,636,277 (24,044,339)	11,591,938 31,995,652	(18,450,877) 13,544,775			

*These classes of trade and other receivables do not contain impaired assets and are not past due. Based on the credit history of these classes, it is expected that these amounts will be received when due.

**These classes of trade and other receivables do not contain impaired assets and are past due. These relate to a number of independent customers for whom there is no recent history of default.

***Individual receivables which are known to be uncollectible are immediately impaired. Other receivables are assessed collectively to determine whether there is objective evidence that an impairment has been incurred but is not yet been identified.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)

39.4 Credit risk (continued)

At beginning of year N '000	Additions N '000	Unused reversed N '000	Write off N '000	At end of year N '000
-----------------------------------	---------------------	------------------------------	---------------------	--------------------------

Impairment movement**31 December 2017**

Movement in provision for impairment of trade receivables	18,450,877	5,593,862	2,120	(2,520)	24,044,339
---	-------------------	-----------	-------	---------	-------------------

31 December 2016

Movement in provision for impairment of trade receivables	18,704,443	6,430,172	(6,685,216)	1,478	18,450,877
---	-------------------	-----------	-------------	-------	-------------------

Credit quality

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to historical information about counterparty default rates.

	31 December 2017 N '000	31 December 2016 N '000
Counterparties without external credit rating		
Group 1	2,659,805	3,415,864
Group 2	4,660,723	5,958,212
Total trade receivables	7,320,528	9,374,076

Group 1 – Existing customers (more than 6 months) with some defaults in the past. All defaults were fully recovered.

Group 2 – Existing customers (more than 6 months) amounts received regularly and on time historically.

39.5 Liquidity risk

Liquidity risk is the risk that an entity will be unable to meet its obligations as they become due.

The Group's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group ensures it has sufficient cash on demand (currently the Group is maintaining a positive cash position) or access to facilities to meet expected operational expenses, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)**39.5 Liquidity risk (continued)**

The following are the liquid resources:

	Carrying Amount	
	31 December 2017 N '000	31 December 2016 N '000
Cash at bank and on hand	89,564,964	146,369,032
Trade and other receivables	22,170,037	28,525,322
Current investments	71,078,495	151,437,457
	182,813,496	326,331,811

The following are the contractual maturities of financial liabilities:

	Carrying amount N '000	Payable within one month or on demand N '000	More than one month but not exceeding three months N '000	More than three months but not exceeding one year N '000	More than one year but not exceeding two years N '000	More than two years but not exceeding five years N '000	Total N '000
31 December 2017							
Trade and other payables	37,888,687	17,667,779	20,220,908	-	-	-	37,888,687
Accrued expenses	161,057,759	5,176,610	155,881,149	-	-	-	161,057,759
Other payables	810,349	89,252	697,531	23,566	-	-	810,349
Intercompany payables	18,555,456	-	18,555,456	-	-	-	18,555,456

Current regulatory fine	101,119,141			55,000,000	55,000,000	-	-	110,000,000
Current borrowings	119,830,228	3,627,084	20,156,008	125,912,988		-	-	149,696,080
Non-current regulatory fine	91,656,623	-	-	-	110,000,000	-	-	110,000,000
Non-current borrowings	135,544,915	-	-	-	-	139,294,513	37,584,434	176,878,947
	666,453,158	26,560,725	270,511,052	180,936,554	249,294,513	37,584,434	764,887,278	

31 December 2016

Trade and other payables	75,656,792	37,751,431	37,905,361	-	-	-	-	75,656,792
Accrued expenses	102,193,339	4,348,614	97,844,725	-	-	-	-	102,193,339
Other payables	5,076,039	49,638	273,936	4,752,465	-	-	-	5,076,039
Intercompany payables	46,683,357	-	46,683,357	-	-	-	-	46,683,357
Current regulatory fine	29,002,060	-	30,000,000	-	-	-	-	30,000,000
Current borrowings	100,054,289	6,629,994	13,747,568	114,578,423	-	-	-	134,955,985
Non-current regulatory fine	168,060,851	-	-	-	110,000,000	110,000,000	-	220,000,000
Non-current borrowings	189,783,327	-	-	-	-	120,202,286	101,265,847	221,468,133
	716,510,054	48,779,677	226,454,947	119,330,888	230,202,286	211,265,847	836,033,645	

52

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)**39.6 Market risk**

Market risk is the risk that changes in market prices (interest rate, price risk and currency risk) will affect the Group's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The Group is not exposed to price risk.

Derivatives are entered into solely for risk management purposes and not as speculative investments. The Group treasury policy specifies approved instruments which may be used to economically hedge the Group's exposure to variability in foreign currency and to manage and maintain market risk exposures within the parameters set by the Group's board of directors.

39.6.1 Interest rate risk

Interest rate risk is the risk that the cash flow or fair value of an interest bearing financial instrument will fluctuate because of changes in market interest rates.

Financial assets and liabilities that are sensitive to interest rate risk are cash and cash equivalents, short term investments and loans payable.

The interest rates applicable to these financial instruments are on a combination of floating and fixed basis in line with those currently available in the market.

The Group's interest rate risk arises from the reprising of the Company's floating rate debt, incremental funding or new borrowings, the refinancing of existing borrowings and the magnitude of the significant cash balances which exist.

The Group manages its debt on an optimal mix of local and foreign borrowings and fixed and floating interest rates.

Changes in the fair value of the interest rate swap during the year were insignificant.

Profile

At the reporting date the interest rate profile of the Group's financial instruments is as follows:

	31 December 2017			31 December 2016		
	Fixed rate instruments	Variable rate instruments	Non interest bearing	Fixed rate instruments	Variable rate instruments	Non interest bearing
	N '000	N '000	N '000	N '000	N '000	N '000
Financial assets						
Cash at bank and on hand	86,400,166	-	3,164,798	138,024,373	-	8,344,659
Current investments	71,078,495	-	-	151,437,457	-	-
Restricted cash	-	-	41,617,634	-	-	17,260,604
Trade and other receivables	-	-	22,170,037	-	-	28,525,322
	157,478,661	-	66,952,469	289,461,830	-	54,130,585
Financial liabilities						
Trade payables	-	-	37,888,687	-	-	75,656,792
Accrued expenses	-	-	161,057,759	-	-	102,193,339
Other payables	-	-	810,349	-	-	5,076,039
Intercompany payables	-	18,555,456	-	-	46,683,357	-
Current regulatory fine	-	-	101,119,141	-	-	29,002,060
Current borrowings	6,327,964	113,492,264	-	5,168,725	94,885,564	-
Non-current regulatory fine	-	-	91,656,623	-	-	168,060,851
Non-current borrowings	5,450,822	130,094,093	-	10,585,813	179,197,514	-

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)

39.6 Market risk (continued)

Sensitivity analysis

The Group has used a sensitivity analysis technique that measures the estimated change to profit or loss of an instantaneous increase or decrease of 1% (100 basis points) in market interest rates, from the rate applicable at 31 December, for each class of financial instrument with all other variables remaining constant.

The Group is mainly exposed to fluctuations in the following market interest rates: LIBOR and NIBOR. Changes in market interest rates affect the interest income or expense of floating rate financial instruments. Changes in market interest rates only affect profit or loss in relation to financial instruments with fixed interest rates if these financial instruments are recognised at their fair value.

A change in the above market interest rates at the reporting date would have increased/(decreased) the profit before tax by the amounts shown below.

The analysis has been performed on the basis of the change occurring at the reporting date and assumes that all other variables, in particular foreign currency rates, remains constant. The analysis is performed on the same basis for 2016.

Expense	31 December 2017			31 December 2016		
	Increase/(decrease) in profit before tax			Increase/(decrease) in profit before tax		
	Change in interest rate	Upward change in interest rate	Downward change in interest rate	Change in interest rate	Upward change in interest rate	Downward change in interest rate
	%	N '000	N '000	%	N '000	N '000
LIBOR	1	(1,227,566)	1,227,566	1	(1,159,043)	1,159,043
NIBOR	1	(1,265,809)	1,265,809	1	(1,880,000)	1,880,000

39.6.2 Currency risk

Currency risk is the exposure to exchange rate fluctuations that have an impact on cash flows and financing activities.

The Group operations is exposed to currency risk arising from various currency exposures. Currency risk arises when future commercial transactions or recognised assets and liabilities are denominated in a currency that is not the entity's functional currency. Refer to note 36.

The Group manages foreign currency risk on major foreign denominated purchase orders through the use of Letters of Credit. The Group has also entered into a currency swap arrangement to enhance dollar liquidity to address critical operational requirements.

Sensitivity analysis

The Group is mainly exposed to fluctuations in foreign exchange rates in respect of the US Dollar, being the significant foreign denominated currency.

The Group has used a sensitivity analysis technique that measures the estimated change to the income statement of an instantaneous 10% strengthening or 5% weakening in the Nigerian Naira against the US Dollar, from the rate applicable at 31 December, for each class of financial instrument with all other variables, in particular interest rates, remaining constant.

A change in the foreign exchange rates to which the Group is exposed at the reporting date would have increased/(decreased) profit before tax by the amounts shown below.

The analysis has been performed on the basis of the change occurring at the start of the reporting period. The analysis is performed on the same basis for 2016.

Transactions in foreign currencies other than US Dollars were not significant.

	31 December 2017			31 December 2016		
	Increase/(decrease) in profit before tax			Increase/(decrease) in profit before tax		
	Change in exchange rate	10% weakening in Naira, resulting in a decrease in profit before tax	5% strengthening in Naira, resulting in an increase in profit before tax	Change in exchange rate	10% weakening in Naira, resulting in a decrease in profit before tax	5% strengthening in Naira, resulting in an increase in profit before tax
Denominated:Functional	%	N '000	N '000	%	N '000	N '000
USD:NGN	10	(19,136,979)	9,568,490	10	(18,539,012)	9,269,506

MTN Nigeria Communications Limited

Notes to the consolidated financial statements

For the year ended 31 December 2017 (continued)

39 Financial risk management and financial instruments (continued)

39.7 Capital risk management

The Group seeks to optimise its capital structure by ensuring adequate gearing levels taking into consideration working capital, cash flow, existing loan covenants, operational requirements, business plan and broader macro- economic conditions.

It maximizes external borrowings on the back of its strong cash generating capacity. In line with its funding policy, the Group diversifies funding sources across local and international markets and ensures that new facility conditions comply with existing loan covenants.

Management monitors Net Debt to EBITDA and EBITDA to Net Interest in line with the financial covenants in the loan agreement while it seeks to limit refinancing risk by controlling the concentrations of maturing obligations in the short end of maturity profile. Equity approximates share capital and reserves. EBITDA is defined as earnings before interest, tax, depreciation, amortisation and goodwill impairment/losses.

Gross debt relates to MTN syndicated medium term loan, net debt is the gross debt less cash and cash equivalents and total funding is gross debt plus equity.

	31 December 2017 N '000	31 December 2016 N '000
Revenue	885,440,252	793,672,967
Operating expenses excluding depreciation and amortisation.	(539,873,670)	(417,584,316)
EBITDA	345,566,582	376,088,651
Gross debt	255,365,143	289,837,616
Cash & cash equivalent	89,564,964	146,369,032
Net debt	165,800,179	143,468,584
Gross debt	255,365,143	289,837,616
Equity	108,849,377	78,169,085
Total funding	364,214,520	368,006,701
Gross debt :Total funding	70%	79%
Net debt: Total funding	46%	39%
Net debt : EBITDA	48%	38%

40 Events after reporting period

On 19 January 2018, the Nigerian Communications Commission wrote to MTN Nigeria regularising the sale of the 700MHz spectrum for provision of telecommunication services, Mobile Broadband (MBB) at no additional cost to MTN. This is to ensure the immediate deployment of the much needed Broadband services on the 700MHz spectrum and facilitate meeting the penetration in the National Broadband Plan. The effective date of the licence was also reviewed to 16 January 2018.

At the Extraordinary General Meeting of MTN Nigeria Communications Limited held on 8 February 2018, the Board approved the following:

- That the nominal value of all the ordinary shares in the Company's authorised share capital be sub-divided from One Naira (N1.00) each to two kobo (2k) each.
- That the existing 4,500,000 B ordinary shares of the Company be renamed and reclassified as Ordinary shares of the Company.
- That the authorised share capital of the Company be increased from Five Hundred and Four Million, Five Hundred Thousand Naira (N504,500,000) to Five Hundred and Fifty-Seven Million Naira (N577,000,000) by the creation and addition of 52,500,000 ordinary shares of One Naira (N1.00) each, such shares to rank pari passu in all respects with the existing ordinary shares in the capital of the Company.
- That the Company which is presently a private limited liability company be re-registered as a public limited liability company.
- That subject to the approvals of the relevant third party and regulatory authorities offer and issue up to 3,500,000,000 ordinary shares of 2 kobo each in the Company's unissued share capital, by way of an Initial Public Offering (Offer for subscription and or Offer for Sale).

On 8 February 2018, at the General Meeting of the holders of ordinary shares of MTN Nigeria Communications Limited, it was approved that the ordinary shares in the share capital of the company be delinked from the preference shares in the share capital of the Company. Further to this, on 22 February 2018 at the General Meeting of the holders of preference shares, it was approved that the preference shares be delinked from the ordinary shares in the share capital of the Company.

MTN Nigeria Communications Limited and its Subsidiaries

Other National Disclosures

MTN Nigeria Communications Limited

Consolidated Statement of Value Added

For the year ended 31 December 2017

	Group 2017		Group 2016	
	N '000	%	N '000	%
Revenue	885,440,252		793,672,967	
Bought-in materials and services				
Local	(430,501,064)		(339,349,241)	
Imported	(43,904,455)		(34,744,885)	
Value added	411,034,733 100		419,578,841 100	
Applied to pay:		%		%
- Employees	22,683,483	6	23,700,895	6
- Government as taxes	26,551,574	6	37,850,862	9

- Regulatory fine	-	-	(20,383,675) (5)	
- Lenders as interest	131,542,282	32	145,829,806	35
Retained in the business:				
- Depreciation and impairment	123,099,371	30	116,884,493	28
- Amortisation	26,648,659	6	26,896,120	6
- Retained profit for the year	80,509,364	20	88,800,340	21
Value added	411,034,733 100		419,578,841 100	

56

MTN Nigeria Communications Limited

Consolidated Five-Year Financial Summary*For the year ended 31 December 2017*

	Group December 2017	Group December 2016	Group December 2015	Group December 2014	Group December 2013
	N '000	N '000	N '000	N '000	N '000
Revenue	885,440,252	793,672,967	807,448,831	824,806,801	793,613,587
Profit(loss) before taxation	107,060,938	126,651,202	(12,334,936)	290,606,355	311,345,984
Taxation	(26,551,574)	(37,850,862)	(67,954,967)	(81,579,482)	(94,024,003)
Profit(Loss) for the year	80,509,364	88,800,340	(80,289,903)	209,026,873	217,321,981
Assets employed:					
Property, plant and equipment	582,438,885	494,670,217	450,873,469	513,908,934	637,454,518
Intangible assets	128,602,009	141,488,116	136,327,243	34,348,986	38,010,014
Other non current assets	39,392,228	26,862,943	26,882,566	27,014,374	39,011,117
Net current (liabilities)/assets	(300,826,696)	(123,644,540)	(62,342,053)	46,677,503	(43,044,811)
Non current liabilities	(340,757,049)	(461,207,651)	(562,698,201)	(450,788,002)	(470,435,101)
Net assets/(liabilities)	108,849,377	78,169,085	(10,956,976)	171,161,795	200,995,737
Capital and reserves:					
Share capital	646,510	646,510	646,510	646,510	646,510
Share premium	64,498,466	64,498,466	64,498,466	64,498,466	64,498,466
Retained profit/(loss)	43,207,752	12,698,388	(76,101,952)	106,016,819	135,850,761
Reserve available for sale	496,649	325,721	-	-	-
Shareholders' funds	108,849,377	78,169,085	(10,956,976)	171,161,795	200,995,737
Earnings(loss) per share - basic/diluted	N 197.77	N 218.13	(N 197.23)	N 513.47	N 533.84

Net assets/(liabilities) per share	N 267.38	N 192.02	(N 26.92)	N 420.45	N 493.74
------------------------------------	----------	----------	-----------	----------	----------

**These figures are stated in accordance with Nigerian GAAP (Statement of Accounting Standards)

MTN Nigeria Communications Limited

Company Financial Statements - 31 December 2017

MTN Nigeria Communications Limited

Company statement of profit or loss*For the year ended 31 December 2017*

		December 2017 N'000	December 2016 N'000
Revenue	2	884,067,477	789,891,896
Direct network operating costs	6	(268,589,297)	(172,334,155)
Value added services		(28,193,641)	(34,237,175)
Blackberry licence fees		239,542	(5,634,538)
Cost of handsets and other accessories		(7,182,432)	(4,182,878)
Interconnect costs		(84,159,211)	(75,849,883)
Roaming costs		(2,712,740)	(2,164,956)
Transmission costs		(6,036,436)	(4,795,703)
Employee benefits	4	(22,683,483)	(23,700,895)
Discounts and commissions		(44,867,233)	(44,086,830)
Advertisements, sponsorships and sales promotions		(15,605,812)	(17,993,932)
Reversal of impairment/(impairment) of property, plant and equipment	8	718,535	(41,714)
Writeback of impairment of assets held for sale	12	-	202,841
Other operating expenses	5	(61,346,228)	(46,299,279)
Regulatory fine	22	-	20,383,675
Depreciation	8	(123,817,906)	(116,842,779)
Amortisation of intangible assets	9	(21,295,339)	(21,542,802)
Operating profit		198,535,796	240,770,893
Finance income	3	43,503,188	40,131,253
Finance costs	3	(131,542,057)	(145,829,806)
Profit before tax		110,496,927	135,072,340
Income tax expense	7	(27,545,728)	(39,183,768)
Profit for the year		82,951,199	95,888,572
Attributable to:			
Owners of the parent		82,951,199 95,888,572	
		82,951,199 95,888,572	
Profit per share - basic/diluted	31	N 203.77	N 235.55

The accompanying notes are an integral part of these financial statements.

MTN Nigeria Communications Limited

Company statement of comprehensive income*For the year ended 31 December 2017*

December December

	2017 N '000	2016 N '000
Profit for the year	82,951,199	95,888,572
<i>Items that may be reclassified to profit or loss</i>		
-Changes in the fair value of available for sale financial assets	170,923	325,721
Total comprehensive income for the year	83,122,122	96,214,293
Attributable to:		
Owners of the parent	83,122,122	96,214,293
	83,122,122	96,214,293

Financial assets classified as available for sale fair valued through other comprehensive income are Federal Government treasury bills investments which are exempted from company income tax.

The accompanying notes are an integral part of these financial statements.

59

Page 64 MTN Nigeria Communications Limited

Company statement of financial position

at 31 December 2017

		31 December 2017 N '000	31 December 2016 N '000
ASSETS	Notes		
Non-current assets			
Property, plant and equipment	8	582,378,208	494,609,541
Intangible assets	9	80,988,218	88,870,605
Investments in subsidiaries	10	43,778,000	43,778,000
Non-current prepayments	14	13,683,216	18,449,756
Deferred tax assets	25	25,653,339	8,413,187
Derivative asset	11	55,673	-
		746,536,654	654,121,089
Current assets			
Assets held for sale	12	174	7,229
Inventories	13	5,736,633	9,167,159
Trade and other receivables	14	32,620,975	38,817,158
Current investments	15	71,078,495	151,437,457
Restricted cash	16	41,617,634	17,260,604
Cash and cash equivalents	17	89,046,974	146,046,048
		240,100,885	362,735,655

Total assets		986,637,539	1,016,856,744
EQUITY			
Share capital	18	646,510	646,510
Share premium	19	64,498,466	64,498,466
Retained profit/(loss)		53,641,689	20,690,490
Other reserves		496,644	325,721
		119,283,309	86,161,187
LIABILITIES			
Non-current liabilities			
Borrowings	20.0	135,544,915	189,783,327
Share based payment liability	34.1	655,565	657,448
Regulatory fine liability	22	91,656,623	168,060,851
Provisions	24	70,048	210,196
Deferred tax liabilities	25	102,245,935	90,402,524
		330,173,086	449,114,346
Current liabilities			
Trade and other payables	21	241,411,852	249,866,266
Unearned revenue	23	38,117,902	39,197,526
Regulatory fine liability	22	101,119,141	29,002,060
Provisions	24	13,192,909	12,526,264
Tax liabilities	28	23,519,112	50,934,806
Borrowings	20.0	119,820,228	100,054,289
		537,181,144	481,581,211
Total liabilities		867,354,230	930,695,557
Total equity and liabilities		986,637,539	1,016,856,744

The accompanying notes are an integral part of these financial statements.

The Financial Statements were approved by the Board of Directors on 8th February 2018 and signed on behalf of the Board of Directors by:

.....		
Pascal Dozie	Ferdinand Moolman	Adekunle Awobodu
Chairman of the Board of Directors	Chief Executive Officer	Chief Financial Officer
FRC/2013/CIBN/00000002852	FRC/2016/IODN/00000015147	FRC/2016/ANAN/00000015524

MTN Nigeria Communications Limited

Company statement of changes in equity

For the year ended 31 December 2017

	Attributable to owners of the parents							Total Equity
	Share capital	Share premium	Other retained	Pioneer retained	Total retained	Other	Total	
			earnings	earnings**	(loss)/profit	reserves	shareholders' fund	
	N '000	N '000	N '000	N '000	N '000	N '000	N '000	N '000
Balance at 1 January 2016	646,510	64,498,466	(80,289,903)	5,091,821	(75,198,082)	-	(10,053,106)	(10,053,106)
Profit for the year	-	-	95,888,572	-	95,888,572	-	95,888,572	95,888,572
Other comprehensive income	-	-	-	-	-	325,721	325,721	325,721
Balance at 31 December 2016	646,510	64,498,466	15,598,669	5,091,821	20,690,490	325,721	86,161,187	86,161,187
Balance at 1 January 2017	646,510	64,498,466	15,598,669	5,091,821	20,690,490	325,721	86,161,187	86,161,187
Profit for the year	-	-	82,951,199	-	82,951,199	-	82,951,199	82,951,199
Other comprehensive income	-	-	-	-	-	170,923	170,923	170,923
Dividend paid	-	-	(50,000,000)	-	(50,000,000)	-	(50,000,000)	(50,000,000)
Balance at 31 December 2017	646,510	64,498,466	48,549,868	5,091,821	53,641,689	496,644	119,283,309	119,283,309

Interim dividend of N122.82 per share for the year ended 31 December 2017 (December 2016 – Nil) was fully paid.

**Pioneer retained earnings are disclosed separately in line with the provisions of the Industrial Development (Income Tax Relief) Act. The Act exempts profit from a pioneer trade from income tax and requires that such profit be credited into a separate account. The pioneer period ended in April 2007 thus, retained earnings after that date are referred to as other retained earnings.

The accompanying notes are an integral part of these financial statements.

MTN Nigeria Communications Limited

Company statement of cash flows*For the year ended 31 December 2017*

		December 2017 N '000	December 2016 N '000
Notes			
Cash flows from operating activities:			
Cash generated from operations	30	284,371,483	435,436,532
Increase in non-current prepayments		(1,448,027)	(2,728,764)
Share based payment		(1,883)	(300,462)
Interest received		10,969,373	13,558,749
Interest paid		(47,233,403)	(42,251,182)
Dividends paid		(50,000,000)	-
Regulatory fine paid	22	(30,000,000)	(80,000,000)
Tax paid	28	(58,699,327)	(80,258,773)
Net cash generated from operating activities		107,958,216	243,456,101
Cash flows from investing activities:			
Proceeds from the sale of assets held for sale		7,055	532,520
Acquisition of property, plant and equipment		(193,015,247)	(139,820,482)
Proceeds from sale of property, plant and equipment		544,028	1,605,111
Acquisition of intangible asset	9	(10,319,689)	(26,844,230)
Disposal of/(investment) in bonds, treasury bills and foreign deposits		117,347,881	(43,541,100)
Increase in restricted cash		(24,357,030)	(1,041,849)
Net cash used in investing activities		(109,793,002)	(209,110,030)
Cash flows from financing activities:			
Proceeds from borrowings		50,516,108	-
Repayment of borrowings		(106,889,704)	(91,943,983)
Net cash used in financing activities		(56,373,596)	(91,943,983)
Net decrease in cash and cash equivalents		(58,208,383)	(57,597,912)
Cash and cash equivalents at beginning of year		146,046,048	200,617,101
Exchange gain on cash and cash equivalents		1,209,309	3,026,859
Cash and cash equivalents at end of year	17	89,046,974	146,046,048

The accompanying notes are an integral part of these financial statements.

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017

1. The significant accounting policies adopted by the Company in the preparation of the Financial Statements are set out in pages 12 to 19. The Company's general information is also stated on page 12.

	December 2017	December 2016
	N '000	N '000
2. Revenue		
Airtime and subscription	553,634,492	505,807,494
Data	116,668,280	66,369,621
SMS	12,622,507	11,010,800
Interconnect and roaming	103,559,955	100,820,238
Handset and accessories	635,842	266,194
Digital	69,410,549	87,555,746
Value added service	23,987,319	15,657,437
Other revenues	3,548,533	2,404,366
	884,067,477	789,891,896
Other revenues includes SIM kits connection fees, Information and Communications Technology (ICT) services and Mobile Financial Services (MFS).		
3. Finance income and finance costs		
Recognised in profit or loss:		
Finance income		
Interest income on bank deposits	12,747,895	14,392,678
Interest income on held-to-maturity investments	24,056,714	13,330,689
Net gain on held for trading investments	2,694,230	973,195
Net gain on available for sale investments	1,426,739	546,673
Interest income on intercompany receivables	12,971	7,080
Currency swap gain	55,673	-
Foreign exchange gain	2,508,966	10,880,938
	43,503,188	40,131,253
Finance costs		
Interest expense - borrowings	46,163,752	41,327,685
Interest expense - others	3,001,126	1,747,986
Interest expense - intercompany payables	1,258,643	732,695
Time value accretion on regulatory fine	25,712,853	22,372,839
Foreign exchange loss	55,405,683	79,648,601
	131,542,057	145,829,806
4. Employee benefits		
Salaries and wages	18,463,130	18,947,048
Post employment benefits	1,344,731	1,522,636
Employee share option scheme (note 34)	-	1,100,000
Other staff costs	2,875,622	2,131,211
	22,683,483	23,700,895

Other staff costs comprises of mortgage subsidy, long service award, termination benefits, reward and recognition, group life Insurance, medical expenses, etc.

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

4.1 Particulars relating to employees

Employees of the Company, other than directors, whose duties were wholly or mainly discharged in Nigeria received remuneration (excluding pension contributions) in the following ranges:

	December 2017 Number	December 2016 Number
N 1 900 001 - N 2 500 000	45	20
N 2 500 001 - N 3 500 000	23	40
N 3 500 001 - N 4 500 000	123	168
N 4 500 001 - N 5 500 000	272	309
N 5 500 001 - N 6 500 000	197	187
N 6 500 001 - N 7 500 000	126	153
N 7 500 001 - N 8 500 000	120	139
N 8 500 001 - N 9 500 000	84	129
N 9 500 001 - N 10 500 000	116	99
N 10 500 001 - N 11 500 000	82	76
N 11 500 001 - N 12 500 000	57	82
Over - N 12 500 001	306	296
	1,551	1,698

4.2 The year end number of full time persons employed by the Company was as follows:

CEO's Office	25	7
Corporate Services	44	58
Customer Relations	266	338
Finance	286	227
Human Resources	55	57
Information Systems	95	123
Business Risk Management	24	23
Marketing	92	88
Network Group	362	349
Sales and Distribution	161	250
Enterprise Solutions	141	178
	1,551	1,698

4.3 Remuneration was paid in respect of directors of the Company as follows:

	December 2017 N '000	December 2016 N '000
Directors' emoluments:		
Fees (non-executive directors)	26,293	26,390
Other emoluments (non-executive directors)	62,757	111,201
Emoluments (executive directors)	302,380	209,536
	391,430	347,127
 The directors' remuneration shown above includes:		
Chairman's remuneration	12,210	20,785
Highest paid director	302,380	209,536
 The emoluments of all other directors fall within the following ranges:		
Nil	6	6
Above N5 000 000	7	7

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

5 Other operating expenses

	December 2017 N '000	December 2016 N '000
Profit on disposal of property, plant and equipment	(434,384)	(590,981)
(Profit)/loss on disposal of assets held for sale	(1,544)	321,542
(Reversal of)/bad debts written off	(2,520)	1,478
Directors' emoluments	391,430	347,127
Fixed assets written off	628,462	368,267
Impairment/(reversal of impairment) of trade and other receivables	5,595,982	(255,044)
Information Technology Development Levy and MTN Foundation	1,932,166	2,308,097
Insurance cost	1,646,061	1,547,243
Audit fees	181,452	160,478
Professional fees	29,368,014	26,118,762
Maintenance cost	11,423,531	8,973,038

Rent, rates, utilities and other office running cost	5,704,481	3,091,005
Trainings, travels and entertainment cost	2,743,433	2,075,062
Other expenses	2,169,664	1,833,205
	61,346,228	46,299,279

Other expenses include bank charges, subscriptions, office refreshments, security costs, etc.

5.1 During the year, the auditors provided to the Company non-audit services such as:

Tax Academy training	5,947	5,947
Continuous Auditing Solution project	54,500	-
Tax advisory service	1,000	-
Professional service for billing system convergence	-	23,827
Forensic advisory service for MTNN Employees Multipurpose Cooperative Society	-	7,657
	61,447	37,431

These services were carried out with the consent of the audit engagement partner and these services pose no threat to PwC's independence and objectivity.

6 Direct network operating costs

	December 2017 N '000	December 2016 N '000
Regulatory fees	23,232,336	19,984,596
Annual Numbering Plan	943,741	894,680
BTS leases	203,195,199	130,508,321
Network Maintenance	41,218,021	20,946,558
	268,589,297	172,334,155

65

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

7 Income tax expense

	December 2017 N '000	December 2016 N '000
<i>Analysis of tax expense for the year</i>		
Company income tax	29,507,053	40,740,704
Education tax	5,812,374	5,870,543
Capital gains tax	2,605	-
Deferred tax credit	(5,396,741)	(8,083,165)
Prior year (over)/under provision	(2,379,563)	655,686
	27,545,728	39,183,768

7.1 Tax rate reconciliation

The table below explains the differences between the expected tax expense on continuing operations, at the Nigerian statutory tax rate of 30% (2016: 30%) and the Company's total tax expense for each year.

The income tax charge for the year is reconciled to the effective rate of taxation in Nigeria as follows:

Profit before tax	110,496,927	135,072,340
Taxation	(27,545,728)	(39,183,768)
Actual tax rate	24.93%	29.01%
	%	%
Tax at standard rate	30.00	30.00
Expenses not allowed	8.14	4.85
Prior year tax under/over provision	(5.69)	0.50
Investment allowance	(5.47)	(3.18)
Exempt income	(6.53)	(7.49)
Education tax	4.51	4.33

Capital Gains Tax	(0.04)	0.00
	24.93	29.01

The Company is regarded as tax resident in Nigeria in line with the provisions of the Companies Income Tax Act and as such taxable in Nigeria.

66

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

	Land	Buildings	Leasehold improvements	Network infrastructure	Information systems, furniture and office equipment	Capital work- in-progress	Motor vehicles	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
8 Property, plant and equipment - Total								
Cost								
Balance at 1 January 2016	3,150,302	25,610,100	7,163,044	851,652	113 41,229,147	37,266,000	5,187,485	971,258,191
Additions	4,407	159,863		99,893	37,378,261	8,295,261	120,969,262	166,906,947
Reallocation	(1,882)	1,305,195	993,134	85,749,484	3,024,319	(94,312,956)	-	(3,242,706)
Reclassifications	-	(385,409)	-	14,187	-	(1,596,910)	(736)	(1,968,868)
Write-offs	-	-	-	(558,726)	(321,741)	-	-	(880,467)
Disposals	-	-	-	(2,899,881)	(93,335)	-	(922,237)	(3,915,453)
Balance at 31 December 2016	3,152,827	26,689,749	8,256,071	971,335,438	52,133,651	62,325,396	4,264,512	1,128,157,644
Balance at 1 January 2017	3,152,827	26,689,749	8,256,071	971,335,438	52,133,651	62,325,396	4,264,512	1,128,157,644
Additions	-	2,563	542,545	78,366,791	7,134,156	127,948,437	720,895	214,715,387
Reallocation	3,892	85,632	7,086,410	102,957,072		215,668	(113,448,757)	(3,100,083)
Reclassifications	-	-	-	-	-	(9,161)	-	(9,161)
Write-offs	-	-	-	(14,093,155)	(225,476)	(624,339)	(20,675)	(14,963,645)
Disposals	-	-	-	(437,590)	(224,632)	(261,013)	(147,650)	(1,070,885)
Balance at 31 December 2017	3,156,719	26,777,944	15,885,026	1,138,128,556	59,033,367	75,930,563	4,817,082	1,323,729,257
Accumulated depreciation and impairment								
Balance at 1 January 2016	-	(13,929,465)	(2,933,646)	(472,506,646)	(28,448,655)	-	(2,626,987)	(520,445,399)
Depreciation for the year	-	(1,541,752)	(685,468)	(105,355,293)	(8,222,672)	-	(1,037,594)	(116,842,779)
Impairment	-	-	-	(41,714)	-	-	-	(41,714)
Write-offs	-	-	-	531,366	306,205	-	-	837,571
Disposals	-	-	-	2,312,348	69,208	-	562,662	2,944,218
Balance at 31 December 2016	-	(15,471,217)	(3,619,114)	(575,059,939)	(36,295,914)	-	(3,101,919)	(633,548,103)
Balance at 1 January 2017	-	(15,471,217)	(3,619,114)	(575,059,939)	(36,295,914)	-	(3,101,919)	(633,548,103)
Depreciation for the year	-	(1,515,775)	(728,364)	(113,357,466)	(7,462,047)	-	(754,254)	(123,817,906)
Impairment reversal	-	-	-	718,535	-	-	-	718,535
Write-offs	-	-	-	14,093,120	222,462	-	19,601	14,335,183
Disposals	-	-	-	386,180	200,977	-	374,085	961,242
Balance at 31 December 2017	-	(16,986,992)	(4,347,478)	(673,219,570)	(43,334,522)	-	(3,462,487)	(741,351,049)
Carrying amounts								
At 1 January 2016	3,150,302	11,680,635	4,229,398	379,145,467	12,780,492	37,266,000	2,560,498	450,812,792
At 31 December 2016	3,152,827	11,218,532	4,636,957	396,275,499	15,837,737	62,325,396	1,162,593	494,609,541
At 1 January 2017	3,152,827	11,218,532	4,636,957	396,275,499	15,837,737	62,325,396	1,162,593	494,609,541
At 31 December 2017	3,156,719	9,790,952	11,537,548	464,908,986	15,698,845	75,930,563	1,354,595	582,378,208

Reallocation relates to assets moved from capital work in progress to network infrastructure and other categories of property, plant and equipment and assets reclassified from property, plant and equipment to intangible assets.

Reclassifications relate to tangible assets initially capitalised but later expensed in the statement of profit or loss due to materiality threshold.

Write-offs relate to fully depreciated assets written off during the year.

A sum of N1.60 billion (December 2016 : N0.69 billion) was capitalized as borrowing cost during the year. The capitalisation rate used to determine the

amount of borrowing costs to be capitalised is the weighted average interest rate applicable to the Company's general borrowings during the year, in this case 23.98% (December 2016 – 16.44%).

67

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

	Network infrastructure N'000
8.1 Property, plant and equipment - leased	
Cost	
Balance at 1 January 2016	1,580,636
Balance at 31 December 2016	1,580,636
 Balance at 1 January 2017	 1,580,636
Balance at 31 December 2017	1,580,636
 Accumulated depreciation and impairment	
Balance at 1 January 2016	(1,480,970)
Depreciation for the year	(32,809)
Balance at 31 December 2016	(1,513,779)
 Balance at 1 January 2017	 (1,513,779)
Depreciation for the year	(32,809)
Balance at 31 December 2017	(1,546,588)
 Carrying amounts	
At 1 January 2016	99,666
At 31 December 2016	66,857
 At 1 January 2017	 66,857
At 31 December 2017	34,048

MTN entered into a Revenue share agreement with Huawei Technologies for the provision of Ring Back Tone (RBT) Caller Tunez service. The agreement commenced in 2010 and is for a period of 8 years. The arrangement did not take the legal form of a lease but conveyed the right to use asset (RBT system) in return for a payment or series of payments. In line with the provisions of IAS 17 Leases, the arrangement was treated as a finance lease. Upon the expiry of the revenue sharing period in 2018, the ownership right of the RBT system shall automatically transfer to MTNN. The RBT system is depreciated over the lease term.

8.2 Impairment

The impairment reversal of N0.72 billion (2016 : impairment of N0.04 billion) relates to missing network infrastructure inventory items approved by the Board for write off in the current year, the inventory items were initially impaired in the prior year pending the Board approval.

8.3 Capital work-in-progress

These are various capital work-in-progress projects under way within the Company.

68

Notes to the Company financial statements*For the year ended 31 December 2017 (continued)*

	Licences	Software	Total
	N '000	N '000	N '000
9 Intangible assets			
Cost			
Balance at 1 January 2016	108,131,749	55,021,625	163,153,374
Additions	21,655,108	7,354,730	29,009,838
Reallocation	-	3,242,706	3,242,706
Other movements	-	(195,551)	(195,551)
Balance at 31 December 2016	129,786,857	65,423,510	195,210,367
Balance at 1 January 2017	129,786,857	65,423,510	195,210,367
Additions	-	10,319,690	10,319,690
Reallocation	-	3,100,082	3,100,082
Reclassifications	-	(6,820)	(6,820)
Write-offs	(355,581)	(369,419)	(725,000)
Balance at 31 December 2017	129,431,276	78,467,043	207,898,319
Amortisation and impairment			
Balance at 1 January 2016	(46,940,094)	(41,520,768)	(88,460,862)
Amortisation for the year	(9,826,189)	(11,716,613)	(21,542,802)
Write-offs	-	3,626,554	3,626,554
Disposals	-	37,348	37,348
Balance at 31 December 2016	(56,766,283)	(49,573,479)	(106,339,762)
Balance at 1 January 2017	(56,766,283)	(49,573,479)	(106,339,762)
Amortisation for the year	(10,795,373)	(10,499,966)	(21,295,339)
Write-offs	355,581	369,419	725,000
Balance at 31 December 2017	(67,206,075)	(59,704,026)	(126,910,101)
Carrying amounts			
At 1 January 2016	61,191,655	13,500,857	74,692,512
At 31 December 2016	73,020,574	15,850,031	88,870,605
At 1 January 2017	73,020,574	15,850,031	88,870,605
At 31 December 2017	62,225,201	18,763,017	80,988,218

The licences and software are not internally generated intangible assets.

Other movements relate to reversal of prior year accrual of intangible addition.

Reallocation relates to items reclassified from/(to) property, plant and equipment to intangible assets.

69

MTN Nigeria Communications Limited

Notes to the Company financial statements*For the year ended 31 December 2017 (continued)***9.2 Intangible assets (continued)**

Network Licences Type	Date granted/renewed	Term (Years)	Renewable Term Licence Fee	Initiation Fee	Annual Licence Fees Future Fees ⁽¹⁾	Obligation
			Currency			
Digital Mobile Licence (DML) - 900MHz & 1800MHz	9 February 2001	15	USD	285 million	Annual operating levy - 2.5% of net revenue	N
3G Spectrum Licence (Receive Frequency 1920 - 1930 MHz)	1 May 2007	15	USD	150 million	Annual operating levy - 2.5% of net revenue	N
(Transmit Frequency 2110 - 2120 MHz)						
Universal Access Service Licence (Including International	1 September 2006	15	NGN	114.6 million	Annual operating levy - 2.5%	N

Gateway)							of net revenue	
International Submarine Cable Infrastructure and Landing Station (WACS)	1 January 2010	20	20	USD	220,500 (thousand)	Annual operating levy - 2.5%		N
						of net revenue		
Wimax 3.5GHz Spectrum	2007Renewable Annually	Assigned annually - with a use it or lose it term	Annually	NGN	-	427.5 million - Calculated annually using the Frequency Regulation Pricing Formula		N
Pay TV Digital Terrestrial TV Broadcasting Services (with 700MHz Spectrum)	12th August 2015 (Provisional licence granted effective 27th May 2015)	10 Initial term of 5 years with an additional term of 5 years subject to renewal formalities.		USD but paid in Naira at the prevailing interbank rate	\$171 Million USD (N34,114,500,000)	None		N
Microwave Spectrums 8GHz -26GHz	2001Renewable Annually	Assigned annually - with a use it or lose it term	Annually	NGN	-	1.225 billion - Calculated annually using the Frequency Regulation Pricing Formula		N
Microwave Spectrums 8GHz -26GHz	2001Renewable Annually	Assigned annually - with a use it or lose it term	Annually	NGN	-	1.314 billion - Calculated annually using the Frequency Regulation Pricing Formula		N
Spectrums 800MHz (Visafone)	1 January 2015	10 Renewal fees will be based on the frequency fees and Pricing Regulation in force at the time of renewal		NGN	2.87 billion	None		N
Spectrums 2.6GHz	1 August 2016	10 Renewable after expiration of 10 years.		NGN	18.9 billion	None		N
Universal Access Service Licence (Visafone)	1 July 2017	10	5	NGN	349.6 million	Annual operating levy - 2.5% of net revenue		N

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

10 Investments in subsidiaries

MTN Nigeria Communications Limited acquired 100% share capital of Visafone Communications Limited with a purchase consideration N43.8 billion on 31 December 2015.

The movement in investment in subsidiaries during the year is as follows:

	31 December 2017	31 December 2016
	N '000	N '000
Balance at 1 January	43,778,000	-
Additions during the year	-	43,778,000
Balance at 31 December	43,778,000	43,778,000

Nature of subsidiaries

Name	Gross Amount (N'000)	Impairment of investment in subsidiary (N'000)	Carrying value (N'000)	Proportion of ordinary shares directly held by parent (%)	Proportion of ordinary shares held by non- controlling interest(%)
Visafone Communications Ltd	43,778,000	-	43,778,000	100	-
XS Broadband Ltd	500,000	(500,000)	-	100	-
	44,278,000	(500,000)	43,778,000		

All subsidiary undertakings are included in the consolidation. The proportion of the voting rights in the subsidiary undertakings held directly by the parent company do not differ from the proportion of ordinary shares held. All the subsidiaries have the same year end as the parent company.

Significant restrictions

There are no significant regulatory restrictions to movement of capital from the subsidiaries.

10.1 Investment in subsidiary impairment assessment

The investment in Visafone was tested for impairment in accordance with IAS 36. For this purpose, Visafone is regarded as a cash generating unit (CGU). The recoverable amount of the CGU was determined based on fair value less cost to sell calculations performed by an independent valuer.

The fair value less cost to sell was estimated using an income approach (also known as the discounted cashflow). The income approach utilized 10-year cash flow projections with a perpetuity value discounted at a risk free pre-tax rate of 16.15% with a nominal growth rate of 4% applied to the final years' cash flow. The cashflow projections utilized financial budgets approved by management based on past performance and management's expectations of market developments. The Visafone license has a tenure of 10 years with 7 years remaining at year end. The license also has an option of renewal.

The results were also benchmarked against worldwide auction results adjusted by Gross Domestic Product Purchasing Power Parity (GDP PPP) to provide comparable results to the valuations produced.

If either the projected rate of long-term growth of cash flows declined by 0.5%, or if the discount rate increased by 0.5%, the fair value would still be higher than the carrying amount of cash generating unit allocated to the goodwill. The calculated fair value exceeded the recoverable amount and no impairment was recognized in the financial statements.

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

11 Derivative asset

Currency swap	55,673	-
The Company uses derivative financial instruments such as currency swap to hedge its foreign currency risks. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. All gains and losses from changes in the fair value of derivatives that do not qualify for hedge accounting are recognised immediately in profit or loss.		

12 Assets held for sale

Balance at 1 January	7,229	134,067
Write back of impairment of assets held for sale	-	202,841
	7,229	336,908
Less: Disposal of assets held for sale	(7,055)	(329,679)
Balance at 31 December	174	7,229

The impairment of assets held for sale (motor vehicles) was reversed as the realised amount from its disposal exceeded the carrying amount.

13 Inventories

	31 December 2017 N '000	31 December 2016 N '000
Finished goods:		
Handsets and accessories	2,777,122	1,073,471
Starter packs	5,927,122	8,507,535
Airtime cards	5,555	78
	8,709,799	9,581,084
Inventory write-down	(2,973,166)	(413,925)
	5,736,633	9,167,159
Reconciliation of inventory write-down	At beginning of year N '000	Additions N '000
	Utilised N '000	Unused reversed N '000
		At end of year N '000
31 December 2016		
Movement in write down	(72,418)	(341,507)
	-	-
	-	(413,925)
31 December 2017		
Movement in write down	(413,925)	(2,658,933)
	99,692	-
	-	(2,973,166)

Inventory items are written down to net realizable value after considering obsolete items due to change in technology, defective items and physically damaged items. 3G SIM cards worth N2.37 billion were written down during the year due to the deployment of 4G LTE network technology.

14 Trade and other receivables

	31 December 2017 N '000	31 December 2016 N '000
Trade receivables	34,277,844	30,007,895
Less: Allowance for impairment of trade receivables	(23,672,263)	(18,078,801)
Net trade receivables	10,605,581	11,929,094
Intercompany receivables	6,699,420	6,184,444
Sundry debtors and advances	250,682	4,273,204
Other receivables*	9,309,727	9,267,442
	26,865,410	31,654,184
Prepayments**	19,438,781	25,612,730
	46,304,191	57,266,914
Less: non current prepayments	(13,683,216)	(18,449,756)
Trade and other receivables - current	32,620,975	38,817,158

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

14 Trade and other receivables (continued)

Impairment loss of N5.6 billion (December 2016: impairment loss writeback of N0.26 billion) was booked in the current year, and this amount is included in other operating expenses in profit or loss.

The Company's exposure to currency risk and credit risk and impairment losses related to trade and other receivables are disclosed in note 35.6.2 and 35.4.

The carrying value of trade and other receivables materially approximates the fair value because of the short period to maturity.

*Other receivables includes withholding tax receivables, accrued investment income receivable and an amount of N776 million (December 2016 : N776 million) due from INT Towers in respect of Base Transceiver Station assets transferred.

**Prepayments relate to payments for BTS, other property leases and Indefeasible Right of Use (IRU).

15	Current investments	31 December 2017 N '000	31 December 2016 N '000
	US Dollar deposits with interest rates of 7 % to 8%.	9,543,790	13,801,205
	Treasury bills held to maturity	42,641,311	115,947,851
	Treasury bills available for sale	9,970,842	6,426,819
	Treasury bills held for trading	8,922,552	15,261,582
		71,078,495	151,437,457

Treasury Bills are with fixed interest rates of between 17.75% to 18.59% and maturity dates between January and May 2018.

16 **Restricted cash**

Restricted cash deposits	41,617,634	17,260,604
--------------------------	------------	------------

Restricted cash represents deposits with banks to secure Letters of Credit and collateral against repayment on borrowings. Also included in restricted cash is the retention fee on purchase of Visafone Communications Limited.

17 Cash and cash equivalents

Cash and cash equivalents comprise the following:

Cash at bank and on hand	89,046,974	146,046,048
--------------------------	------------	-------------

The Company's exposure to interest rate risk, credit risk and a sensitivity analysis for financial assets and financial liabilities is disclosed in note 35.

18 Share capital

Authorised:

500,000,000 ordinary shares of N 1 each	500,000	500,000
4,500,000 "B" ordinary shares of N 1 each	4,500	4,500
402,590,263 preference shares of US\$ 0.005c each	239,420	239,420
	743,920	743,920

Issued and fully paid

402,590,263 (December 2016: 402,590,263) ordinary shares of N1 each	402,590	402,590
4,500,000 (December 2016: 4,500,000) "B" ordinary shares of N 1 each	4,500	4,500
402,590,263 (December 2016: 402,590,263) preference shares of US\$ 0.005c each	239,420	239,420
	646,510	646,510

The 'B' ordinary shares was issued to MTN International (Mauritius) Limited in 2006. The shares carry the same rights and privileges as, and rank 'pari passu' to, the ordinary shares.

There are no restriction, rights and preferences including restrictions on dividend distributions attached to ordinary shares.

The preference shares are redeemable preference shares.

19 Share premium

4,500,000 "B" ordinary shares of N 3,779.89 each	17,009,500	17,009,500
138,960 Ordinary shares at N 1,488.15 each	206,793	206,793
402,590,263 US\$ 0.005c Preference shares at \$0.987c each	47,282,173	47,282,173
	64,498,466	64,498,466

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

20	Borrowings	Denominated currency	Description of borrowing	Type of interest charged	Effective interest	Remaining repayment details
	Unsecured				%	
		31 December				

2017					
N '000					
	125,641,792	NGN	Local Syndicated Facility	Floating	21.44 4 equal semi-annual instalments
	14,650,616	USD	Chinese syndicated equipment finance (G)	Floating	4.50 5 equal semi-annual instalments
	29,398,289	USD	RMB foreign currency facility (E)	Floating	4.41 3 equal semi-annual instalments
	17,668,179	USD	KFW equipment finance (F1 & F3)	Floating	2.51 4 equal semi-annual instalments
	11,778,786	USD	KFW equipment finance (F2)	Fixed	1.67 4 equal semi-annual instalments
	25,028,387	USD	Credit Suisse (Buyer's Credit Facility)	Floating	7.18 8 equal semi-annual instalments
	27,038,924	USD	KfW/Citi Bank (Buyer's Credit Facility)	Floating	2.61 9 equal semi-annual instalments
	4,160,170	USD	Import and Trade Finance (Ussance) line with local banks	Floating	6.92 6 months revolving
Total unsecured borrowings	255,365,143				
31 December 2016					
N '000					
	188,238,335	NGN	Local currency facility	Floating	20.34 6 equal semi-annual instalments
	18,562,393	USD	Chinese syndicated equipment finance (G)	Floating	4.02 6 equal semi-annual instalments
	43,650,543	USD	RMB foreign currency facility (E)	Floating	4.61 5 equal semi-annual instalments
	23,631,807	USD	KFW equipment finance (F1 & F3)	Floating	2.25 6 equal semi-annual instalments
	15,754,538	USD	KFW equipment finance (F2)	Fixed	1.67 7 equal semi-annual instalments
Total unsecured borrowings	289,837,616				

74

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

20 Borrowings (continued)

The maturity of the loans is as follows :

Payable within one year (included in current liabilities)

31 December	31 December
2017	2016
N '000	N '000

119,820,228 100,054,289

More than one year but not exceeding two years

107,393,556 97,759,207

More than two years but not exceeding five years

28,151,359 92,024,120

Amounts included in non-current liabilities

135,544,915 189,783,327

The Company has the following undrawn facilities:

Floating rate

212,075,477 47,250,000

Fixed rate

38,247,982

-

250,323,459 47,250,000

The carrying amounts of the Company's borrowings are denominated in the following currencies:

US Dollar

129,723,351 101,599,281

Nigerian Naira

125,641,792 188,238,335

255,365,143 289,837,616

20.1 Borrowings reconciliation

31 December	31 December
2017	2016
N'000	N'000

Balance at 1 January

289,837,616 336,800,014

Drawdown

50,516,108

-

Repayment

(106,889,704) (91,943,983)

Accrued interest

1,428,628 1,573,411

Revaluation loss

20,472,495 43,408,174

Balance at 31 December

255,365,143 289,837,616

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

20 Borrowings (continued)

20.2 Summary of borrowing arrangements

MTN Nigeria has a loan portfolio with a consortium of local banks, foreign banks and export development agencies. The details of the facilities are as follows:

Local_Facility - This is a N329.25 billion local currency term loan maturing November 2019. It is a variable interest loan, linked to average 3-Month NIBOR plus a margin of 1%. A total of N282 billion has been drawn so far, with N47.25 billion remaining undrawn. The loan is repayable in nine (9) equal semi-annual instalments from November 2015 to November 2019.

As at December 31, 2017, the outstanding principal balance on the facility is N125.33 billion.

Foreign_Facility_E – USD 280 million International Syndicated Commercial Loan. The facility is in the form of a foreign currency term loan with a seven-year tenor which was agreed with a consortium of foreign lenders with FirstRand Bank Ltd as the Principal lender (and Lenders' Agent). The Facility has been fully drawn, USD 100 million in July and USD 180 million in October 2013. Repayment, in 10 equal semi-annual instalments, commenced in October 2014. Facility E is also a variable interest loan, linked to 6-Month LIBOR, plus a margin of 2.85%.

The outstanding balance as at December 31, 2017 is USD 84.00 million.

Foreign_Facility_F – USD 300 million Export Credit Agency Backed Facility from KfW-IPEX Bank. This is a Medium Term Facility from KfW-Ipex Bank of Germany ("KfW"). The facility is in three tranches (F1, F2 and F3) of USD 118 million, USD 100 million and USD 82 million, respectively:

Facility F1 and F3- The combined amount is USD 200 million with thirteen (13) and eleven (11) equal principal repayments, respectively. F1 and F3 are variable interest loan facilities linked to the 6-Month LIBOR plus a 1.05% margin. The principal repayment of F1 commenced in August 2013, while that of F3 commenced August, 2014.

As at December 31, 2017 the outstanding amounts for F1 and F3 are USD 36.31 million and USD 14.57 million respectively.

Facility F2- A Swedish Export Credit Agency's KfW Buyer's Credit Facility for USD 100 million at a fixed interest rate. A full draw down of F2 was made in 2014. The principal repayment is in twelve (12) equal semi-annual instalments and this commenced in February 2014. F2 was agreed at a fixed interest rate of 1.67%.

The F2 outstanding balance as at December 31, 2017 is USD 33.33 million.

Foreign_Facility_G – USD 300 million Chinese Banks' Syndicated Buyers Credit Facility. This is a variable interest Medium Term Facility from a syndicate of three Chinese Banks which was agreed in April 2013. A total of USD 85.05 million was drawn on the Facility. The principal repayment of ten (10) equal instalments commenced in July 2015. The interest rate is linked to the 6-Month LIBOR plus a margin of 3.04%.

As at December 31, 2017, Facility G has an outstanding balance of USD 42.53 million.

Foreign_Facility_H – USD 329 million Export Credit Agency backed Facility from KfW-IPEX Bank and Citibank. This is a Medium Term Facility from KfW-Ipex Bank of Germany ("KfW") and Citibank London Branch. The facility is in three tranches (H1, H2 and H3) of USD 103 million, USD 106 million and USD 120 million, respectively:

A total drawdown of USD 87.6 million has been made on H1 as at December 31, 2017 while the amounts under H2 and H3 are still undrawn.

Facility H1 and H2 have 10 equal principal repayments. Facility H1 principal repayments commenced September 2017. Facility H3 is to be repaid in 9 equal instalments, commencing March 2018. H1 and H3 are variable interest loan facilities linked to the 6-Month LIBOR plus a 1.15% margin, while H2 is a fixed interest rate loan at 2.18% p.a.

The outstanding balance as at December 31, 2017 is USD 77.3 million.

Foreign_Facility_J – This contains Facilities J and J1 in the sum of USD 30 million and USD 84 million, respectively. J is a Buyer's Credit Facility from Credit Suisse AG, London branch while J1 is a Syndicated Buyer's Credit Facility from Credit Suisse AG, London branch and China Export-Import Bank. Both J and J1 are floating interest rate Facilities at LIBOR plus a margin of 5.5%. Full drawdown has been made on J while a total of USD 41.76 million has been drawn on J1. The two Facilities are repayable in 8 equal instalments commencing August 2018.

As at December 31, 2017, both J and J1 have a combined outstanding balance of USD 71.76 million.

In securing the facilities, MTN Nigeria has made a negative pledge over all existing and future assets to the lenders. The negative pledge signifies that MTN Nigeria has agreed not to deplete its assets via sales, collateral and transfer to anyone except the group of lenders, subject to a permitted amount. No other security has been provided.

21 Trade and other payables (Current)

	31 December 2017 N '000	31 December 2016 N '000
Trade payables	34,824,826	71,552,103
Accrued expenses	170,612,959	111,022,815
Sundry payables	1,768,480	1,798,897
Intercompany payables	18,555,456	46,683,357
Other payables	15,650,131	18,809,094
	241,411,852	249,866,266
Other payables includes withholding tax and VAT payable.		

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

22	Regulatory fine liability				31 December 2017	31 December 2016
					N '000	N '000
	Balance at 1 January				197,062,911	275,073,747
	Reversal for the year				-	(20,383,675)
	Time value accretion (note 3)				25,712,853	22,372,839
	Payment				(30,000,000)	(80,000,000)
	Balance at 31 December				192,775,764	197,062,911
	Current portion				(101,119,141)	(29,002,060)
	Non-current portion				91,656,623	168,060,851
23	Unearned revenue				38,117,902	39,197,526
	Unearned revenue					
	Unearned revenue is cash received in advance from sales of recharge cards and on Subscriber Identification Module (SIM) cards deferred up to the point of usage by the subscribers and point of activation on the network respectively.					
24	Provisions					
	Non-current provisions	At beginning of year	Additional provisions	Unused amounts reversed /reclassified	Utilised At end of year	
		N '000	N '000	N '000	N '000	N '000
	31 December 2017					
	Decommissioning provision	210,196	58,704	(1,554)	(197,298)	70,048
		210,196	58,704	(1,554)	(197,298)	70,048
	31 December 2016					
	Decommissioning provision	38,797	171,630	-	(231)	210,196
	NCC fine provision	195,073,747	7,826,416	(202,900,163)	-	-
		195,112,544	7,998,046	(202,900,163)	(231)	210,196
	Current provisions	At beginning of year	Additional provisions	Unused amounts reversed /reclassified	Utilised	At end of year
		N '000	N '000	N '000	N '000	N '000
	31 December 2017					
	Bonus provision	2,666,294	2,615,801	-	(2,071,091)	3,211,004
	Restructuring provision	1,259,862	950,396	-	(2,093,756)	116,502
	Litigation provision	740,020	2,421,604	-	-	3,161,624
	Other provisions	7,860,088	7,686,517	(4,032,115)	(4,810,711)	6,703,779
		12,526,264	13,674,318	(4,032,115)	(8,975,558)	13,192,909
	31 December 2016					
	Bonus provision	2,652,608	2,667,014	(2,451,694)	(201,634)	2,666,294
	Restructuring provision	872,699	1,252,666	-	(865,503)	1,259,862
	Litigation provision	740,020	-	-	-	740,020
	Other provisions	14,459,419	2,185,577	(8,640,073)	(144,835)	7,860,088
	NCC fine provision	80,000,000	-	(30,000,000)	(50,000,000)	-
		98,724,746	6,105,257	(41,091,767)	(51,211,972)	12,526,264

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

24.1 Bonus provision

The bonus provision consists of a performance-based bonus, which is determined by reference to the overall Company performance with regard to a set of predetermined key performance measures. Bonuses are payable annually after the MTN Group annual results have been announced. Bonus provision is calculated as a percentage of employee's gross annual income plus pension contribution based on the overall performance of the company, the teams, divisions and the employees.

24.2 Decommissioning provision

This provision relates to the estimate of the cost of dismantling and removing an item of property, plant and equipment and restoring the item and site on which the item is located to its original condition.

24.3 Restructuring provision

This provision relates to planned severance package for permanent employees that the Group's restructuring might impact.

24.4 Litigation provision

Involves cases between MTN Nigeria and various bodies such as: Abia State vs MTN Nigeria, Corporate Comm Ltd vs MTN Nigeria, C-SOKA Nigeria Limited vs MTN Nigeria, Harrison Ossai & ORS vs MTN Nigeria, Premium Sports vs MTN Nigeria & Media Reach, arbitration between CALL FIX IT and MTN Nigeria etc. Timing is dependent on the outcome of court judgements in respect of the litigation.

24.5 Other provisions

The Group is involved in various regulatory and tax matters. These matters may not necessarily be resolved in a manner that is favourable to the Group. The Group has therefore recognised provisions in respect of these matters based on estimates and the probability of an outflow of economic benefits. BTS sites installation fees payable to different state governments and government agencies is included in other provisions.

24.6 NCC fine provision

In June 2016, MTN signed a settlement agreement with NCC, thus the provision of N275 billion ceased to exist as there was no longer any uncertainty as to the timing of payment or the amount of the fine. This led to reversing the provision recognised in respect of the fine and the recognition of the financial liability due to NCC in respect of the fine.

25 Deferred tax

	At beginning of year	Recognised in income statement	Prior year over- provision	At end of year
	N '000	N '000	N '000	N '000
Non-current assets				
31 December 2016				
Temporary differences from provisions and unrealised foreign exchange losses	10,054,653 (1,641,466)		-	8,413,187
Total deferred tax asset	10,054,653 (1,641,466)		-	8,413,187
31 December 2017				
Temporary differences from provisions and unrealised foreign exchange losses	8,413,187 17,240,152		-	25,653,339
Total deferred tax asset	8,413,187 17,240,152		-	25,653,339
Deferred tax liability				
31 December 2016				
Temporary differences from fixed asset	(102,587,079)	9,724,631	2,459,924	(90,402,524)
Total deferred tax liability	(102,587,079) 9,724,631		2,459,924	(90,402,524)
31 December 2017				
Temporary differences from fixed asset	(90,402,524) (11,843,411)		-	(102,245,935)
Total deferred tax liability	(90,402,524) (11,843,411)		-	(102,245,935)
Net deferred tax liability				
31 December 2016	(92,532,426)	8,083,165	2,459,924	(81,989,337)
31 December 2017	(81,989,337)	5,396,741	-	(76,592,596)

78

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

26. Capital commitments

	31 December 2017 N '000	31 December 2016 N '000
Commitments for the acquisition of property, plant, equipment and software		
Contracted but not provided for	20,856,690	102,007,683
Authorised but not contracted for	142,407,129	130,720,188
Total commitments for property, plant, equipment and software	163,263,819	232,727,871
Capital expenditure will be funded from operating cash flows and where necessary by raising additional facilities.		

27. Operating leases expense

	31 December 2017 N '000	31 December 2016 N '000
Site build operating lease	203,126,032	130,410,813
Rent and utilities - non-network	1,624,428	1,578,852
Operating leases - equipment	(1,126)	130,851
Total	204,749,334	132,120,516

Site build operating lease expense is included in direct network operating costs while rent and utilities - non-network and equipment operating leases expenses are included in other operating expenses.

27.1 Operating lease commitments

At the year end the company had outstanding operating leases commitments which fall due as follows:

	Cancellable		Non-cancellable	
	31 December 2017 N '000	31 December 2016 N '000	31 December 2017 N '000	31 December 2016 N '000
Less than one year	13,875,188	-	182,318,607	194,746,970

One to five years	55,500,752	-	703,552,771	1,190,488,224
More than five years	3,468,797	-	1,216,213,050	1,096,404,834
	72,844,737	-	2,102,084,428	2,481,640,028

The Company has lease agreements relating to the use of certain space on telecommunications towers under non-cancellable/cancellable operating lease agreements. The leases have varying terms, escalation clauses and renewal rights. Penalties are chargeable on certain leases should they be cancelled before the end of the agreement.

28. Income tax	31 December	31 December
	2017	2016
	N '000	N '000
Opening balance	50,934,806	83,313,601
Provisions for the year - company income tax (note 7)	29,507,053	40,740,704
Provisions for the year - education tax (note 7)	5,812,374	5,870,543
Provisions for the year - capital gains tax (note 7)	2,605	-
Tax paid	(58,699,327)	(80,258,773)
Withholding tax credit	(1,658,836)	(3,704,628)
Reclassification	-	4,317,673
Prior year (over)/under provision	(2,379,563)	655,686
Closing balance	23,519,112	50,934,806
Reclassification relates to income tax provision reclassified from other provisions and deferred tax liability.		

29. Contingent liabilities

Contingent liabilities represent possible obligations that arise from past event whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events not wholly within the control of the Company.

The Company has N19.18 billion (2016:N13.02 billion) contingent liabilities arising from claims and litigations in the ordinary course of business and the Company is defending these actions. These matters are currently being considered by various courts and the timing of the judgements are unknown. In the opinion of the directors, which is based on advice from the legal counsels, no material loss is expected to arise from these claims and litigations.

79

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

30 Cash generated from operations	31 December	31 December
	2017	2016
	N '000	N '000
Profit before tax	110,496,927	135,072,340
<i>Adjustments for non cash items:</i>		
Finance cost (note 3)	131,542,057	145,829,806
Finance Income (note 3)	(43,503,188)	(40,131,253)
Depreciation of property, plant and equipment (note 8)	123,817,906	116,842,779
(Reversal of impairment)/impairment of property, plant and equipment (note 8)	(718,535)	41,714
Amortisation of intangible assets (note 9)	21,295,339	21,542,802
Amortisation of prepaid indefeasible right of use	2,651,665	1,106,921
Profit on disposal of property, plant and equipment (note 5)	(434,384)	(590,981)
Fixed assets written off	628,462	2,337,135
(Reversal of)/bad debts written off	(2,520)	1,478
Impairment/(writeback of impairment) of trade receivables	5,595,982	(255,044)
Impairment of other receivables	5,499	268,139
Writeback of impairment of assets held for sale (note 12)	-	(202,841)
Impairment of inventory	2,658,933	341,507
Gain on fair valuation of derivative	(55,673)	-
Increase/(decrease) in provisions	654,689	(229,315,618)
	354,633,159	152,888,884
Changes in working capital:		
Decrease/(increase) in inventories	771,593	(4,152,541)
(Increase)/decrease in receivables and prepayments	(18,165,231)	30,153,616
(Decrease)/increase in trade and other payables	(51,788,414)	256,969,064
Decrease in unearned income	(1,079,624)	(422,491)
	(70,261,676)	282,547,648
Cash generated from operations	284,371,483	435,436,532

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

31 Earnings per share

Earnings per share of N 203.77 (December 2016 : N 235.55) is based on the profit for the year of N82.95 billion (December 2016 : 95.89 billion) and on 407,090,263 ordinary shares in issue at the end of the year (December 2016 : 407,090,263).

Interim dividend of N50 billion (N122.82 per share) for the year ended 31 December 2017 (December 2016 – Nil) was fully paid. The Company also authorised payment of an interim dividend for 2018 of N38.6 billion (N94.85 per share) to be paid to holders of Ordinary and “B” Ordinary shares registered in the books of the Company.

The Company has no potential dilutive shares as the issued preference shares are not convertible.

32 Foreign exchange exposure

Included in the Company statement of financial position are the following amounts denominated in currencies other than the functional currency of the Company:

	United States Dollar N '000	British Pound Sterling N '000	Euro N '000	South African Rand N '000	Total N '000
31 December 2017					
Assets					
Current assets					
Trade and other receivables	6,046,571	-	16,379	-	6,062,950
Current investments	9,543,790	-	-	-	9,543,790
Restricted cash	12,993,970	-	-	-	12,993,970
Cash and cash equivalents	970,166	2,315	-	-	972,481
	29,554,497	2,315	16,379	-	29,573,191
Liabilities					
Current liabilities					
Trade and other payables	126,375,960	7,822,166,041	-	3,658,128,053,482	
Borrowings	56,723,912	-	-	-	56,723,912
	183,099,872	7,822,166,041		3,658,184,777,394	
Non-current liabilities					
Borrowings	72,999,439	-	-	-	72,999,439
	72,999,439	-	-	-	72,999,439
Total liabilities	256,099,311	7,822,166,041		3,658,257,776,833	
31 December 2016					
Assets					
Current assets					
Trade and other receivables	5,502,519	-	3,951	-	5,506,470
Current investments	11,766,862	-	-	-	11,766,862
Restricted cash	10,145,016	-	2,054,963	-	12,199,979
Cash and cash equivalents	1,187,002	1,830	58,469	-	1,247,301
	28,601,399	1,830,2,117,383		-	30,720,612
Liabilities					
Current liabilities					
Trade and other payables	112,018,180	1,815,190,698	-	632,277,114,560,970	
Borrowings	36,885,324	-	-	-	36,885,324
	148,903,504	1,815,190,698		632,277,151,446,294	
Non-current liabilities					
Borrowings	64,713,957	-	-	-	64,713,957
	64,713,957	-	-	-	64,713,957
Total liabilities	213,617,461	1,815,190,698		632,277,216,160,251	

MTN Nigeria Communications Limited

Notes to the Company financial statements*For the year ended 31 December 2017 (continued)***33 Related party transactions**

Related party transactions constitute the transfer of resources, services or obligations between the Company and a party related to the Company, regardless of whether a price is charged.

Various transactions are entered into by the Company during the year with related parties. The terms of these transactions are at arm's length.

Holding and ultimate holding companies

The Company's holding company is MTN International (Mauritius) Limited, a company incorporated in the Republic of Mauritius and its ultimate holding company is MTN Group Limited, a company incorporated in South Africa. MTN Nigeria Communications Limited's subsidiaries are XS Broadband Limited and Visafone Communications Limited, their principal activity is the provision of broadband fixed wireless access service and high quality telecommunication service respectively.

Key management personnel

For the purpose of the key management compensation below, key management personnel is defined as Executive Committee members having the authority and responsibility for planning, directing and controlling the activities of the entity.

	31 December 2017 N '000	31 December 2016 N '000
Key management compensation		
Salaries and other short-term employee benefits	1,197,381	847,781
Post-employment benefits	92,257	81,492
Other benefits	127,504	192,199
Bonuses	322,970	-
Directors' emoluments (note 4.3)	302,380	209,536
Total	2,042,493	1,331,008

The following are related parties to the entity

MTN South Africa, MTN (Dubai) Limited, MTN Afghanistan, MTN Benin, MTN Cameroon, MTN Congo, MTN Cote d'Ivoire, MTN Cyprus, MTN Ghana, MTN Guinea Bissau, MTN Guinea Conakry, MTN Iran, MTN Rwanda, MTN Sudan, MTN Swaziland, MTN Syria, MTN Uganda, MTN Yemen, MTN Zambia, Botswana (MASCOT), Lonestar Communications Corporations (Liberia).

The following is a summary of transactions between the Company and its related parties during the year and balances due at year end:

	31 December 2017 N '000	31 December 2016 N '000
Parent company: MTN International (Mauritius) Limited		
Dividends paid (excluding withholding tax):		
MTN International (Mauritius) Ltd	35,186,615	-
Subsidiaries:		
XS Broadband Limited		
<i>Receivables</i>		
Intercompany receivable	-	668,101
The amount due from XS Broadband Limited was impaired during the year.		
Visafone Communications Ltd		
<i>Transactions within the year</i>		
<i>Interconnect and capacity transactions (sales)</i>	-	389,737
Payments made on behalf of Visafone Communications Limited	188,595	76,970
Cost charged to Visafone Communications Limited for hosting its customers on the network.	719,689	-
Intercompany receivable	289,110	470,843

MTN Nigeria Communications Limited

Notes to the Company financial statements*For the year ended 31 December 2017 (continued)*

33	Related party transactions (continued)		Sales to related parties	Purchases from related parties	Amounts due from related parties	Amounts due to related parties
			N'000	N'000	N'000	N'000
	Other parties related to parent company					
	Botswana (MASCOT)	31 December 2017	-	-	-	-
		31 December 2016	279	66	-	-
	Lonestar Communications Corporations (Liberia)	31 December 2017	7,899	3,683	22,911	-
		31 December 2016	6,854	3,943	17,671	-
	MTN Afghanistan	31 December 2017	-	-	131	-
		31 December 2016	2	22	-	-
	MTN Benin	31 December 2017	6,740,210	2,011,738	904,673	873,815
		31 December 2016	394,765	2,009,521	233,006	1,098,147
	MTN Cameroon	31 December 2017	6,202,740	242,568	667,297	173,223
		31 December 2016	510,825	123,393	469,502	137,977
	MTN Congo	31 December 2017	3,123	567	24,815	-
		31 December 2016	1,021	621	5,880	-
	MTN Cote d'Ivoire	31 December 2017	2,145,357	127,741	398,511	184,773
		31 December 2016	86,011	98,353	63,239	44,387
	MTN Cyprus	31 December 2017	38	257	-	-
		31 December 2016	142	240	-	-
	MTN Ghana	31 December 2017	4,601,558	581,795	1,323,375	933,557
		31 December 2016	456,410	703,669	780,464	760,531
	MTN Guinea Bissau	31 December 2017	247	691	-	1
		31 December 2016	186	442	-	-
	MTN Guinea Conakry	31 December 2017	2,287	835	3,604	-
		31 December 2016	1,215	1,407	-	581
	MTN Iranell	31 December 2017	13	465	-	-
		31 December 2016	8	282	-	-
	MTN Rwanda	31 December 2017	421	2,082	-	492
		31 December 2016	935	1,073	-	-
	MTN South Africa	31 December 2017	7,422,453	151,896	789,664	138,982
		31 December 2016	611,658	82,052	497,734	131,296
	Interserve Overseas Ltd	31 December 2017	-	2,884,851	-	3,889,554
		31 December 2016	-	-	-	11,099,279

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

33	Related party transactions (continued)		Sales to related parties	Purchases from related parties	Receivables Amounts due from related parties	Payables Amounts due to related parties
			N'000	N'000	N'000	N'000
	MTN Sudan	31 December 2017	328	2,157	281	-
		31 December 2016	175	1,568	257	-
	MTN Swaziland	31 December 2017	41	349	-	253
		31 December 2016	39	260	-	253
	MTN Syria	31 December 2017	3	588	-	-
		31 December 2016	11	994	-	-
	MTN Uganda	31 December 2017	2,033	2,106	-	7,641
		31 December 2016	2,693	1,338	-	7,641
	MTN Yemen	31 December 2017	15	17	-	-

	31 December 2016	1	53	-	-
MTN Zambia	31 December 2017	62,587	1,206	1,701	2,481
	31 December 2016	11,074	973	-	3,843
MTN Dubai	31 December 2017	282,166	-	137,194	637,235
	31 December 2016	20,575	-	589,340	-
MTN South Sudan	31 December 2017	11,464	164	28,157	-
	31 December 2016	1,171	143	22,399	-
MTN Procurement Global Trading Company	31 December 2017	-	2,162,631	-	3,294,413
	31 December 2016	-	-	-	1,475,527
MTN Management Services Co	31 December 2017	-	-	1,332,116	677,416
	31 December 2016	-	-	666,082	500,981
MTN Shared Services (SEA)	31 December 2017	-	-	-	398
	31 December 2016	-	-	-	398
MTN Mauritius	31 December 2017	-	1,258,643	-	7,732,663
	31 December 2016	-	732,695	924,046	31,413,957
MTN Holding	31 December 2017	-	-	-	8,559
	31 December 2016	-	-	-	8,559
INT Towers Limited	31 December 2017	-	793,220	775,880	-
	31 December 2016	-	72,083,257	775,880	-
Total	31 December 2017	27,874,720	10,230,250	6,699,420	18,555,456
	31 December 2016	2,106,050	75,846,365	6,184,444	46,683,357

Effective 1 February 2017, INT Towers ceased to be a related party to the Group as MTN Group Limited exchanged its 51% interest in Nigeria Tower InterCo B.V., the parent company of INT Towers Limited, for an additional shareholding in IHS Holding Limited.

There was an accrual of N827 million made in the year for donation to MTN Foundation Limited by Guarantee (December 2016 : N957 million).

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

34 Share based payment

34.1 Share based payment liability

	31 December 2017	31 December 2016
	N'000	N'000
Non-current	655,565	657,448
	655,565	657,448

34.2 Share appreciation rights

Notional share scheme (NSS)

The share based payment liability above relates to the following notional share scheme.

MTN Nigeria Communications Limited operates a notional share scheme, where qualifying staff receive the increase in a phantom MTN share price at exercise date as compared to the offer price.

The scheme is a cash-settled share based payment scheme.

The vesting period is 100% on the third anniversary after the grant date.

Options expire after 10 years from grant date.

2017

Offer date	Naira strike price		Number outstanding at 1 January 2017		Offered During 2017		Expired/Forfeited During 2017		Exercised During 2017		Number outstanding at 31 December 2017	
			LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN	LAN	GAN
01-Apr-2007	-	-	-	-	-	-	-	-	-	-	-	-
01-Oct-2007	-	-	-	-	-	-	-	-	-	-	-	-
01-Apr-2008	-	-	-	-	-	-	-	-	-	-	-	-
01-Nov-2008	2,916	1,291	1,960	1,660	-	-	-	-	-	630	1,960	1,030
01-Apr-2009	3,726	1,570	480	480	-	-	480	480	-	-	-	-
01-Apr-2010	4,991	2,288	8,090	6,980	-	-	-	-	1,410	1,320	6,680	5,660
01-Apr-2011	6,067	3,123	66,200	26,200	-	-	-	-	17,600	4,410	48,600	21,790
01-Apr-2012	6,100	2,780	139,300	86,020	-	-	-	-	26,300	16,820	113,000	69,200
01-Apr-2013	5,009	2,781	373,520	286,080	-	-	-	-	105,808	78,760	267,712	207,320
01-Apr-2014	5,313	3,367	73,100	49,700	-	-	-	-	9,600	6,500	63,500	43,200
01-Apr-2015	5,299	3,354	173,400	117,800	-	-	-	-	19,200	12,600	154,200	105,200
01-Apr-2016	4,747	1,787	175,500	199,600	-	-	-	-	6,700	7,800	168,800	191,800
01-Apr-2017	4,207	2,810	-	-	362,200	232,400	-	-	14,900	9,300	347,300	223,100
Total			1,011,550	774,520	362,200	232,400	480	480	201,518	138,140	1,171,752	868,300

2016

	Number outstanding at		Expired/Forfeited		Number outstanding at 31	
	LAN	GAN	LAN	GAN	LAN	GAN

Offer date	Notra strike price LAN	1 January 2016 LAN	Offered During 2016 LAN	During 2016 LAN	Exercised During 2016 LAN	December 2016 LAN
01-Apr-2007	2,442	1,797	-	-	-	-
01-Oct-2007	2,442	2,005	-	-	-	-
01-Apr-2008	2,916	2,160	-	-	-	-
01-Nov-2008	2,916	1,291	1,960	-	-	1,960
01-Apr-2009	3,726	1,570	480	-	-	480
01-Apr-2010	4,991	2,288	8,750	7,280	660	8,090
01-Apr-2011	6,067	3,123	67,200	-	1,000	66,200
01-Apr-2012	6,100	2,780	140,300	86,620	1,000	139,300
01-Apr-2013	5,009	2,781	395,100	302,660	21,580	373,520
01-Apr-2014	5,313	3,367	74,000	50,300	900	73,100
01-Apr-2015	5,299	3,354	181,600	123,300	8,200	173,400
01-Apr-2016	4,747	1,787	-	-	17,600	175,500
Total		869,390	598,980	193,100	219,400	50,940
			598,980	219,400	43,860	0
						1,011,550
						774,520

The weighted average price of the GAN options granted during the year is N4,207.04; 362,200 options (2016: N1,787.48; 219,400), while the weighted average price of LAN options granted during the year is N2,809.76; 232,400 options (2016: N4,746.84; 193,100 options)

The options outstanding at the end of the year under review have a weighted remaining contractual life of seven years (2016: eight years).

85

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments

Introduction

Financial assets and financial liabilities are recognised on the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument. The Group classifies its financial instruments into the following categories depending on the purpose for which the financial instruments were acquired:

- Financial assets: loans and receivables, fair value through profit or loss, available for sale and held to maturity;
- Financial liabilities: fair value through profit or loss and amortised cost.

Financial instruments comprise trade and other receivables, cash and cash equivalents, current investments, borrowings and trade and other payables.

The Company has exposure to the following risks from its use of financial instruments: credit risk, liquidity risk and market risk (foreign exchange and interest rate risk). This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risk, and the Company's management of capital. Further quantitative disclosures are included throughout these financial statements.

Risk profile

The Company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Company.

Risk management is carried out under policies approved by the Board of Directors of the Company. The Company's executives identify and evaluate financial risks. The Board provides written principles for overall risk management, as well as for specific areas such as foreign exchange risk, interest rate risk, credit risk and investing excess liquidity.

The carrying value of financial instruments materially approximate their fair values.

35.1 Accounting classes and fair values

	Loans and receivables	Fair value through profit or loss	Available for sale	Held to Maturity	Amortised cost	Total carrying amount
	N '000	N '000	N '000	N '000	N '000	N '000
31 December 2017						
Non-current financial assets						
Derivative asset	-	55,673	-	-	-	55,673
	-	55,673	-	-	-	55,673
Current financial assets						
Trade and other receivables	21,366,875	-	-	-	-	21,366,875
Current investments	9,543,790	8,922,552	9,970,842	42,641,311	-	71,078,495
Cash at bank and on hand	89,046,974	-	-	-	-	89,046,974
Restricted cash	41,617,634	-	-	-	-	41,617,634
	161,575,273	8,978,225	9,970,842	42,641,311	-	223,109,978
	161,575,273	9,033,898	9,970,842	42,641,311	-	223,165,651
Non-current financial liabilities						
Borrowings	-	-	-	-	135,544,915	135,544,915
Regulatory fine	-	-	-	-	91,656,623	91,656,623
	-	-	-	-	227,201,538	227,201,538
Current financial liabilities						
Trade and other payables	-	-	-	-	34,824,826	34,824,826
Current borrowings	-	-	-	-	119,820,228	119,820,228
Accrued expenses	-	-	-	-	160,185,171	160,185,171
Other payables	-	-	-	-	810,349	810,349

Intercompany payables	-	-	-	-	18,555,456	18,555,456
Regulatory fine	-	-	-	-	101,119,141	101,119,141
	-	-	-	-	435,315,171	435,315,171
	-	-	-	-	662,516,709	662,516,709

86

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)

35.1 Accounting classes and fair values (continued)

	Loans and receivables	Fair value through profit or loss	Available for sale	Held to Maturity	Amortised cost	Total carrying amount
	N '000	N '000	N '000	N '000	N '000	N '000
31 December 2016						
Current financial assets						
Trade and other receivables	27,793,539	-	-	-	-	27,793,539
Current Investments	13,801,205	15,261,582	6,426,819	115,947,851	-	151,437,457
Cash at bank and on hand	146,046,048	-	-	-	-	146,046,048
Restricted cash	17,260,604	-	-	-	-	17,260,604
	204,901,396	15,261,582	6,426,819	115,947,851	-	342,537,648
Non-current financial liabilities						
Borrowings	-	-	-	-	189,783,327	189,783,327
Regulatory fine	-	-	-	-	168,060,851	168,060,851
	-	-	-	-	357,844,178	357,844,178
Current financial liabilities						
Trade and other payables	-	-	-	-	71,552,103	71,552,103
Current borrowings	-	-	-	-	100,054,289	100,054,289
Accrued expenses	-	-	-	-	101,160,505	101,160,505
Other payables	-	-	-	-	5,076,039	5,076,039
Intercompany payables	-	-	-	-	46,683,357	46,683,357
Regulatory fine	-	-	-	-	29,002,060	29,002,060
	-	-	-	-	353,528,353	353,528,353
	-	-	-	-	711,372,531	711,372,531

Withholding tax credit note receivable yet to be utilised to offset income tax liability has been excluded from trade and other receivables as non-financial asset. Output VAT has also been excluded from other payables as non-financial liability.

35.2 Fair value estimation

Where a financial asset or liability is carried on the statement of financial position at fair value, additional disclosure is required. In particular, the fair values need to be classified in accordance with the 'fair value hierarchy'. This fair value hierarchy distinguishes between different fair value methodologies based on the level of subjectivity applied in the valuation. The fair value hierarchy is split into the following levels:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities (e.g. the price quoted on a stock exchange for a listed share).

Level 2: Valuation techniques with inputs other than quoted prices (included within level 1) that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (e.g. a valuation that uses observable interest rates or foreign exchange rates as inputs).

Level 3: Valuation techniques with inputs that are not based on observable market data (that is, unobservable inputs) (e.g. a valuation that uses the expected growth rate of an underlying business as input).

The Company's financial instruments measured at fair value are presented below.

	Level 1 N '000	Level 2 N '000	Level 3 N '000	Total N '000
31 December 2017				
Assets				
Treasury bills held for trading	8,922,552	-	-	8,922,552
Treasury bills available for sale	9,970,842	-	-	9,970,842
Derivative asset	-	55,673	-	55,673
	18,893,394	55,673	-	18,949,067

87

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)**35.2 Fair value estimation** (continued)

	Level 1	Level 2	Level 3	Total
	N '000	N '000	N '000	N '000
31 December 2016				
Assets				
Fair value through profit or loss	15,261,582	-	-	15,261,582
Available for sale assets	6,426,819	-	-	6,426,819
	21,688,401	-	-	21,688,401

Fair value measurements for financial instruments not measured at fair value.

Loans and receivables and financial liabilities at amortised cost – The carrying value of current receivables and liabilities measured at amortised cost approximates their fair value.

The fair values of the majority of the non-current liabilities measured at amortised cost are also not significantly different from their carrying values.

35.3 Financial assets and liabilities subject to offsetting

Financial assets and liabilities are offset and the net amount reported in the statement of financial position where the Company currently has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. Interconnect partners payables are offset against its receivables and reported on a net basis in the statement of financial position.

The following table presents the Company's financial assets and liabilities that are subject to offsetting:

31 December 2017	Gross amount N '000	Amount offset N '000	Net amount N '000
Current financial assets			
Interconnect receivables	32,717,776	17,713,088	15,004,688
	32,717,776	17,713,088	15,004,688
Current financial liabilities			
Interconnect payables	17,713,088	17,713,088	-
	17,713,088	17,713,088	-
			15 004 688
31 December 2016			
	Gross amount N '000	Amount offset N '000	Net amount N '000
Current financial assets			
Interconnect receivables	32,536,736	17,583,977	14,952,759
	32,536,736	17,583,977	14,952,759
Current financial liabilities			
Interconnect payables	17,583,977	17,583,977	-
	17,583,977	17,583,977	-

MTN Nigeria Communications Limited**Notes to the Company financial statements**

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)**35.4 Credit risk**

Credit risk, or the risk of financial loss to the Company due to customers or counterparties not meeting their contractual obligations and is managed through the application of credit approvals, limits and monitoring procedures.

The Company's maximum exposure to credit risk is represented by the carrying amount of the financial assets that are exposed to credit risk.

The following instruments give rise to credit risk

	31 December 2017 N '000	31 December 2016 N '000
Cash at bank and on hand	89,046,974	146,046,048
Restricted cash	41,617,634	17,260,604

Trade and other receivables	71,366,875	27,793,539
Current investments	71,098,893	151,437,457
Derivative asset	55,673	-
	223,165,651	342,537,648

Cash and cash equivalents, restricted cash, current investments and derivative asset

The Company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate values of investment portfolio is spread amongst approved financial institutions, typically lending institutions to the Company. The Company actively seeks to limit the amount of credit exposure to any one financial institution (not more than 30% of total exposure) and credit exposure is controlled by a right of set off and counterparty limits indexed against the facility amount provided to the Company by each of the lending institutions. Excess cash over and above these limits are invested in government securities.

These financial assets are neither past due nor impaired and are assessed by reference to the counterparty financial institutions' credit ratings.

The credit ratings of the counterparty financial institutions where we have bank deposits and restricted cash range from ngA to CCC.

The credit ratings of the counterparty financial institutions where we have current investment range from ngA to BBB+(ng).

The credit rating of the counterparty financial institutions with whom we have derivative asset is A3.

Trade and other receivables

The majority of the Company's trade receivables are due from large national or multinational companies where the risk of default is considered low. The amounts presented in the company's balance sheet are net of allowances for doubtful receivables, estimated by the Company's management based on prior experience and their assessment of the current economic environment.

MTN Nigeria Communications Limited**Notes to the Company financial statements**

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)**35.4 Credit risk (continued)**

Ageing and impairment analysis	31 December	31 December	31 December	31 December	31 December	31 December
	2017	2017	2017	2016	2016	2016
	N '000	N '000	N '000	N '000	N '000	N '000
	Gross Allowance for impairment		Net	Gross Allowance for impairment		Net
Neither past due nor impaired						
trade receivables*	7,307,596	-	7,307,596	9,959,265	-	9,959,265
Interconnect receivables	1,598,352	-	1,598,352	1,463,806	-	1,463,806
Contract receivables	5,554,885	-	5,554,885	7,877,828	-	7,877,828
Other receivables	154,359	-	154,359	617,631	-	617,631
Past due but not impaired trade receivables**	2,852,413	-	2,852,413	-	-	-
Interconnect receivables	875,036	-	875,036	-	-	-
0 to 3 months	875,036	-	875,036	-	-	-
3 to 6 months	-	-	-	-	-	-
Contract receivables	1,915,158	-	1,915,158	-	-	-
0 to 3 months	1,047,548	-	1,047,548	-	-	-
3 to 6 months	867,610	-	867,610	-	-	-
Other receivables	62,219	-	62,219	-	-	-
0 to 3 months	-	-	-	-	-	-
3 to 6 months	62,219	-	62,219	-	-	-
Impaired trade receivables***	24,117,835 (23,672,263)		445,572 20,048,630 (18,078,801) 1,969,829			
Interconnect receivables	14,607,611 (14,607,611)		-	9,670,517 (8,865,395)		805,122
Contract receivables	8,078,402 (7,638,963)		439,439 10,378,113 (9,213,406) 1,164,707			
Other receivables	1,431,822 (1,425,689)		6,133	-	-	-
Total	34,277,844 (23,672,263)		10,605,581 30,007,895 (18,078,801)			11,929,094

*These classes of trade and other receivables do not contain impaired assets and are not past due. Based on the credit history of these

classes, it is expected that these amounts will be received when due.

**These classes of trade and other receivables do not contain impaired assets and are past due. These relate to a number of independent customers for whom there is no recent history of default.

***Individual receivables which are known to be uncollectible are immediately impaired. Other receivables are assessed collectively to determine whether there is objective evidence that an impairment has been incurred but is not yet been identified.

90

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)

35.4 Credit risk (continued)

	At beginning of year N '000	Additions N '000	Unused reversed N '000	Write off N '000	At end of year N '000
Impairment movement					
31 December 2017					
Movement in provision for impairment of trade receivables	18,078,801	5,593,862	2,120	(2,520)	23,672,263
31 December 2016					
Movement in provision for impairment of trade receivables	18,332,367	6,430,172	(6,685,216)	1,478	18,078,801

Credit quality

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to historical information about counterparty default rates.

	31 December 2017 N '000	31 December 2016 N '000
Counterparties without external credit rating		
Group 1	2,646,873	4,001,053
Group 2	4,660,723	5,958,212
Total trade receivables	7,307,596	9,959,265

Group 1 – Existing customers (more than 6 months) with some defaults in the past. All defaults were fully recovered.

Group 2 – Existing customers (more than 6 months) amounts received regularly and on time historically.

35.5 Liquidity risk

Liquidity risk is the risk that an entity will be unable to meet its obligations as they become due.

The Company's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company ensures it has sufficient cash on demand (currently the Company is maintaining a positive cash position) or access to facilities to meet expected operational expenses, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

The following are the liquid resources:

	Carrying Amount	
	31 December 2017 N '000	31 December 2016 N '000
Cash at bank and on hand	89,046,974	146,046,048
Trade and other receivables	21,366,875	27,793,539

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)

35.5 Liquidity risk (continued)

The following are the contractual maturities of financial liabilities

	Carrying amount	Payable within one month or on demand	More than one month but not exceeding three months	More than three months but not exceeding one year	More than one year but not exceeding two years	More than two years but not exceeding five years	Total
	N '000	N '000	N '000	N '000	N '000	N '000	N '000
31 December 2017							
Trade and other payables	34,824,826	17,667,779	17,157,047	-	-	-	34,824,826
Accrued expenses	160,185,171	5,176,610	155,008,561	-	-	-	160,185,171
Other payables	810,349	89,252	697,531	23,566	-	-	810,349
Intercompany payables	18,555,456	-	18,555,456	-	-	-	18,555,456
Current regulatory fine	101,119,141	-	55,000,000	55,000,000	-	-	110,000,000
Current borrowings	119,820,228	3,627,084	20,156,008	125,912,988	-	-	149,696,080
Non-current regulatory fine	91,656,623	-	-	-	110,000,000	-	110,000,000
Non-current borrowings	135,544,915	-	-	-	139,294,513	37,584,434	176,878,947
	662,516,709	26,560,725	266,574,603	180,936,554	249,294,513	37,584,434	760,950,829
31 December 2016							
Trade and other payables	71,552,103	37,751,431	33,800,672	-	-	-	71,552,103
Accrued expenses	101,160,505	4,348,614	96,811,891	-	-	-	101,160,505
Other payables	5,076,039	49,638	1,271,876	3,754,525	-	-	5,076,039
Intercompany payables	46,683,357	-	46,683,357	-	-	-	46,683,357
Current regulatory fine	29,002,060	-	30,000,000	-	-	-	30,000,000
Current borrowings	100,054,289	6,629,994	13,747,568	114,578,423	-	-	134,955,985
Non-current regulatory fine	168,060,851	-	-	-	110,000,000	110,000,000	220,000,000
Non-current borrowings	189,783,327	-	-	-	120,202,286	101,265,847	221,468,133
	711,372,531	48,779,677	222,315,364	118,332,948	230,202,286	211,265,847	830,896,122

Notes to the Company financial statements*For the year ended 31 December 2017 (continued)***35 Financial risk management and financial instruments** (continued)**35.6 Market risk**

Market risk is the risk that changes in market prices (interest rate, price risk and currency risk) will affect the Company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The Company is not exposed to price risk.

Derivatives are entered into solely for risk management purposes and not as speculative investments. The Group treasury policy specifies approved instruments which may be used to economically hedge the Group's exposure to variability in foreign currency and to manage and maintain market risk exposures within the parameters set by the Group's board of directors.

35.6.1 Interest rate risk

Interest rate risk is the risk that the cash flow or fair value of an interest bearing financial instrument will fluctuate because of changes in market interest rates.

Financial assets and liabilities that are sensitive to interest rate risk are cash and cash equivalents, short term investments and loans payable. The interest rates applicable to these financial instruments are on a combination of floating and fixed basis in line with those currently available in the market.

The Company's interest rate risk arises from the reprising of the Company's floating rate debt, incremental funding or new borrowings, the refinancing of existing borrowings and the magnitude of the significant cash balances which exist.

The Company manages its debt on an optimal mix of local and foreign borrowings and fixed and floating interest rates.

Changes in the fair value of the interest rate swap during the year were insignificant.

Profile

At the reporting date the interest rate profile of the Company's financial instruments is as follows:

	31 December 2017			31 December 2016		
	Fixed rate instruments	Variable rate instruments	Non interest bearing	Fixed rate instruments	Variable rate instruments	Non interest bearing
	N '000	N '000	N '000	N '000	N '000	
Financial assets						
Cash at bank and on hand	86,400,166	-	2,646,808	138,024,373	-	8,021,675
Current investments	71,078,495	-	-	151,437,457	-	-
Restricted cash	-	-	41,617,634	-	-	17,260,604
Trade and other receivables	-	-	21,366,875	-	-	27,793,539
	157,478,661	-	65,631,317	289,461,830	-	53,075,818
Financial liabilities						
Trade payables	-	-	34,824,826	-	-	71,552,103
Accrued expenses	-	-	160,185,171	-	-	101,160,505
Other payables	-	-	810,349	-	-	5,076,039
Intercompany payables	-	18,555,456	-	-	46,683,357	-
Current regulatory fine	-	-	101,119,141	-	-	29,002,060
Current borrowings	6,327,964	113,492,264	-	5,168,725	94,885,564	-
Non-current regulatory fine	-	-	91,656,623	-	-	168,060,851
Non-current borrowings	5,450,822	130,094,093	-	10,585,813	179,197,514	-
	11,778,786	262,141,813	388,596,110	15,754,538	320,766,435	374,851,558

MTN Nigeria Communications Limited**Notes to the Company financial statements***For the year ended 31 December 2017 (continued)***35 Financial risk management and financial instruments** (continued)**35.6 Market risk** (continued)**Sensitivity analysis**

The Company has used a sensitivity analysis technique that measures the estimated change to profit or loss of an instantaneous increase or decrease of 1% (100 basis points) in market interest rates, from the rate applicable at 31 December, for each class of financial instrument with all other variables remaining constant.

The Company is mainly exposed to fluctuations in the following market interest rates: LIBOR and NIBOR. Changes in market interest rates affect the interest income or expense of floating rate financial instruments. Changes in market interest rates only affect profit or loss in relation to financial instruments with fixed interest rates if these financial instruments are recognised at their fair value.

A change in the above market interest rates at the reporting date would have increased/(decreased) profit before tax by the amounts shown below.

The analysis has been performed on the basis of the change occurring at the reporting date and assumes that all other variables, in particular foreign currency rates, remains constant. The analysis is performed on the same basis for 2016.

Expense	31 December 2017			31 December 2016		
	Increase/(decrease) in profit before tax			Increase/(decrease) in profit before tax		
	Change in	Upward change in	Downward	Change in	Upward change in	Downward
	interest rate	interest rate	change in interest rate	interest rate	interest rate	change in interest rate
	%	N '000	N '000	%	N '000	N '000
LIBOR	1	(1,227,566)	1,227,566	1	(1,159,043)	1,159,043
NIBOR	1	(1,265,809)	1,265,809	1	(1,880,000)	1,880,000

35.6.2 Currency risk

Currency risk is the exposure to exchange rate fluctuations that have an impact on cash flows and financing activities.

The Company is exposed to currency risk arising from various currency exposures. Currency risk arises when future commercial transactions or recognised assets and liabilities are denominated in a currency that is not the entity’s functional currency. Refer to note 32.

The Company manages foreign currency risk on major foreign denominated purchase orders through the use of Letters of Credit. The Company has also entered into a currency swap arrangement to enhance dollar liquidity to address critical operational requirements.

Sensitivity analysis

The Company is mainly exposed to fluctuations in foreign exchange rates in respect of the US Dollar, being the significant foreign denominated currency.

The Company has used a sensitivity analysis technique that measures the estimated change to the income statement of an instantaneous 5% strengthening or 10% weakening in the Nigerian Naira against the US Dollar, from the rate applicable at 31 December, for each class of financial instrument with all other variables, in particular interest rates, remaining constant.

A change in the foreign exchange rates to which the Company is exposed at the reporting date would have increased/(decreased) the loss before tax by the amounts shown below.

The analysis has been performed on the basis of the change occurring at the start of the reporting period. The analysis is performed on the same basis for 2016.

Transactions in foreign currencies other than US Dollars were not significant.

	31 December 2017			31 December 2016		
	Increase/(decrease) in profit before tax			Increase/(decrease) in profit before tax		
	Change in	10% weakening in	5% strengthening	Change in	10% weakening in	5% strengthening
	exchange rate	Naira, resulting in a decrease in profit before tax	in Naira, resulting in an increase in profit before tax	exchange rate	Naira, resulting in a decrease in profit before tax	in Naira, resulting in an increase in profit before tax
	%	N '000	N '000	%	N '000	N '000
Denominated:Functional						
USD:NGN	10	(19,136,979)	9,568,490	10	(18,539,012)	9,269,506

MTN Nigeria Communications Limited

Notes to the Company financial statements

For the year ended 31 December 2017 (continued)

35 Financial risk management and financial instruments (continued)

35.7 Capital risk management

The Company seeks to optimise its capital structure by ensuring adequate gearing levels taking into consideration working capital, cash flow, existing loan covenants, operational requirements, business plan and broader macro- economic conditions.

It maximizes external borrowings on the back of its strong cash generating capacity. In line with its funding policy, the Company diversifies funding sources across local and international markets and ensures that new facility conditions comply with existing loan covenants.

Management monitors Net Debt to EBITDA and EBITDA to Net Interest in line with the financial covenants in the loan agreement while it seeks to limit refinancing risk by controlling the concentrations of maturing obligations in the short end of maturity profile. Equity approximates share capital and reserves. EBITDA is defined as earnings before interest, tax, depreciation, amortisation and goodwill impairment/losses.

Gross debt relates to MTN syndicated medium term loan, net debt is the gross debt less cash and cash equivalents and total funding is gross debt plus equity.

	31 December 2017 N '000	31 December 2016 N '000
Revenue	884,067,477	789,891,896
Operating expenses excluding depreciation and amortisation.	(540,418,436)	(410,735,422)
EBITDA	343,649,041	379,156,474
Gross debt	255,365,143	289,837,616
Cash & cash equivalent	89,046,974	146,046,048
Net debt	166,318,169	143,791,568
Gross debt	255,365,143	289,837,616
Equity	119,283,309	86,161,187
Total funding	374,648,452	375,998,803
Gross debt :Total funding	68%	77%
Net debt: Total funding	44%	38%
Net debt : EBITDA	48%	38%

36 Events after reporting date

On 19 January 2018, the Nigerian Communications Commission wrote to MTN Nigeria regularising the sale of the 700MHz spectrum for provision of telecommunication services, Mobile Broadband (MBB) at no additional cost to MTN. This is to ensure the immediate deployment of the much needed Broadband services on the 700MHz spectrum and facilitate meeting the penetration in the National Broadband Plan. The effective date of the licence was also reviewed to 16 January 2018.

At the Extraordinary General Meeting of MTN Nigeria Communications Limited held on 8 February 2018, the Board approved the following:

- That the nominal value of all the ordinary shares in the Company's authorised share capital be sub-divided from One Naira (N1.00) each to two kobo (2k) each.
- That the existing 4,500,000 B ordinary shares of the Company be renamed and reclassified as Ordinary shares of the Company.
- That the authorised share capital of the Company be increased from Five Hundred and Four Million, Five Hundred Thousand Naira (N504,500,000) to Five Hundred and Fifty-Seven Million Naira (N557,000,000) by the creation and addition of 52,500,000 ordinary shares of One Naira (N1.00) each, such shares to rank pari passu in all respects with the existing ordinary shares in the capital of the Company.
- That the Company which is presently a private limited liability company be re-registered as a public limited liability company.
- That subject to the approvals of the relevant third party and regulatory authorities offer and issue up to 3,500,000,000 ordinary shares of 2 kobo each in the Company's unissued share capital, by way of an Initial Public Offering (Offer for subscription and or Offer for Sale).

On 8 February 2018, at the General Meeting of the holders of ordinary shares of MTN Nigeria Communications Limited, it was approved that the ordinary shares in the share capital of the company be delinked from the preference shares in the share capital of the Company. Further to this, on 22 February 2018 at the General Meeting of the holders of preference shares, it was approved that the preference shares be delinked from the ordinary shares in the share capital of the Company.

MTN Nigeria Communications Limited

Other National Disclosures

MTN Nigeria Communications Limited

Company Statement of Value Added*For the year ended 31 December 2017*

	2017		2016	
	N '000	%	N '000	%
Revenue	884,067,477		789,891,896	
Bought-in materials and services				
Local	(430,987,649)		(336,029,582)	
Imported	(43,962,651)		(31,215,653)	
Value added	409,117,177 100		422,646,661 100	
Applied to pay:		%		%
- Employees	22,683,483	6	23,700,895	6
- Government as taxes	27,545,728	7	39,183,768	9
- Regulatory fine	-	-	(20,383,675)	(5)
- Lenders as interest	131,542,057	32	145,829,806	34
Retained in the business:				
- Depreciation and impairment	123,099,371	30	116,884,493	28
- Amortisation	21,295,339	5	21,542,802	5
- Retained profit for the year	82,951,199	20	95,888,572	23
Value added	409,117,177 100		422,646,661 100	

MTN Nigeria Communications Limited

Company Five-Year Financial Summary*For the year ended 31 December 2017*

	December 2017	December 2016	December 2015	December 2014	December 2013
	N '000	N '000	N '000	N '000	N '000
Revenue	884,067,477	789,891,896	807,448,831	824,806,801	793,613,587
Profit/(loss) before taxation	110,496,927	135,072,340	(12,334,936)	290,606,355	310,845,985
Taxation	(27,545,728)	(39,183,768)	(67,954,967)	(81,579,482)	(94,024,004)
Profit/(Loss) for the year	82,951,199	95,888,572	(80,289,903)	209,026,873	216,821,981
Assets employed:					
Property, plant and equipment	582,378,208	494,609,541	450,812,792	513,848,257	637,393,845
Intangible assets	80,988,218	88,870,605	78,356,414	34,312,314	37,973,343
Other non current assets	83,170,228	70,640,943	70,660,566	14,481,239	39,011,127
Net current (liabilities)/assets	(297,080,259)	(118,845,556)	(60,787,324)	47,660,149	(42,062,179)
Non current liabilities	(330,173,086)	(449,114,346)	(549,095,554)	(438,236,294)	(470,416,530)
Net assets/(liabilities)	119,283,309	86,161,187	(10,053,106)	172,065,665	201,899,606
Capital and reserves:					
Share capital	646,510	646,510	646,510	646,510	646,510
Share premium	64,498,466	64,498,466	64,498,466	64,498,466	64,498,466
Retained profit/(loss)	53,641,689	20,690,490	(75,198,082)	106,920,689	136,754,630
Reserve available for sale	496,644	325,721	-	-	-
Shareholders' funds	119,283,309	86,161,187	(10,053,106)	172,065,665	201,899,606
Earnings(loss) per share - basic/diluted	N 203.77	N 235.55	(N 197.23)	N 513.47	N 532.61
Net assets/(liabilities) per share	N 293.01	N 211.65	(N 24.7)	N 422.67	N 495.96

**These figures are stated in accordance with Nigerian GAAP (Statement of Accounting Standards)